

June 8, 2026 01:23 PM GMT

GLOBAL CREDIT STRATEGY

Global Credit: What We're Watching

US Investment Grade: The pullback in equities also weighed on credit, with US IG spreads ending the week 1bp wider, resulting in excess returns of -0.1%. Spread curves bear-steepened while better rated bonds underperformed. Telecoms, technology, utilities delivered the weakest excess returns, while basic industry and services held up better. US IG funds saw \$3.6bn of net inflows last week, lifting YTD inflows to +\$69bn. Primary market activity was robust, with \$47bn of bonds pricing last week. YTD supply is tracking at \$1,095bn (+26% YoY).

US Leveraged Credit: HY spreads widened by 7bp, translating into excess returns of -0.1%. Loans delivered positive total returns at 0.05% last week, outperforming HY (-0.4%). The moves were accompanied by decompression across HY and Loans. Within HY, telecom and consumer goods underperformed, while energy and technology held in better. HY funds reported net inflows of \$880mn (-\$6.2bn YTD), while loan funds saw net inflows of \$760mn last week (+\$3.5bn YTD). Both HY and Loans recorded \$13bn of issuance last week. YTD issuance now stands at \$160bn (+42% YoY) in HY and \$188n (-3% YoY) in loans.

EU Investment Grade: European credit outperformed the US last week with spreads tightening by 3bp, resulting in excess returns of +0.1%. Curves bull-flattened, while BBBs saw slight outperformance across ratings. Media outperformed, while transportation and basic industry lagged. European IG fund inflows rose to ~\$700m (0.1% of AUM) following last week's more muted but positive print (~\$155m). The inflows were heavily skewed towards ETFs, while mutual funds reported small net outflows. Issuance moderated to €12bn last week, lifting YTD volumes to €378bn (flat YoY).

EU High Yield: EU HY outperformed IG, with spreads tightening by 13bp last week resulting in excess returns of +0.4%. However, the moves were most pronounced in BBs, while performance was more mixed further down the ratings spectrum. Leisure and tech outperformed, while telecoms and real estate lagged. European HY fund net inflows rose to ~\$425m / 0.4% of AUM, with both mutual funds and ETFs saw net inflows. YTD supply is tracking at €67bn (+11% YoY).

Key Trades: We reiterate our key trade recommendations across sectors in IG that we outlined in our Mid-Year Outlooks. In the US, we are overweight banks, utilities, while technology/hyperscalers remain our key underweights. In Europe, we like banks, energy, and defensives, while we recommend an underweight on cyclical sectors, autos in particular. In Asia, we like Japan Banks TLAC Senior debt and unhedged AUD LC Corp bonds.

Credit Derivatives: Synthetic spreads widened across the US and EU, with CDX IG and iTraxx Main ending the week 2bp and 1bp wider, respectively, while HY/Xover underperformed. While implied volatility ticked up from the YTD lows, credit lagged the rise in equities vol.

Asia Credit: Asia Credit spreads tightened by 2bp over the last week, while APAC Credit spreads remained flat. In Asia credit, Asia HY (-18bp) outperformed Asia IG (-2bp). Similarly, in APAC credit, HY spreads tightened by 3bp while IG spreads were flat.

List of Recent Publications:

[European Credit Mid-Year Outlook: Glass Half Full](#)

[US Credit Strategy Mid-Year Outlook: Financing the Future](#)

[US Credit Playbook: Focus Back on Supply](#)

[Asia Credit Mid-Year Outlook: A "Low-Fire, Low-Hire" Credit Market](#)

MORGAN STANLEY RESEARCH
Global**Morgan Stanley & Co. LLC**
Vishwas Patkar

Strategist
Vishwas.Patkar@morganstanley.com
+1 212 761 8041

Morgan Stanley & Co. International plc+
Aron Becker

Strategist
Aron.Becker@morganstanley.com
+44 0(207) 677 0754

Morgan Stanley Asia Limited+
Kelvin Pang

Strategist
Kelvin.Pang@morganstanley.com
+852 2848 8204

Morgan Stanley & Co. LLC**Christina Sigler**

Strategist
Christina.Sigler@morganstanley.com
+1 212.761.4116

Note: The EPFR data and charts displayed here must not be extracted and republished (whether internally or externally). Such use will violate the terms of Morgan Stanley's contract with EPFR which only covers named users.

All information as of June 05, 2026, unless otherwise indicated.

Morgan Stanley does and seeks to do business with companies covered in Morgan Stanley Research. As a result, investors should be aware that the firm may have a conflict of interest that could affect the objectivity of Morgan Stanley Research. Investors should consider Morgan Stanley Research as only a single factor in making their investment decision.

For analyst certification and other important disclosures, refer to the Disclosure Section, located at the end of this report.

+ = Analysts employed by non-U.S. affiliates are not registered with FINRA, may not be associated persons of the member and may not be subject to FINRA restrictions on communications with a subject company, public appearances and trading securities held by a research analyst account.

Table of Contents

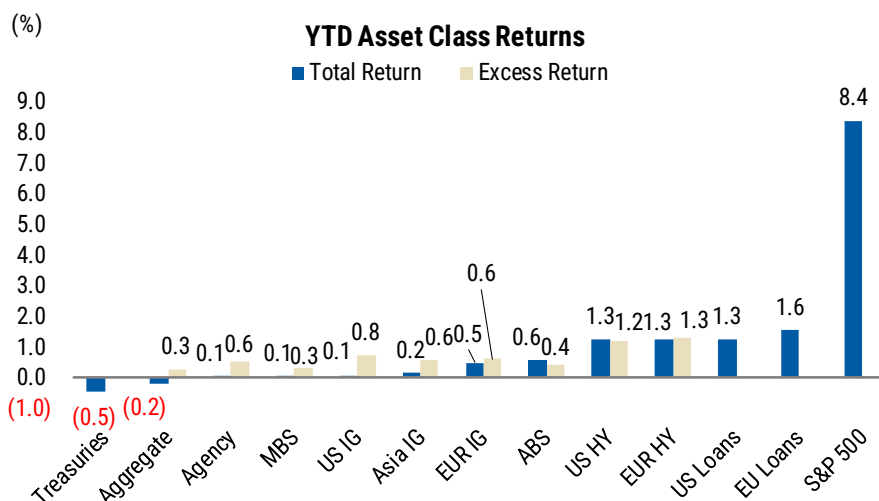
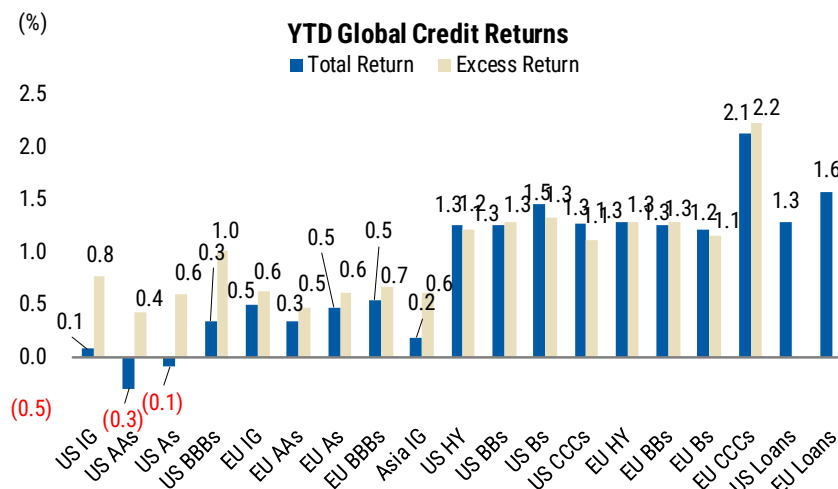
Global Credit Snapshot	3
Performance Across Asset Classes	4
Global Credit Percentile Ranges	5
US Credit Long-Term Spreads and Yields	6
Europe and Asia Credit Long-Term Spreads	7
Macro Sentiment Indicators	8
Credit Sentiment Indicators	9
Key Trades Across Sectors in IG	10
US and EU Credit	
Yields, Dollar Prices, and Index Quality	20
Curve Performance	21
Global Credit Demand	22
Global Credit Supply	24
Debt Outstanding	25
Maturity Walls	26
Defaults and Rating Changes	27
Fundamentals	28
Credit Derivatives/DTCC Positioning	29
IG Best + Worst Performers	31
IG 5-10Y Carry and Roll Down	37
Performance across Capital Structure	39
Sector Performance	41
Credit/Equity Screen	43
Asia Credit	
Asia Credit Demand	48
Asia Credit Supply	49
Asia Maturity Wall and Default Rate	50
Asia Debt Outstanding	51

Global Credit Snapshot

Global IG Credit	Current	1 Wk Δ	3 Mth Δ	12 Mth Δ	1Y %Tile	1Y %Tile Range	5Y Tights	5Y Wides	5Y %Tile	5Y %Tile Range
US IG	73	1	(7)	(14)	38%	■	71	165	10%	■
EUR IG	77	(3)	(6)	(22)	48%	■	72	234	10%	■
Asia IG	53	(2)	(14)	(28)	0%	■	53	198	0%	■
CDX IG	52	2	(1)	(3)	60%	■	46	111	38%	■
iTraxx Main	54	1	(3)	(3)	68%	■	44	138	39%	■
EM IG	80	(2)	(13)	(27)	0%	■	80	159	0%	■
Agency MBS	25	3	4	(17)	46%	■	14	88	12%	■
CLO AAAs	123	0	(5)	(12)	0%	■	115	233	15%	■
RMBS AAAs	125	0	(5)	(20)	12%	■	60	280	20%	■
US As	62	1	(5)	(11)	44%	■	58	145	11%	■
US BBBs	90	1	(10)	(18)	31%	■	89	199	10%	■
US 3-5Y	64	1	(6)	(13)	31%	■	50	158	23%	■
US 5-7Y	72	2	(5)	(19)	17%	■	66	173	13%	■
US 7-10Y	86	1	(7)	(16)	35%	■	81	200	11%	■
US 10Y+	89	2	(11)	(15)	34%	■	87	203	7%	■
US Financials	76	1	(8)	(12)	55%	■	71	188	24%	■
US Industrials	70	1	(7)	(14)	29%	■	69	160	7%	■
US Utilities	78	1	(8)	(18)	16%	■	77	161	6%	■
EUR As	69	(2)	(6)	(19)	49%	■	65	200	16%	■
EUR BBBs	89	(3)	(5)	(25)	50%	■	83	273	10%	■
EUR 3-5Y	77	(2)	(5)	(24)	47%	■	71	245	12%	■
EUR 5-7Y	90	(2)	(7)	(22)	43%	■	85	251	15%	■
EUR 7-10Y	95	(2)	(7)	(21)	39%	■	91	247	8%	■
EUR 10Y+	90	(3)	(8)	(18)	45%	■	88	234	9%	■

Global HY Credit	Current	1 Wk Δ	3 Mth Δ	12 Mth Δ	1Y %Tile	1Y %Tile Range	5Y Tights	5Y Wides	5Y %Tile	5Y %Tile Range
US HY	265	7	(16)	(47)	16%	■	250	583	7%	■
EUR HY	250	(13)	(40)	(59)	39%	■	247	668	8%	■
CDX HY	312	12	(14)	(33)	53%	■	269	627	31%	■
Xover	263	4	(2)	(31)	63%	■	225	662	23%	■
US BBs	157	4	(10)	(27)	20%	■	149	413	8%	■
US Bs	282	9	(25)	(17)	51%	■	236	653	27%	■
US CCCs	724	18	96	13	82%	■	444	1,133	45%	■
EUR HY BBs	149	(13)	(27)	(57)	26%	■	149	526	6%	■
EUR HY Bs	321	(19)	(71)	(9)	71%	■	279	837	21%	■
EUR HY CCCs	1,099	14	72	(4)	40%	■	556	1,549	43%	■

Asia Credit	Current	1 Wk Δ	3 Mth Δ	12 Mth Δ	1Y %Tile	1Y %Tile Range	5Y Tights	5Y Wides	5Y %Tile	5Y %Tile Range
iTraxx Japan	60	(1)	(2)	(2)	69%	■	42	117	55%	■
iTraxx Australia	72	(0)	(2)	(3)	70%	■	56	152	47%	■
Asia Credit	93	(3)	(14)	(41)	13%	■	93	407	3%	■
Asia IG	53	(2)	(14)	(28)	0%	■	53	198	0%	■
Asia HY	326	(16)	(23)	(124)	55%	■	309	1,536	11%	■
China IG	39	(3)	(17)	(35)	0%	■	39	226	0%	■
China HY	498	(18)	7	(64)	86%	■	345	2,570	33%	■

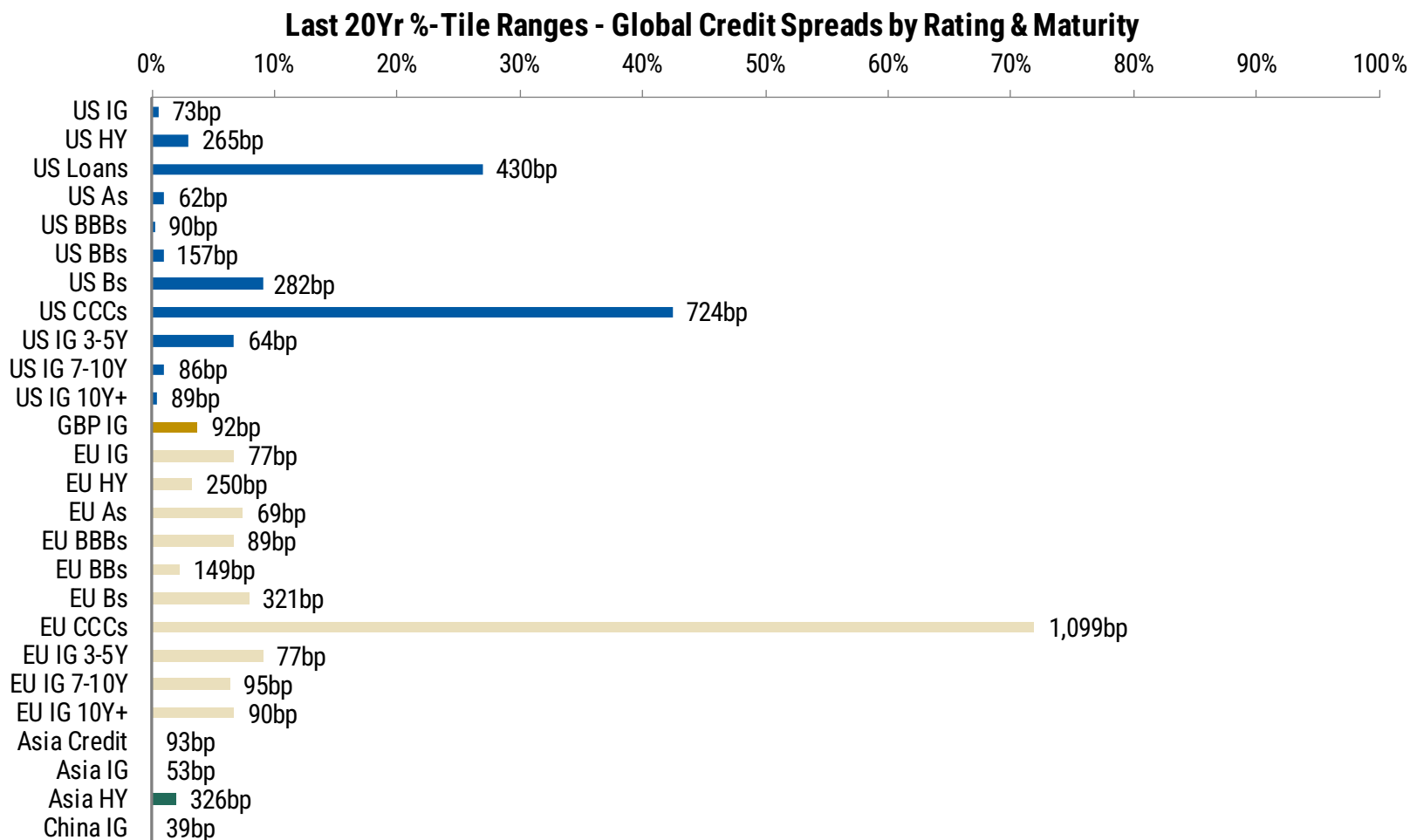


Performance Across Asset Classes

Market		Ccy	Latest	1Y	1 Mth Δ	3 Mth Δ	2026 Δ
EQUITIES			Level	Total Returns (%)			
US	S&P 500	USD	7,384	■	1.9	8.4	8.4
	Russell 2000	USD	2,834	■	(0.3)	10.0	14.8
	DJIA	USD	50,867	■	3.5	6.5	6.6
	NASDAQ	USD	25,709	■	1.6	13.2	10.9
	MSCI EAFE	USD	3,074	■	2.1	4.7	8.3
Europe	MSCI EUROPE	EUR	208	■	3.1	5.0	7.6
Asia	TOPIX	JPY	3,952	■	5.9	7.8	17.1
	HSI	HKD	24,962	■	(2.9)	(0.2)	(1.4)
	CSI 300	CNY	4,817	■	0.4	4.0	4.6
	KOSPI	KRW	8,161	■	17.7	46.8	94.8
	Nifty	INR	23,367	■	(2.5)	(5.4)	(10.1)
EM	MSCI EM	USD	1,717	■	4.4	15.0	23.3
RATES			Yield (%)	Yield Change (bp)			
US	US 2 Year	USD	4.15	■	14	35	67
	US 5 Year	USD	4.27	■	13	32	54
	US 10 Year	USD	4.53	■	9	21	36
	US 30 Year	USD	5.00	■	2	9	15
Europe	Bund 2Y	EUR	2.69	■	16	8	57
	Bund 5Y	EUR	2.77	■	13	4	32
	Bund 10Y	EUR	3.04	■	10	3	18
	Bund 30Y	EUR	3.57	■	7	11	9
Japan	Japan 5Y	JPY	1.93	■	2	14	37
	Japan 10Y	JPY	2.67	■	1	32	61
China	China 5Y	CNY	1.41	■	0	(11)	(20)
	China 10Y	CNY	1.72	■	1	(10)	(13)
India	India 5Y	INR	6.65	■	(18)	(10)	34
	India 10Y	INR	6.98	■	(3)	(5)	39
South Korea	South Korea 5Y	KRW	4.12	■	19	34	88
	South Korea 10Y	KRW	4.25	■	18	37	87

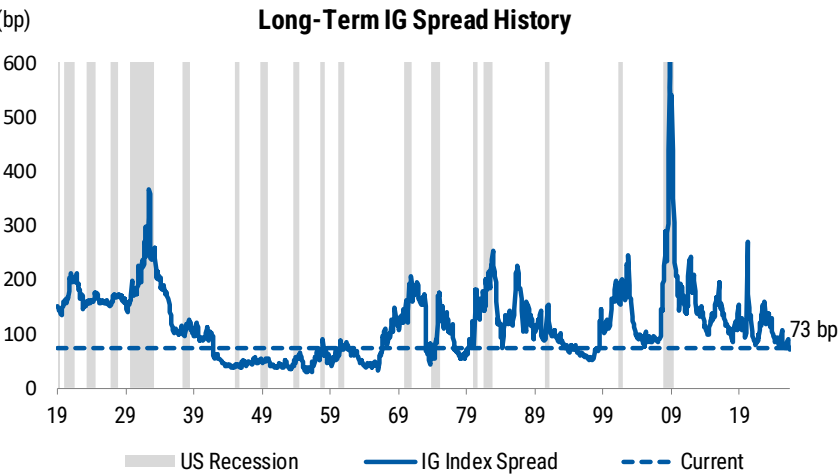
Market		Ccy	Latest	1Y	1 Mth Δ	3 Mth Δ	2026 Δ
FX			Spot	% Change (vs. USD)			
G10	EURUSD	-	1.15	■	(1.2)	(0.3)	(1.9)
	GBPUSD	-	1.33	■	(0.8)	0.9	(1.0)
	USDCAD	-	1.39	■	(1.0)	(0.2)	(1.6)
	USDJPY	-	160	■	(0.6)	(1.0)	(2.3)
APAC / EM	USDBRL	-	5.2	■	(2.6)	0.2	5.6
	USDINR	-	94.9	■	0.1	(0.1)	(5.6)
	USDCNY	-	7	■	(0.3)	1.5	2.9
	USDCNH	-	7	■	(0.4)	1.4	2.7
	USDKRW	-	1558	■	(3.6)	(2.8)	(7.9)
COMMODITIES				% Change			
	S&P GSCI	USD	693.8	■	(0)	(7)	26
	Oil (WTIC, \$/bbl)	USD	94.3	■	4	(11)	58
	Brent Crude	USD	97.2	■	1	(21)	53
	Natural Gas (\$/MMBtu)	USD	3.2	■	(2)	12	(12)
	Copper (\$/lb)	USD	628	■	(2)	12	11
	Gold (\$/oz)	USD	4,299	■	(5)	(7)	(0)
CREDIT			Spread (bp)	Spread Change (bp)			
US	IG Corporates	USD	73	■	1	(16)	(5)
	HY Corporates	USD	265	■	8	(52)	(1)
EUR	IG Corporates	EUR	77	■	(3)	(21)	(2)
	HY Corporates	EUR	250	■	(13)	(82)	(15)
EM	EM Sovereign	USD	163	■	(4)	(55)	(20)
APAC	Asia Credit	USD	93	■	(3)	(27)	(12)
	Asia IG	USD	53	■	(2)	(19)	(12)
	Asia HY	USD	326	■	(16)	(91)	(29)
	China IG	USD	39	■	(3)	(17)	(21)

Global Credit Percentile Ranges



Source: Bloomberg, ICE BAML Morgan Stanley Research; Note: Spreads to Treasuries/Bunds/Gilts.

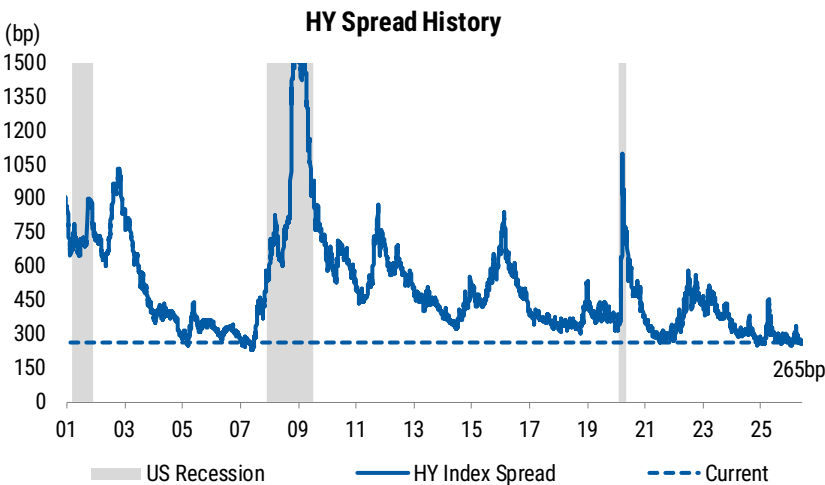
US Credit Long-Term Spreads and Yields



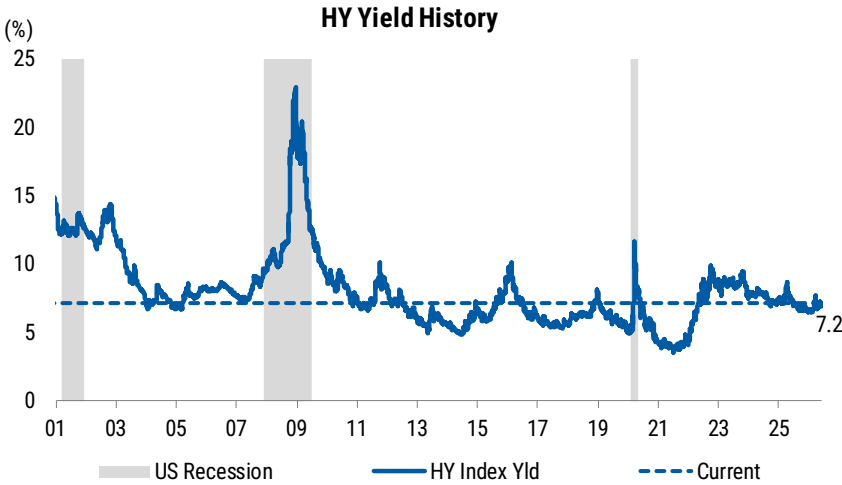
Source: Bloomberg, Moody's, NBER, Morgan Stanley Research



Source: Bloomberg, Moody's, NBER, Morgan Stanley Research

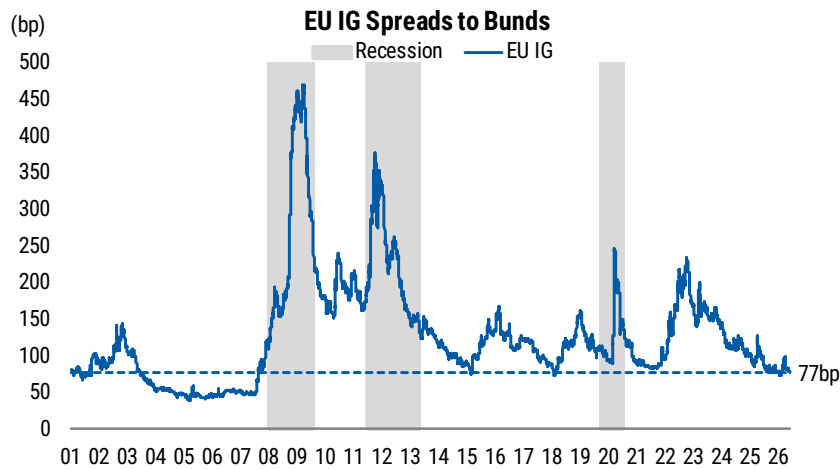


Source: Bloomberg, Morgan Stanley Research

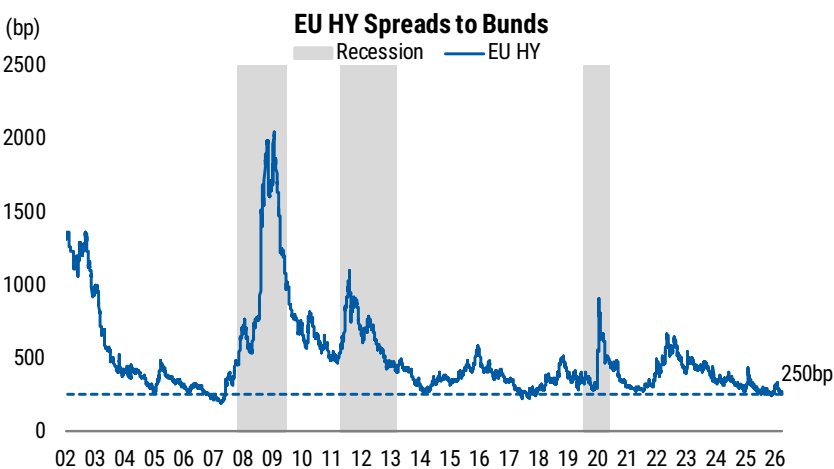


Source: Bloomberg, Morgan Stanley Research

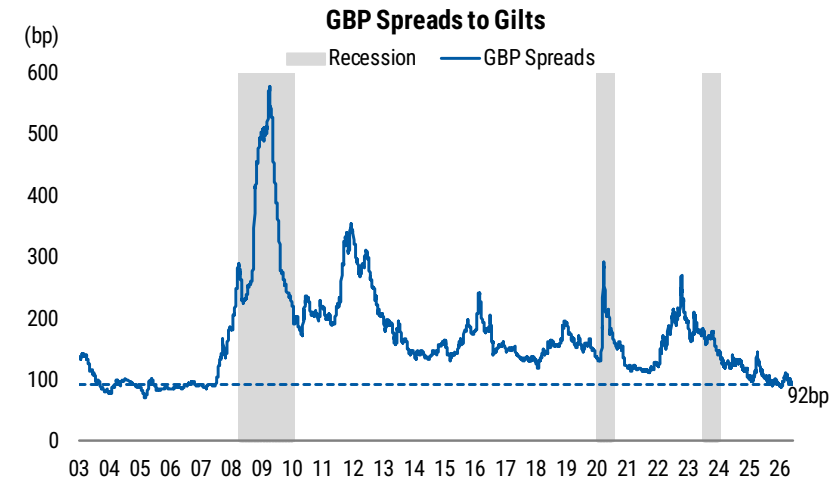
Europe and Asia Credit Long-Term Spreads



Source: Bloomberg, EACBN, Morgan Stanley Research



Source: Bloomberg, EACBN, Morgan Stanley Research

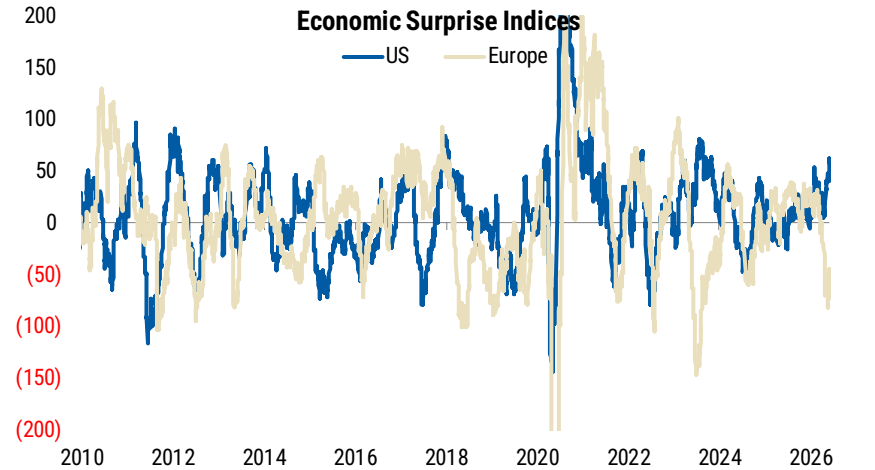
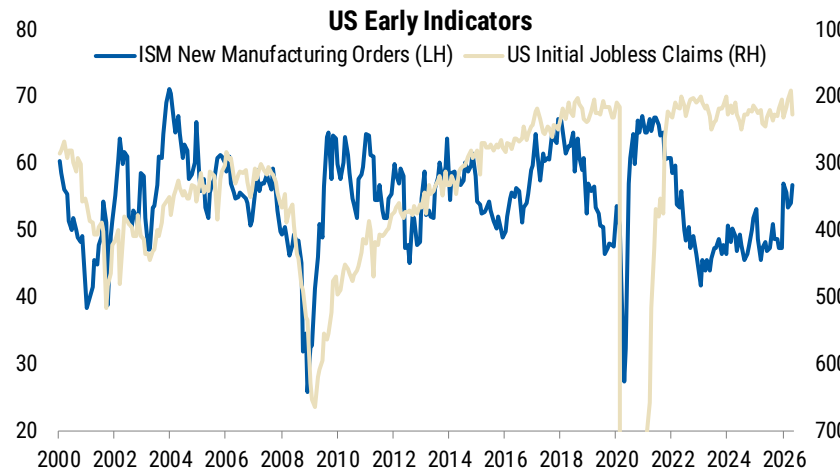
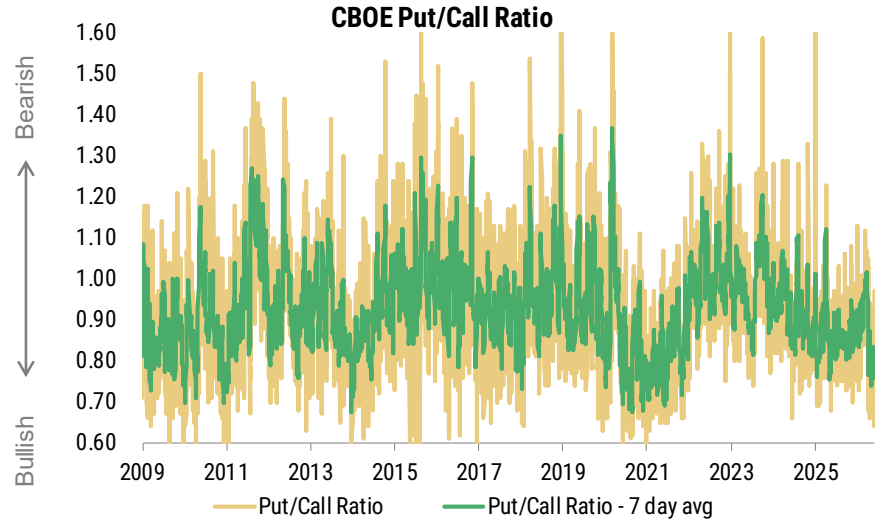
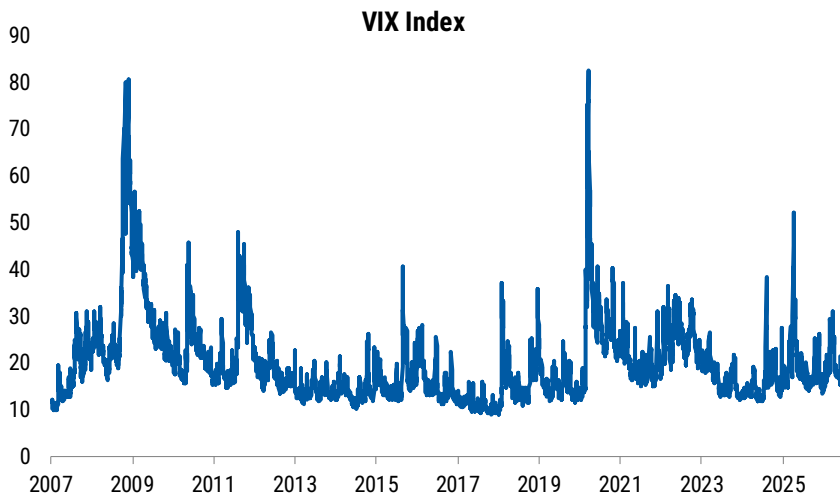


Source: IHS Markit, Haver Analytics, Morgan Stanley Research

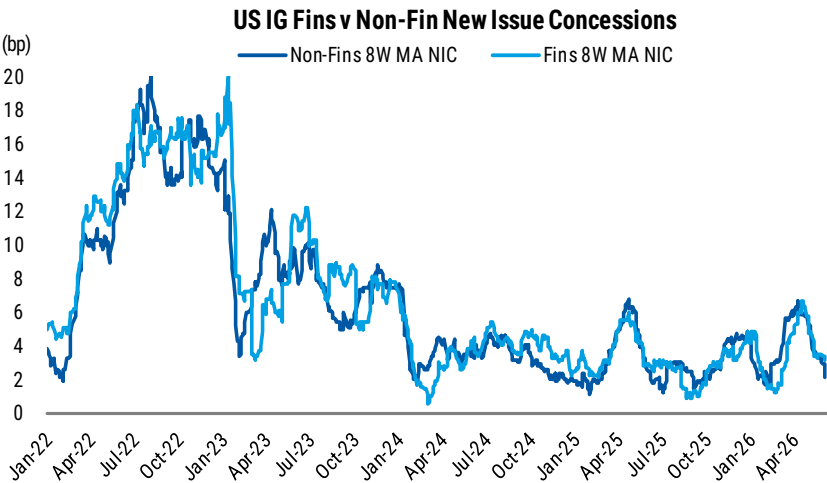


Source: Bloomberg, Haver Analytics, Morgan Stanley Research

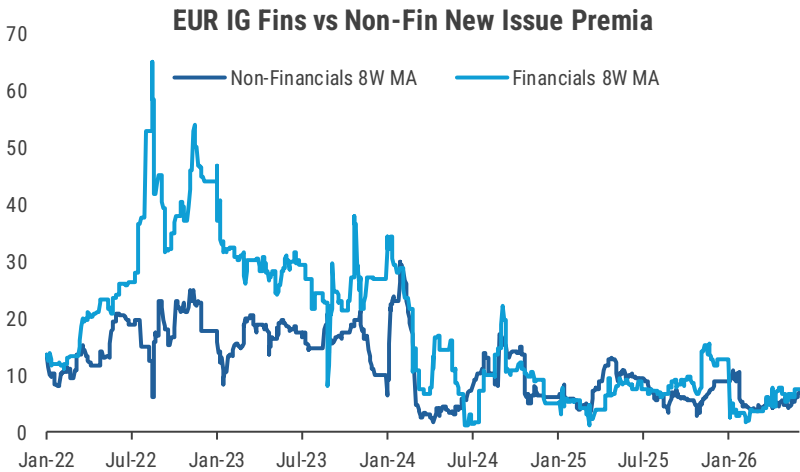
Macro Sentiment Indicators



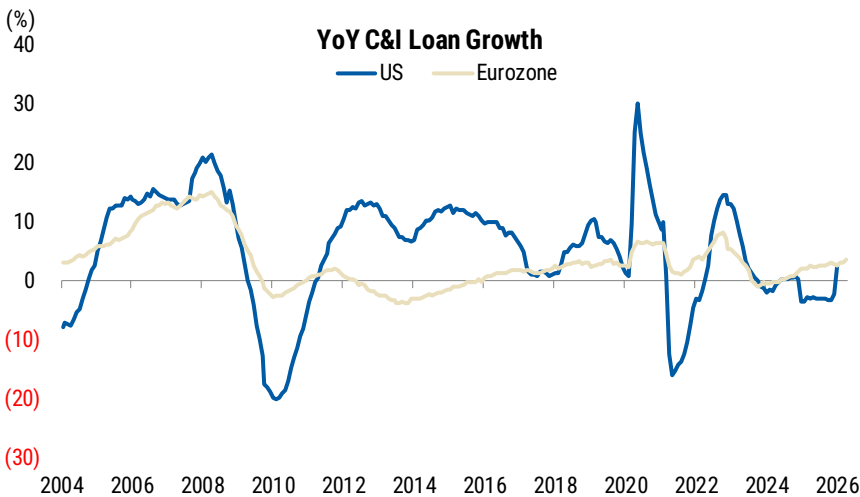
Credit Sentiment Indicators



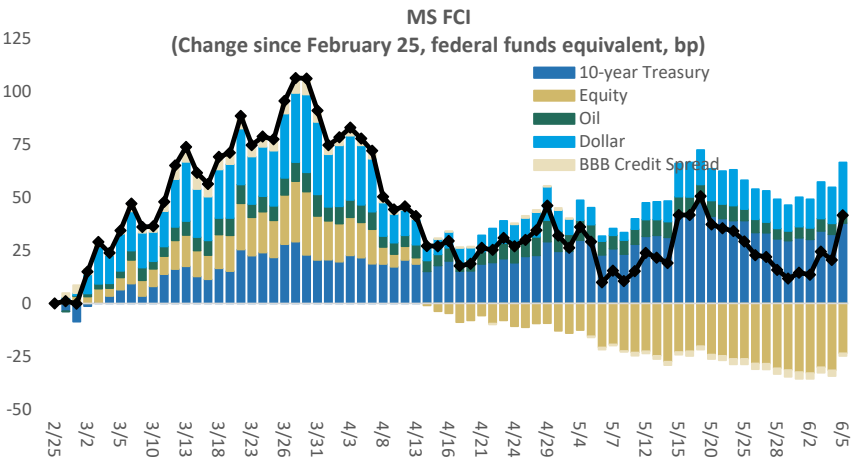
Source: Bloomberg, Morgan Stanley Research



Source: Bloomberg, Morgan Stanley Research



Source: Bloomberg, ECB, Federal Reserve, Morgan Stanley Research; Note: Seasonally adjusted.



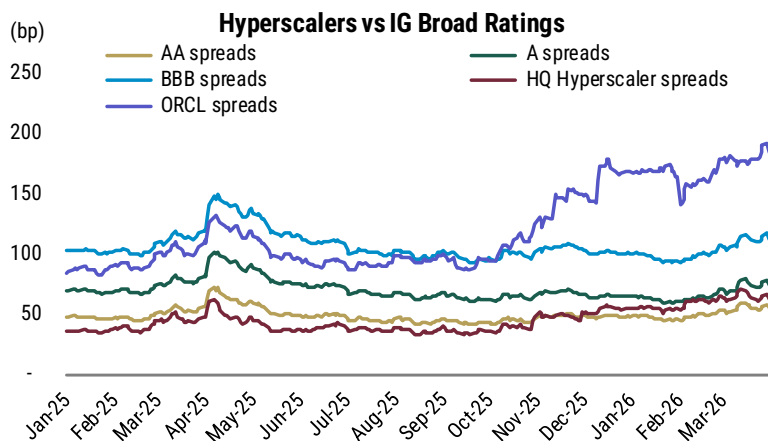
Source: Bloomberg, FRB/US, Morgan Stanley Research

Key Trades Across Sectors in IG

US IG - UW Technology/Hyperscalers

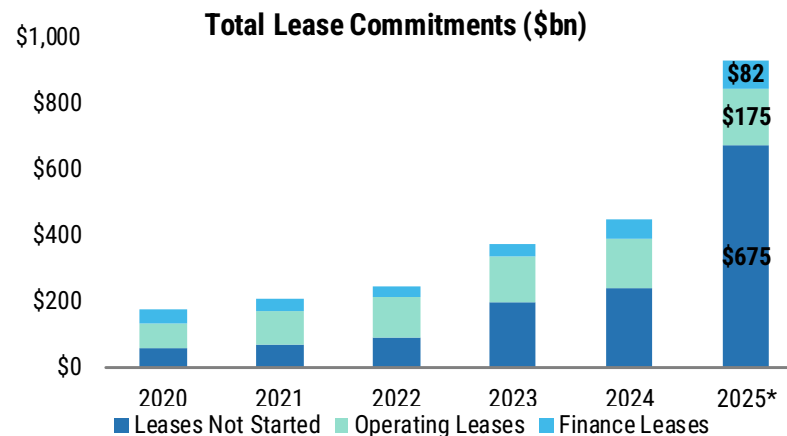
- Hyperscaler capex expectations remain extremely elevated (> \$1.1tr in 2027), with capital intensity still rising and likely underestimated by consensus, reinforcing heavy issuance outlook.
- In addition to heavy issuance, we also note that capacity in non-USD markets to fund this is limited, and effective leverage is rising for hyperscalers via off-balance-sheet channels, which increases risks around overbuild and weaker-than-expected earnings over time.
- These factors skew risk/reward negatively for IG tech, with potential spread widening and asymmetric downside for credit vs. equities.

HQ hyperscalers have only modestly underperformed so far



Source: ICE BofA, Morgan Stanley Research

Off-balance-sheet leverage is rising on the back of elevated lease and purchase commitments

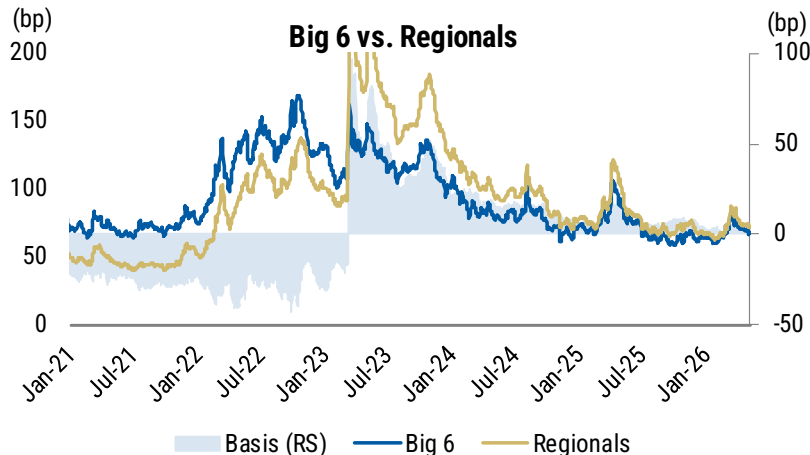


Source: Note: Leases not started are undiscounted. ORCL and MSFT figures are included in the prior annual period (2024 = FY 2025). MSFT 2025 = 2FQ26. ORCL 2025 = 3FQ26. GOOGL, META, and AMZN are covered by Brian Nowak; MSFT and ORCL are covered by Keith Weiss. Source: Morgan Stanley Research and company filings

US IG – OW Banks, Especially Regional Banks

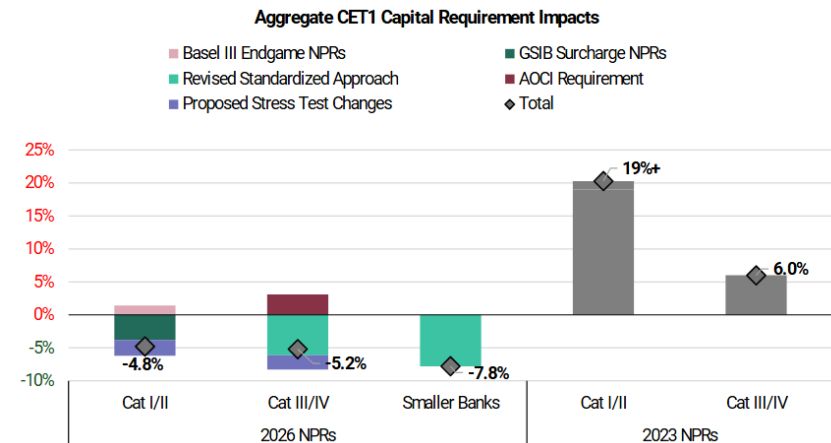
- Maintain OW on Banks (especially Regionals), with scope for spread compression after modest YTD underperformance, supported by a more constructive regulatory backdrop and ~\$291bn of excess capital (+28%) [according to our equity analysts](#).
- Bank issuance remains largely opportunistic vs. structural, with continued support from a resilient and diversified M&A pipeline.

We think banks should outperform index, and regionals can outperform Big 6



Source: ICE BofA, Morgan Stanley Research

Estimated impacts of 2026 Basel III Endgame proposals beneficial to both money center and regional banks

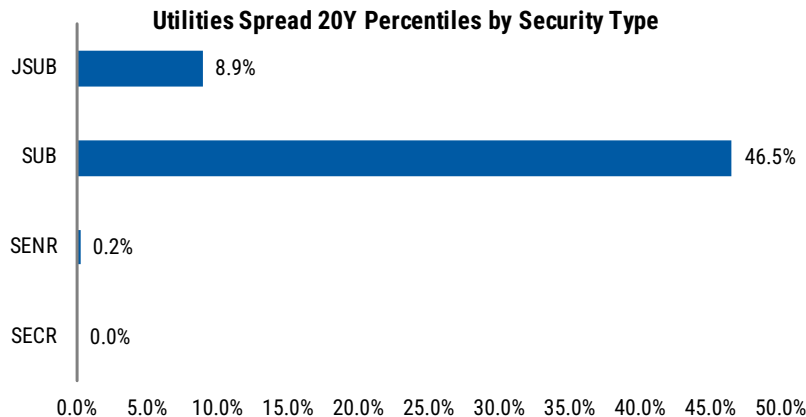


Source: Company data, Morgan Stanley Research estimates; Note: Chart shows weighted average standardized CET1 ratio of BAC, BK, C, JPM, GS, NTRS, PNC, RF, STT, TFC, USB, WFC.

US IG - OW Utilities, Especially Hybrids

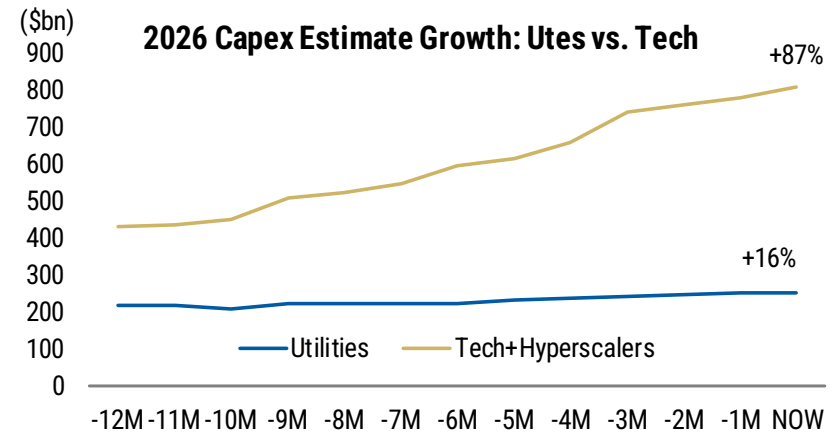
- Utilities offer a compelling way to express AI-driven power demand, benefiting from rising data center load and underappreciated upside to power prices, particularly for IPPs.
- Capex is rising but remains more manageable than hyperscalers, with strong fundamentals supporting absorption of higher issuance and attractive compensation, especially lower in the capital structure.

Utilities hybrids offer significant spread pick-up versus senior debt



Source: ICE BofA, Morgan Stanley Research

Utilities have seen significant upward revisions in capex that look moderate to Tech/Hyperscaler revisions



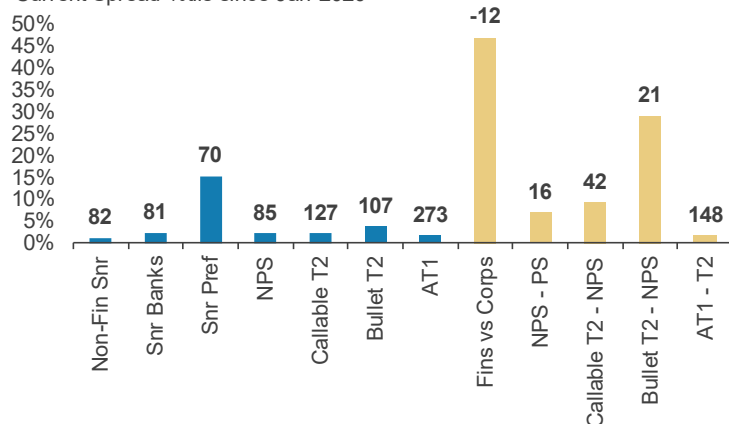
Source: FactSet, Morgan Stanley Research

EU IG – OW Banks; Energy

- **Banks remain our key overweight:** The sector continues to show historically strong fundamentals and a supportive earnings backdrop aided by steep curves, accelerating M&A and primary market activity, while the sector also faces fewer supply pressures compared to corporates. We continue to see better risk-adjusted valuations in banks, particularly further down the capital structure. The key risk is a sharp deterioration in the macro outlook that could weigh on the sector.
- **Still see value in Energy:** Rising oil prices have tended to lead to an outperformance of the sector in IG. Our broad rule of thumb is that for every 10% rise in Brent, oil and gas sector spreads tend to outperform the index by ~3bp. So far, the energy sector has lagged the rise in oil prices, leaving room for further outperformance. A key risk to this view is a sharp decline in oil prices.

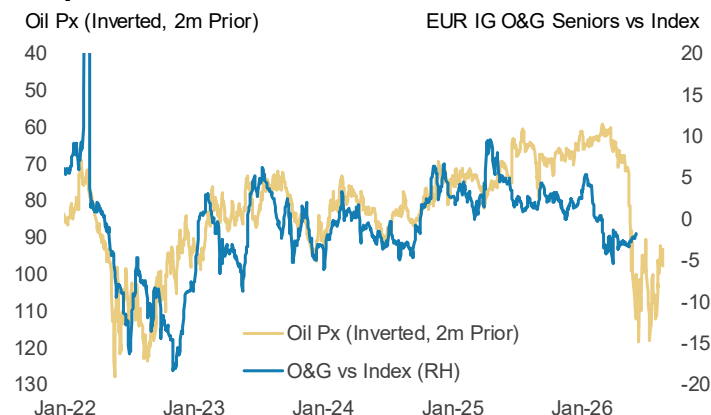
Financials continue to trade at a significant discount to corporates

Current Spread %tile since Jan-2020



Source: Bloomberg, ICE BofA, Morgan Stanley Research

Oil price rally tends to lead energy credit outperformance



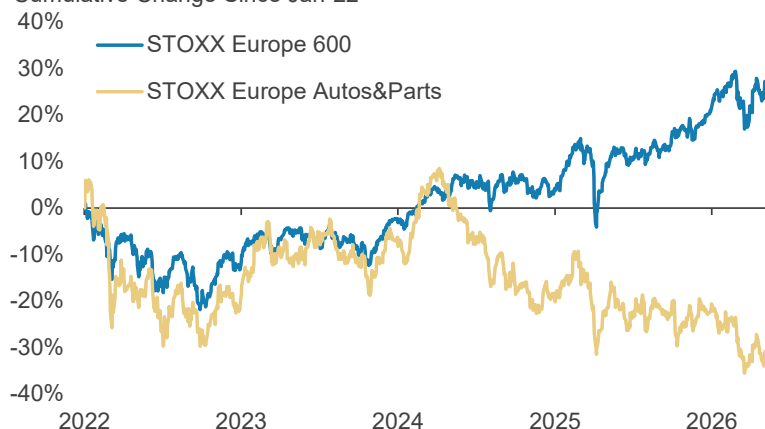
Source: Bloomberg, IHS Markit, Morgan Stanley Research forecasts; Note: Based on iBoxx EUR IG Non-Financials senior index. We apply our commodities strategists' 2H27 scenarios of US\$65/bbl, US\$80/bbl and US\$180/bbl for oil bull, base and bear cases.

EU IG – UW Cyclical, Particularly Autos

- **Autos exposed to structural challenges:** Over recent years, European autos' profitability has been under intensifying pressure, with structural headwinds of a margin dilutive EV mix, [intensifying competition](#) from Chinese automakers, and inflation putting pressure on [affordability](#). Against this backdrop, [25% tariffs](#) and the Middle East conflict induced oil price shock add [further headwinds](#) to already historically low margins and high investment. The headwinds are particularly pronounced for volume OEMs as our equity analysts highlight ([European OEMs: 2026 getting darker](#)).
- While most OEMs are operating with low leverage, the broader challenges are increasingly reflected in a gradually deteriorating ratings mix in the sector, and the sector remains skewed to more negative ratings outlooks / watches than the broader market.
- However, credit markets have priced out much of the downside, with the sector spread relative to the index now back at 11bp, just 5bp away from the long-run median, and well below recent peaks. In the scenario of a quick de-escalation in the Middle East, autos would likely outperform, but we recommend selling into that relief rally.

Gap in equity valuations between autos and rest of the market continues to widen...

Cumulative Change Since Jan-22



Source: Bloomberg, Morgan Stanley Research

... while autos' credit spread pickup looks particularly rich now

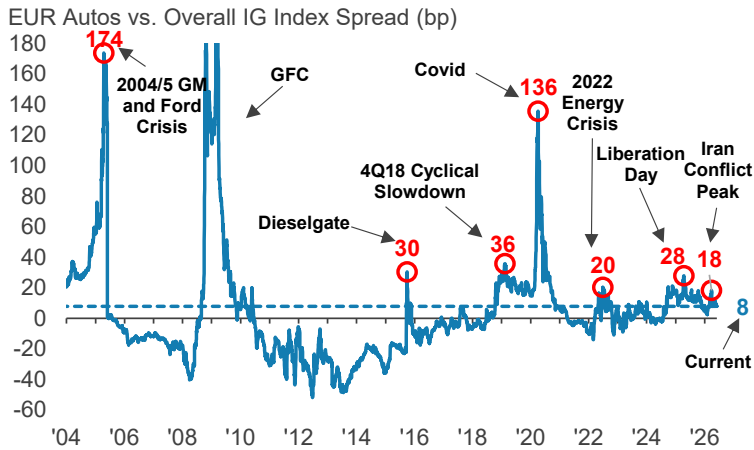
Historical periods of autos stress

Date	Event	EUR IG Autos Spread (bp)	Autos vs. EUR IG Spread (bp)
Apr 2005	GM/Ford Crisis	261	174
Mar 2009	GFC	521	211
Sep 2015	Dieseltgate	181	30
Feb 2019	4Q18 Cyclical Downturn	172	36
Apr 2020	Covid	364	136
Jun 2022	Energy Shock	220	20
Nov 2024	2024 profit warnings	131	21
Apr 2025	Liberation day	146	28
Mar 2026	Iran Conflict	119	18
	Median Peak	181	30
	Median since Jan-22	126	6
Jun 2026	Current	90	8

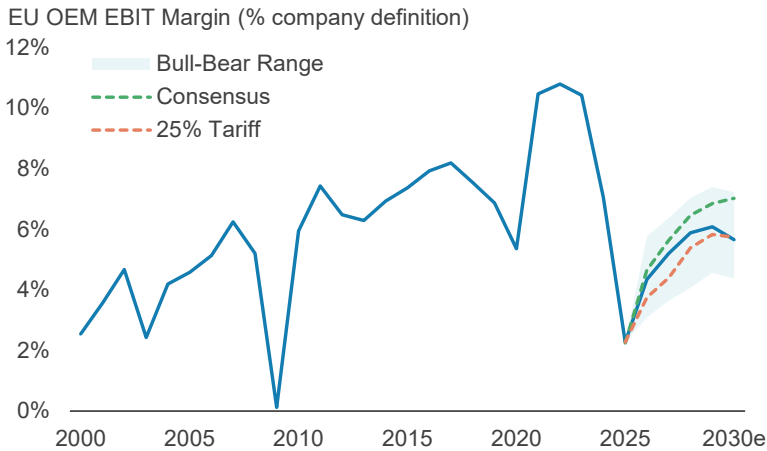
Source: IHS Markit, Morgan Stanley Research

EU IG – UW Autos (2)

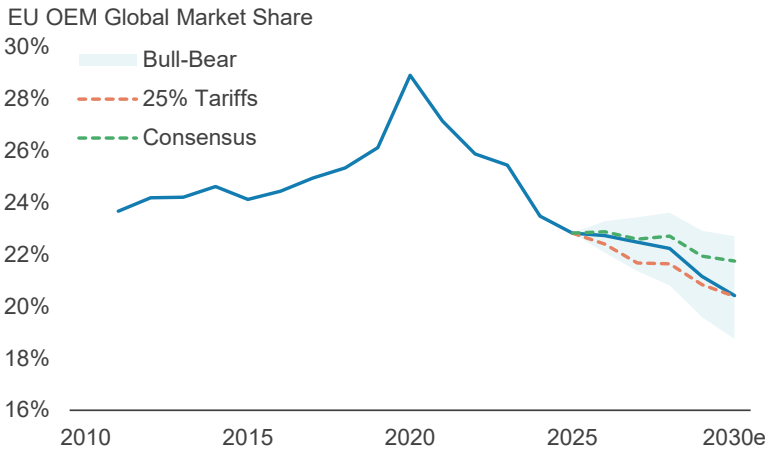
Credit risk premium in autos have normalised



Auto margins at historical lows with a wide band of uncertainty ahead



European carmakers losing market share



Profitability, market share, FCF generation are key soft-spots for sector fundamentals

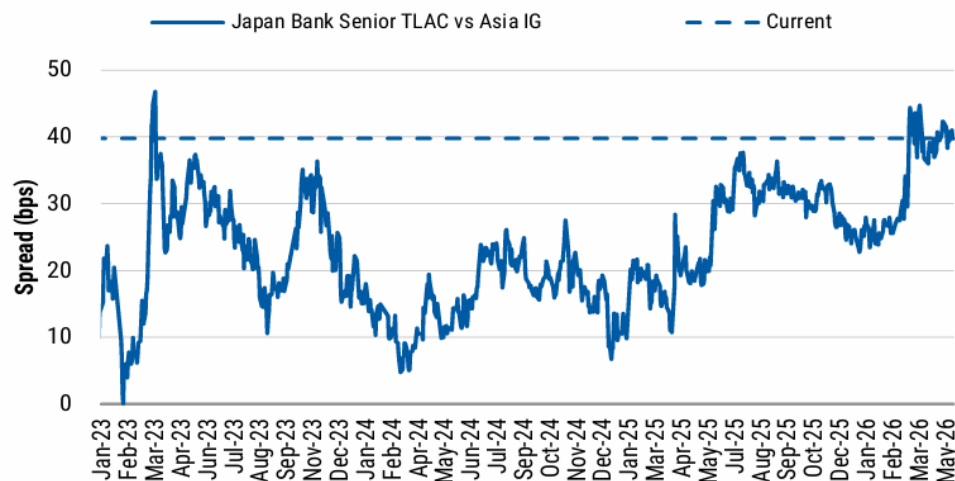
Moody's Ratings Scorecard

Weight	Factor	Mercedes-Benz	BMW	VW	GM	Stellantis	Ford	Renault	Volvo Car	JLR	Aston Martin
40%	Market Share Trend	Baa	Baa	Ba	Baa	Ba	Ba	Baa	Baa	Ba	Baa
	Market Position	A	A	A	Baa	Baa	Ba	Ba	Ba	Ba	B
20%	EBIT Margin	Ba	B	Ba	Ba	Ca	B	Ba	B	B	Ca
	Debt/EBITDA	Aaa	Aaa	A	A	Ca	Baa	Baa	A	A	Ca
	EBIT/IntExp	Aaa	Aa	Baa	Baa	Ca	Ba	Baa	Ba	Ba	Ca
25%	RCF/D	Aaa	Aaa	Baa	A	Ca	Caa	Baa	Baa	B	Ca
	FCF/D	Aaa	Ca	Caa	Aa	Ca	Ca	A	Caa	Caa	Ca
	(Cash+MS)/Debt			A							
15%	Financial Policy	A	A	A	Baa	Baa	Baa	Baa	Baa	Baa	B
	Scorecard	A2	Baa1	Baa2	Baa2	B1	Ba3	Ba1	Ba1	Ba2	Caa1
	Actual	A2	A2	Baa1	Baa2	Baa3	Ba1	Ba1	Ba1	Ba3	Caa1

Asia Credit – Long Japan Banks Senior TLAC

- In Despite the recent tightening in Japan banks senior TLAC spreads, its is still 10bps winder than its year-to-date tights. We understand investors' concerns surrounding supply risk for Japan banks senior TLAC.
- However, at close to double Asia IG spreads, we believe Japan bank senior TLAC compensates investors for supply-risk concerns. In addition, Japan banks senior TLAC also benefit from the strong inflows into US credit funds, which have Japan credit in their mandates.
- Lastly, we believe that higher JGB yield risk is manageable for Japanese banks and is unlikely to put pressure on its TLAC spread (see [Thought #1: USD bond-issuing Japan banks' exposure to JGB risk is manageable, January 23, 2026](#)).

Japan Banks Senior TLAC spread pickup over Asia IG is the highest since 2023

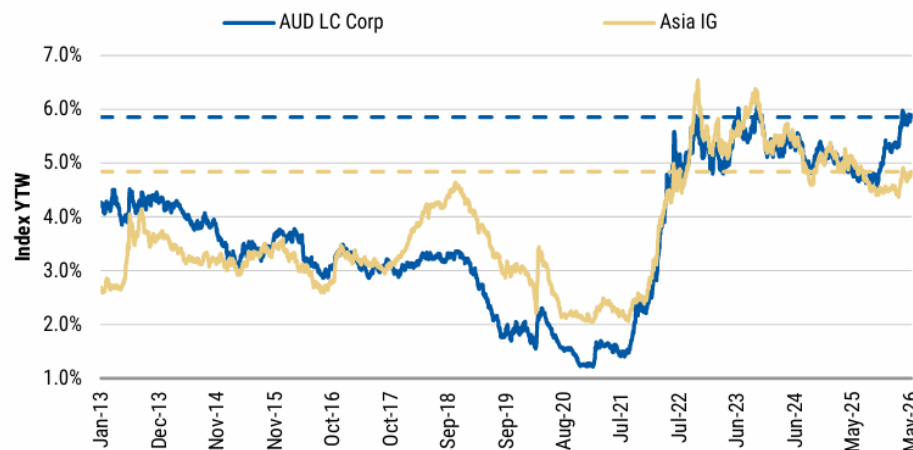


Source: iBoxx, Bloomberg, Morgan Stanley Research

Asia Credit – Long Unhedged AUD LC Corp Bonds

- Our global FX strategy team is bullish on the AUD as its medium-term outlook has improved. Their year-end target for USDAUD is 0.75 by end of the year, which translates into ~ 5% FX returns for USD-based investors.
- Aside from the FX alpha opportunity provided by this trade, the carry return from AUD LC corps bonds looks attractive as well.
- AUD LC corps bonds currently offer close to a 100bp yield pick-up over Asia IG.

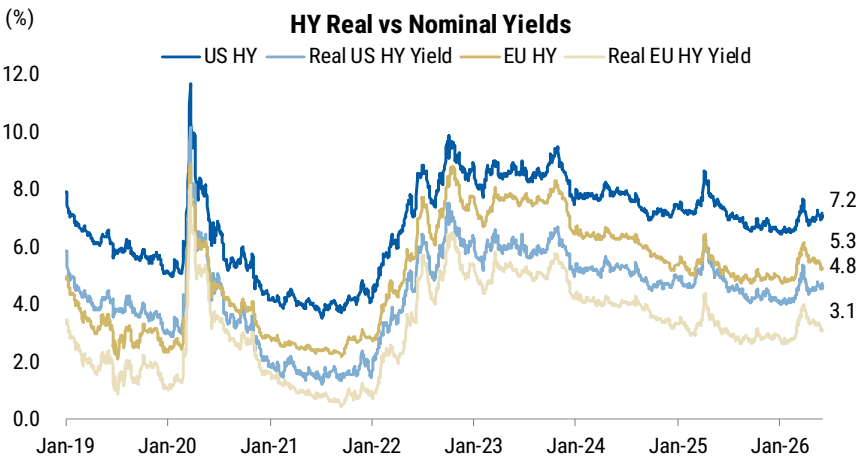
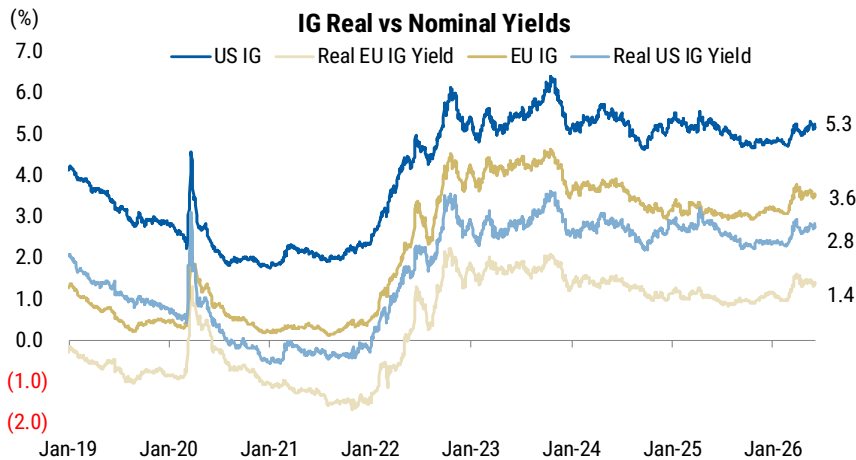
AUD LC corp bonds provide attractive yield pick-up over Asia IG



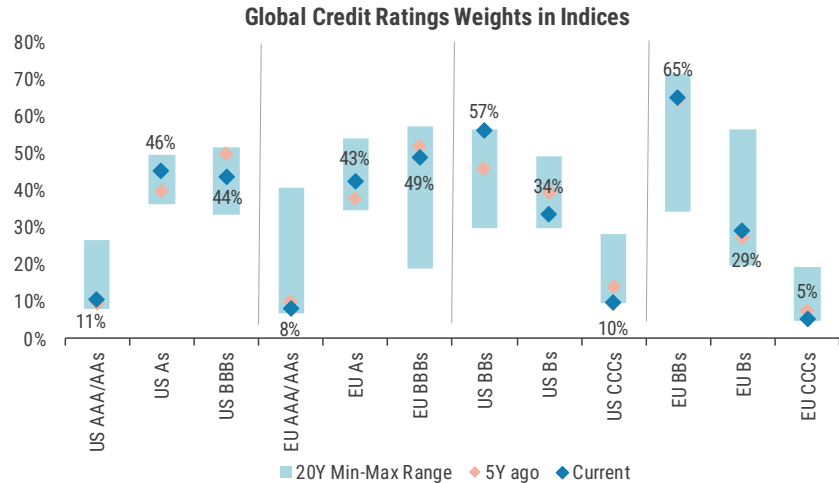
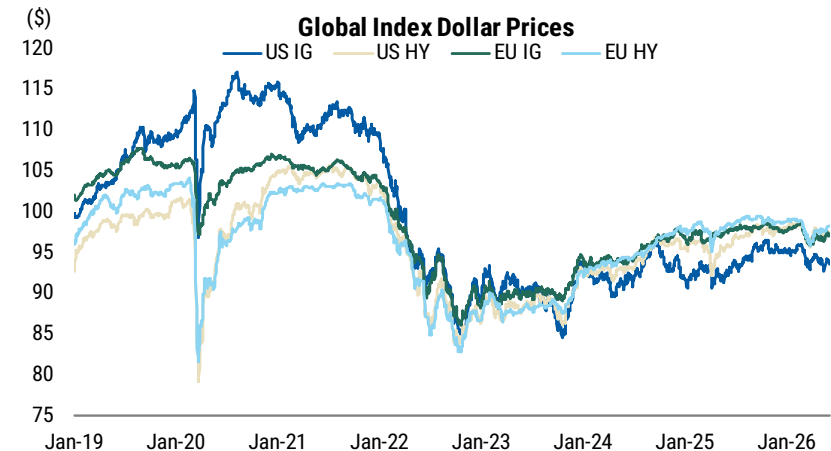
Source: iBoxx, Bloomberg, Morgan Stanley Research

US and EU Credit

Yields, Dollar Prices, and Index Quality



Source: Bloomberg, Morgan Stanley; Note: Real Yield is the difference of index YTW and 5Y5Y breakevens

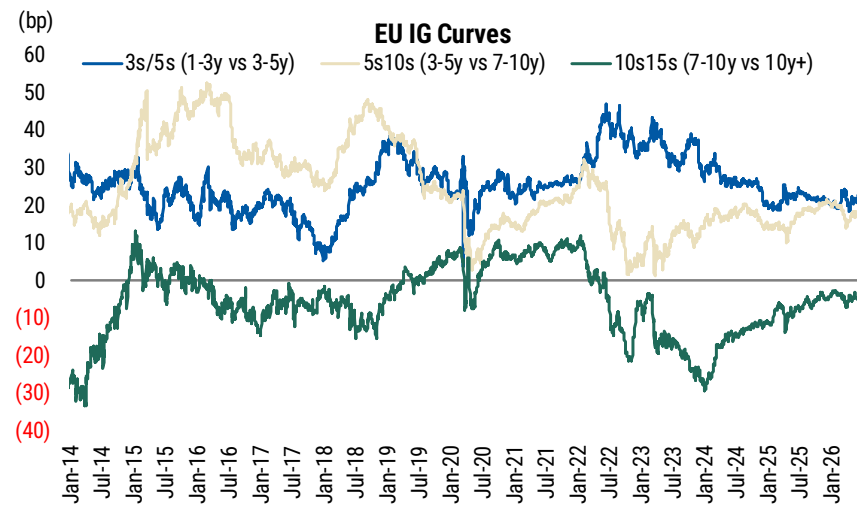
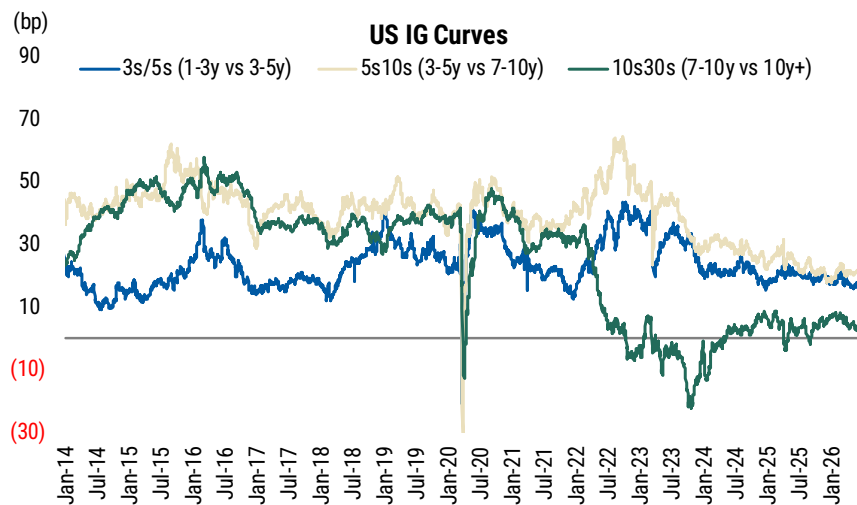
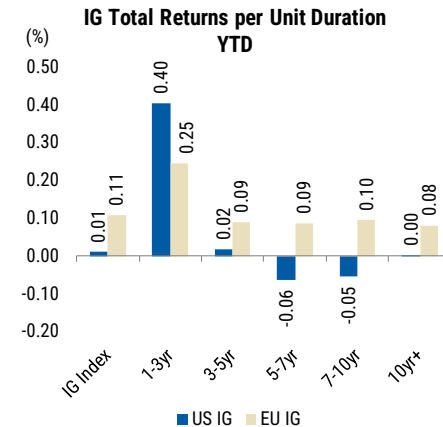
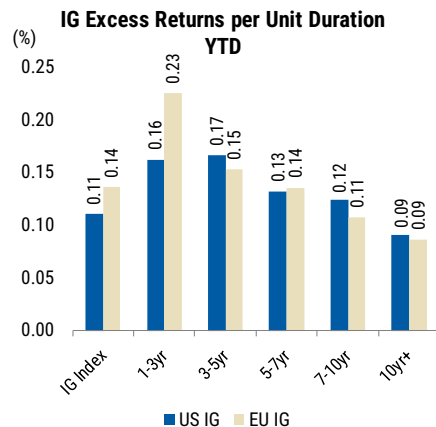


Source: Bloomberg, Morgan Stanley Research

Source: Bloomberg, Morgan Stanley Research

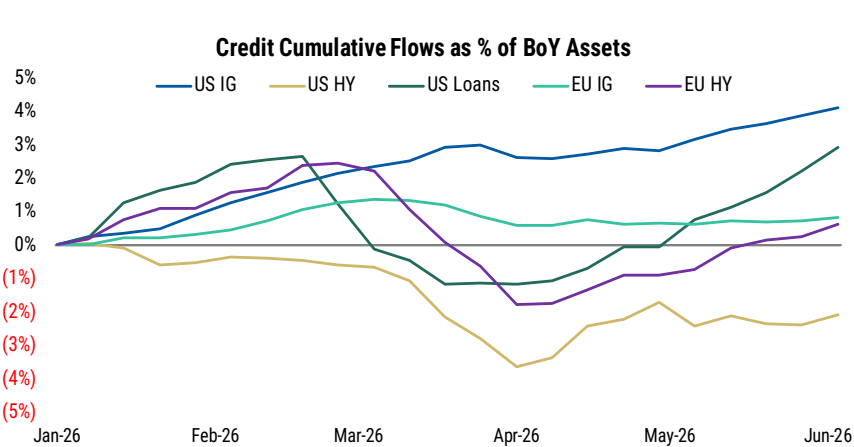
Curve Performance

Curves Performance	Current	1 Wk Δ	3 Mth Δ	12 Mth Δ	1Y %Tile	1Y %Tile Range	20Y %Tile	20Y %Tile Range
US 1-3y	46	1	(4)	(11)	16%	■	9%	■
US 3-5y	64	1	(6)	(14)	7%	■	7%	■
US 5-7y	72	2	(5)	(20)	10%	■	2%	■
US 7-10y	86	1	(7)	(17)	15%	■	1%	■
US 10y+	89	2	(11)	(16)	9%	■	0%	■
US 3s5s	17	0	(3)	(3)	16%	■	26%	■
US 5s10s	22	1	(1)	(3)	67%	■	21%	■
US 10s30s	3	0	(3)	0	33%	■	25%	■
EUR 1-3y	55	(3)	(5)	(23)	8%	■	8%	■
EUR 3-5y	77	(2)	(5)	(22)	16%	■	9%	■
EUR 5-7y	90	(2)	(7)	(21)	8%	■	8%	■
EUR 7-10y	95	(2)	(7)	(21)	6%	■	7%	■
EUR 10y+	90	(3)	(8)	(18)	4%	■	7%	■
EUR 3s5s	23	2	(0)	0	75%	■	46%	■
EUR 5s10s	18	(0)	(1)	1	29%	■	33%	■
EUR 10s15s	-5	(0)	(1)	3	48%	■	63%	■

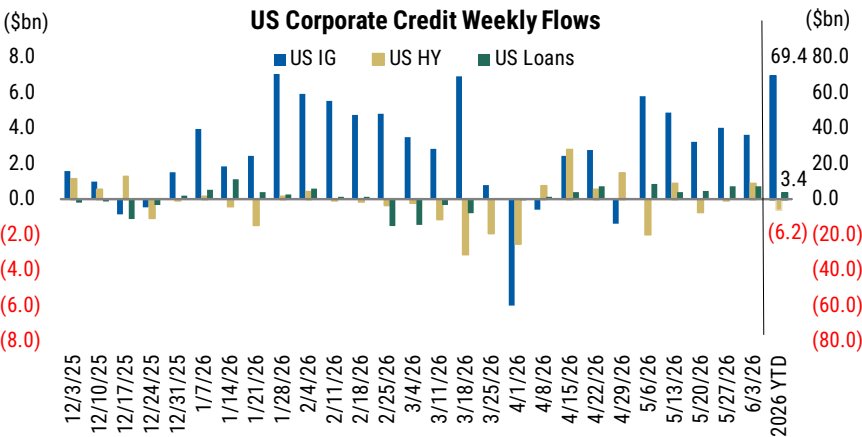


Source: Bloomberg, Morgan Stanley Research

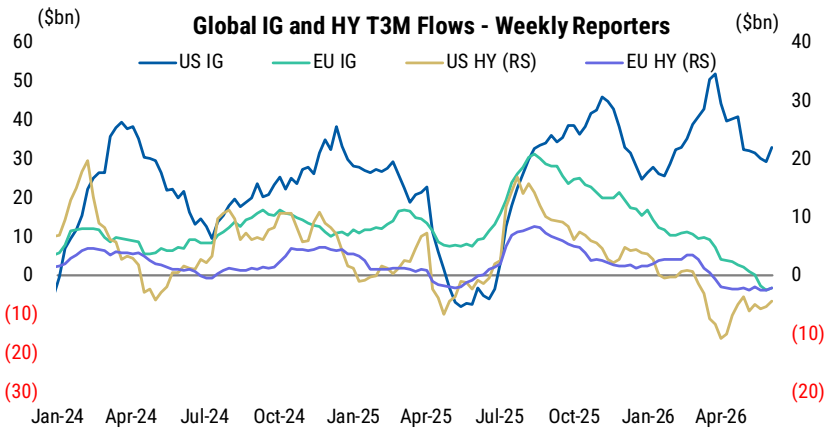
Global Credit Demand



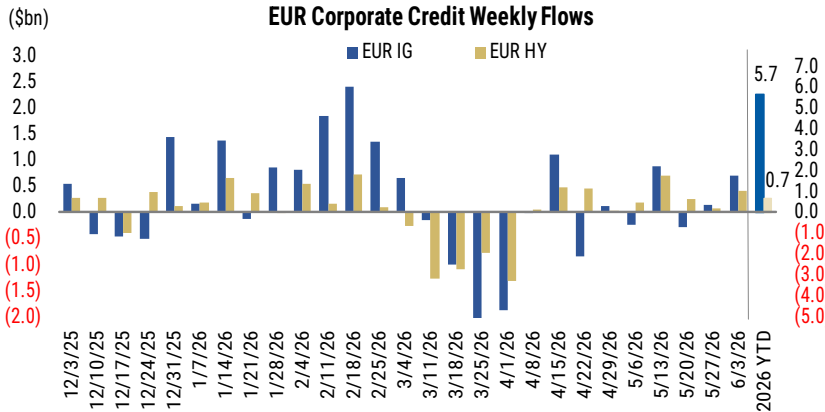
Source: Lipper, EPFR, Morgan Stanley Research;



Source: Lipper, Morgan Stanley Research

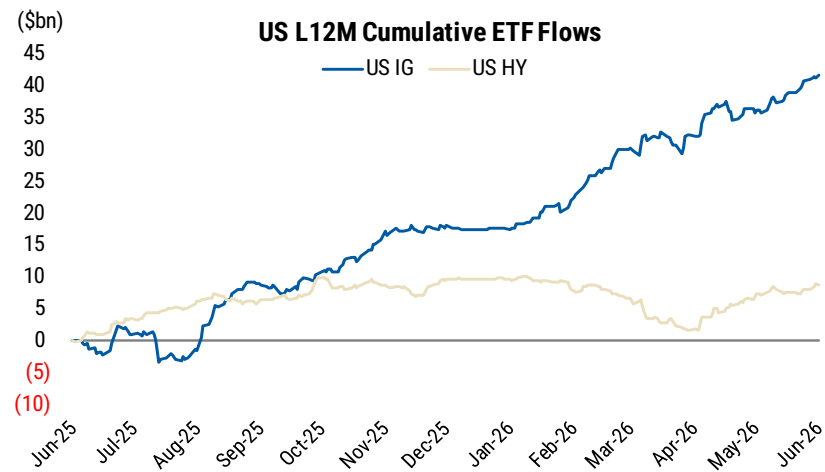


Source: Lipper, EPFR, Morgan Stanley Research

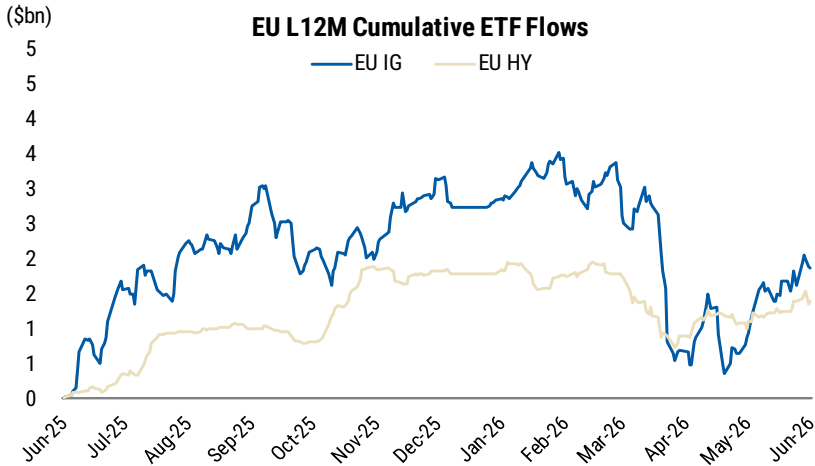


Source: EPFR, Morgan Stanley Research

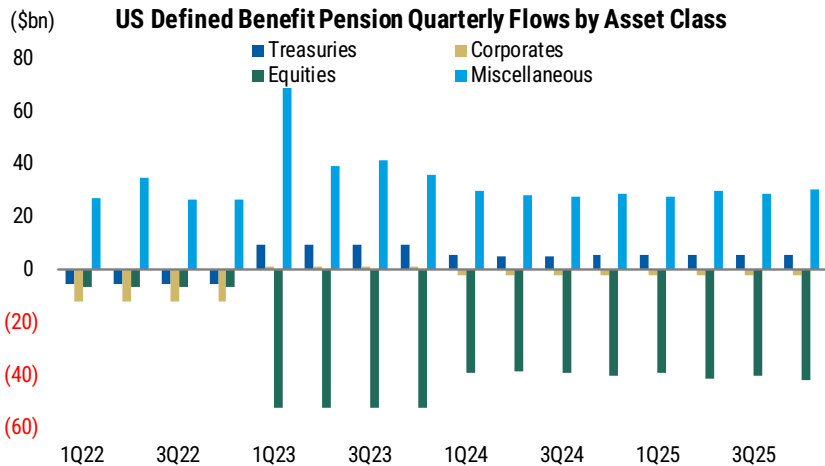
Global Credit Demand



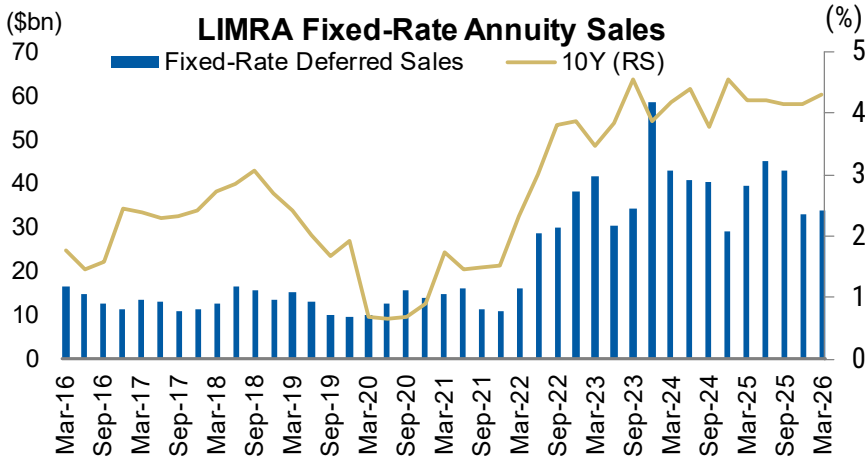
Source: Bloomberg, Morgan Stanley Research



Source: Bloomberg, Morgan Stanley Research

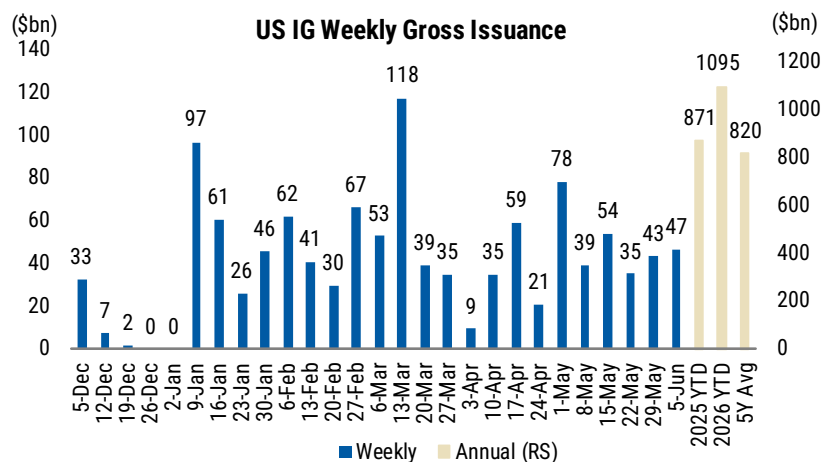


Source: Federal Reserve, Morgan Stanley Research

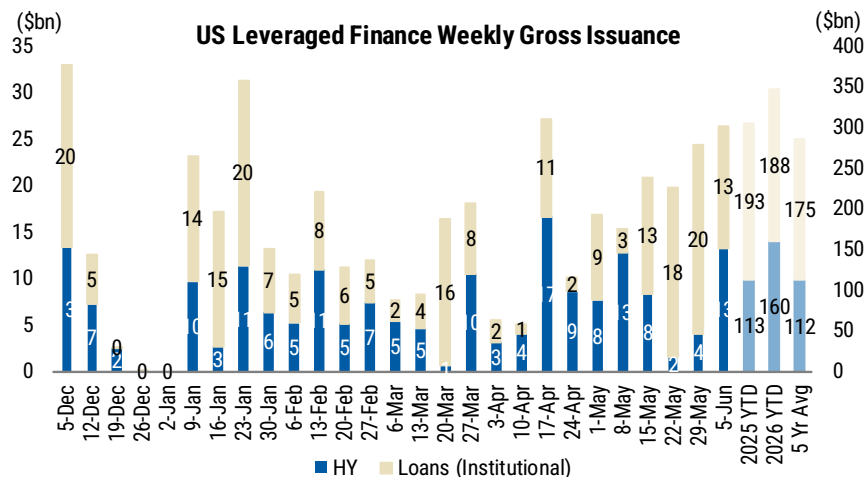


Source: LIMRA, Morgan Stanley Research

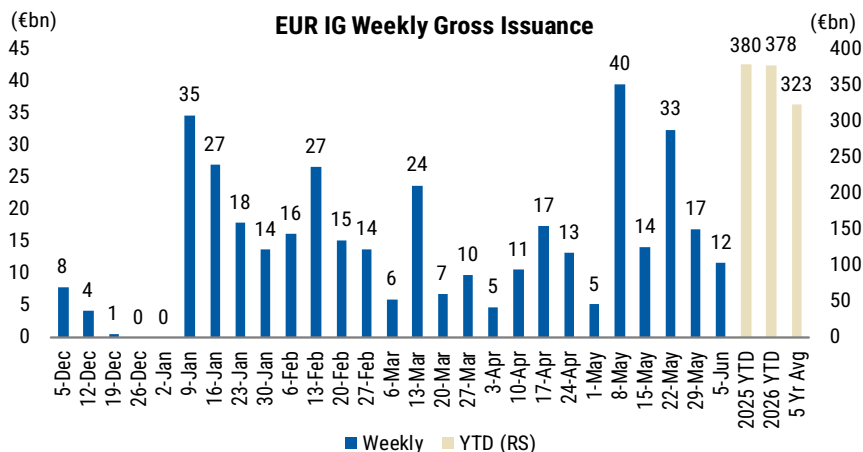
Global Credit Supply



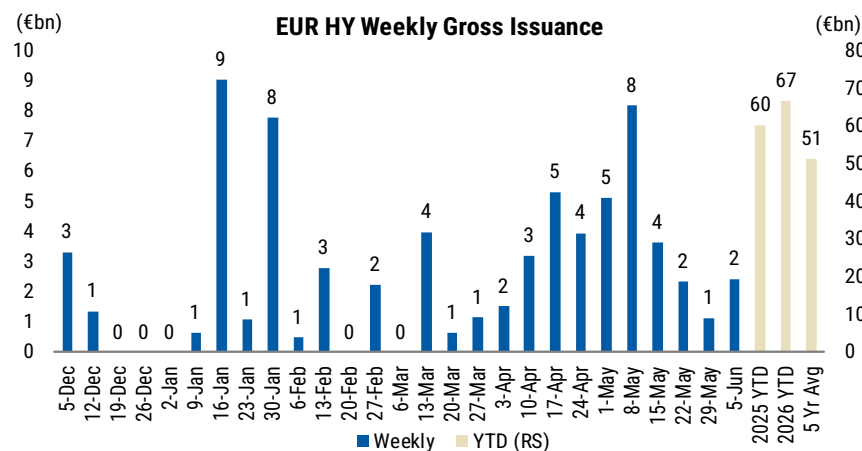
Source: Dealogic, Morgan Stanley Research; Note: Excludes tranches <\$100MM



Source: Morgan Stanley Research, PitchBook | LCD

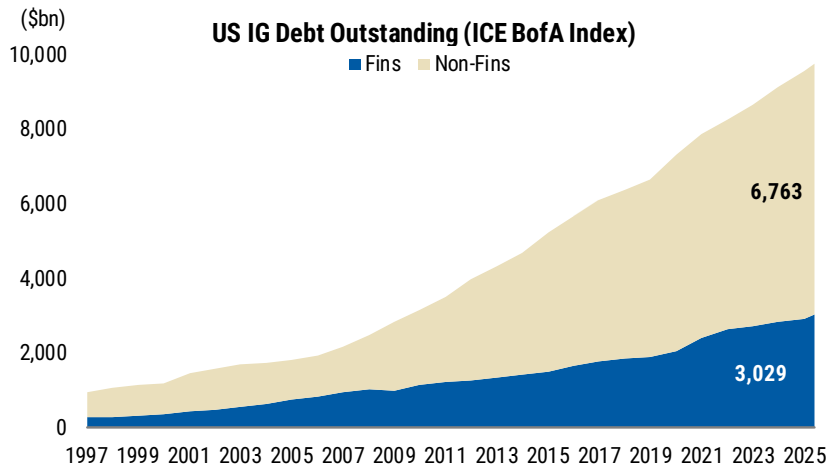


Source: Bond Radar, Morgan Stanley Research

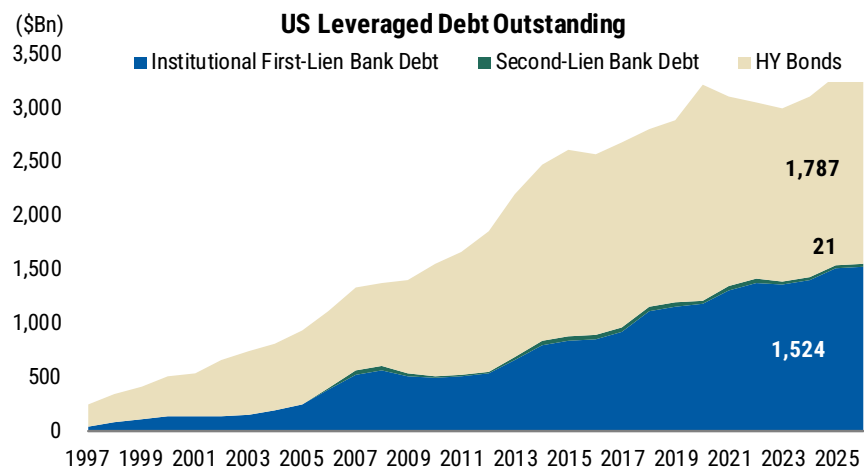


Source: Bond Radar, Morgan Stanley Research

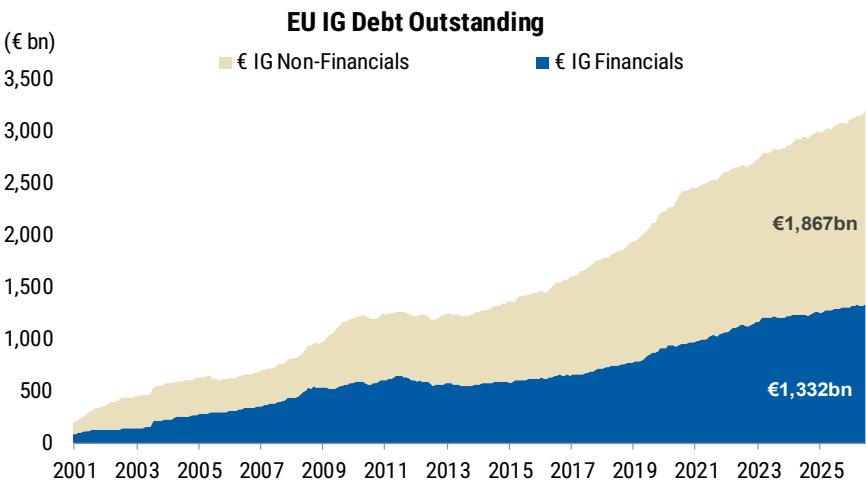
Debt Outstanding



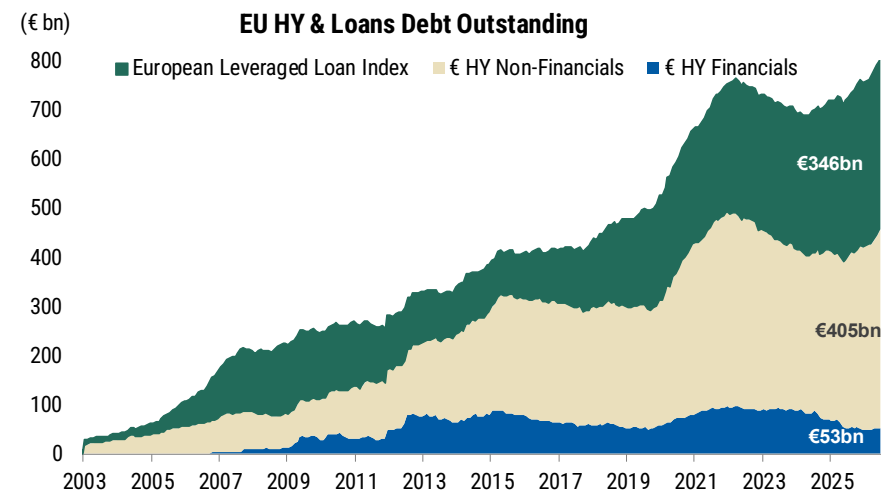
Source: ICE, Morgan Stanley Research. Note: Data as of May 31, 2026



Source: PitchBook | LCD, Morgan Stanley Research. Note: Data as of May 31, 2026

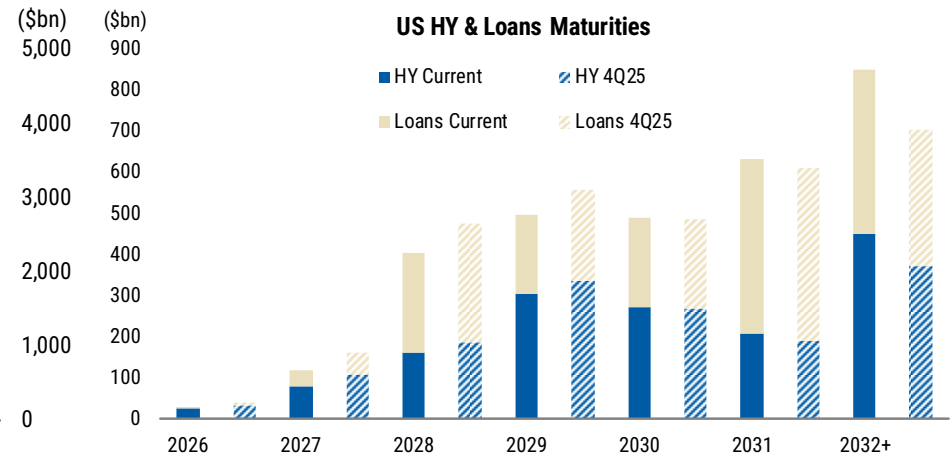
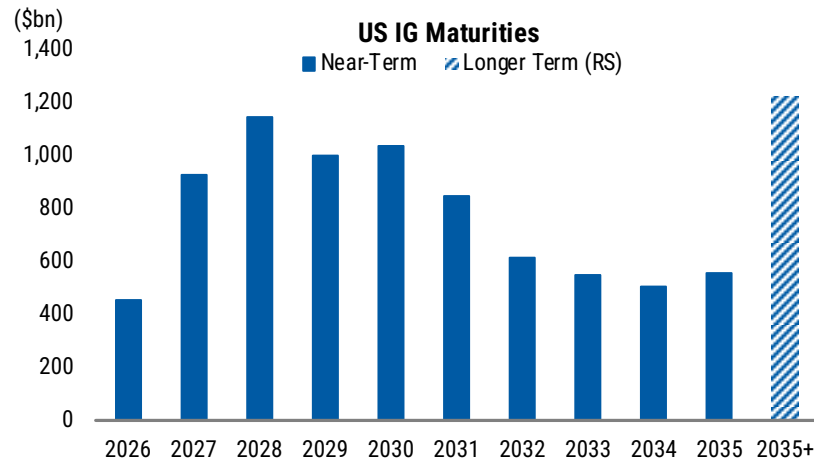


Source: ICE, IHS Markit, Bloomberg, Morgan Stanley Research. Note: Data as of March 31, 2026

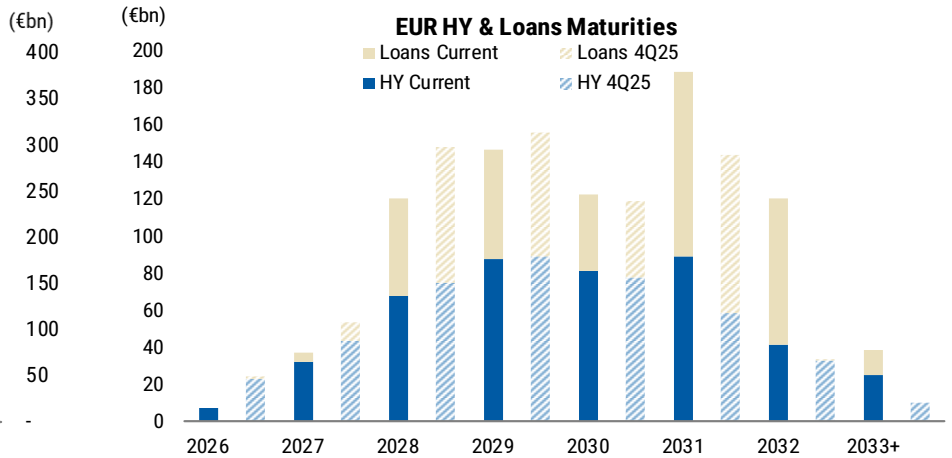
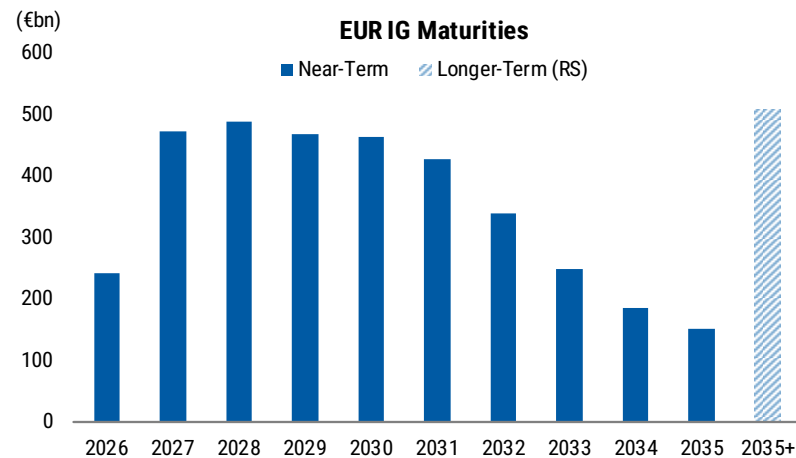


Source: IHS Markit, Bloomberg, PitchBook | LCD, Morgan Stanley Research. Note: Data as of May 31, 2026

Maturity Walls



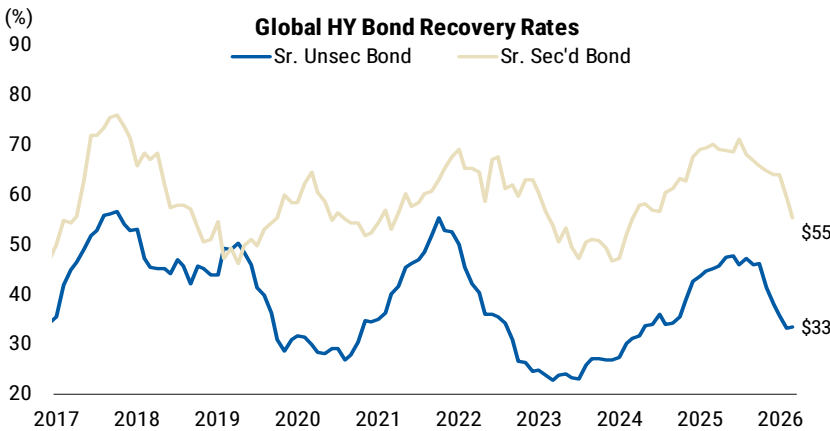
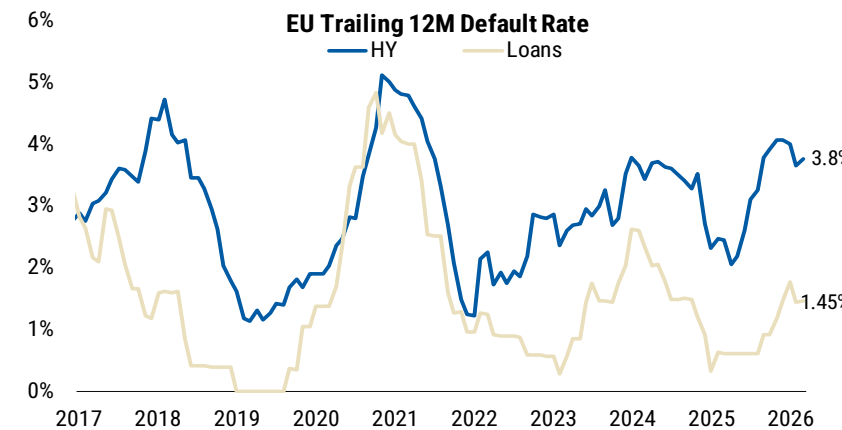
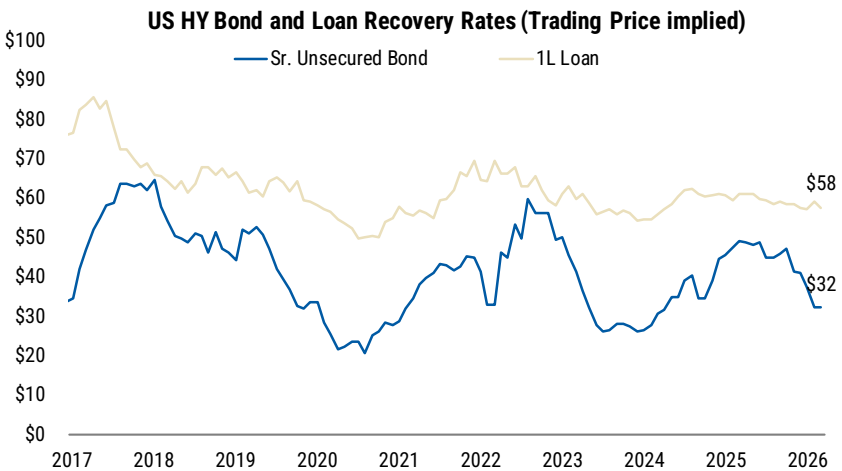
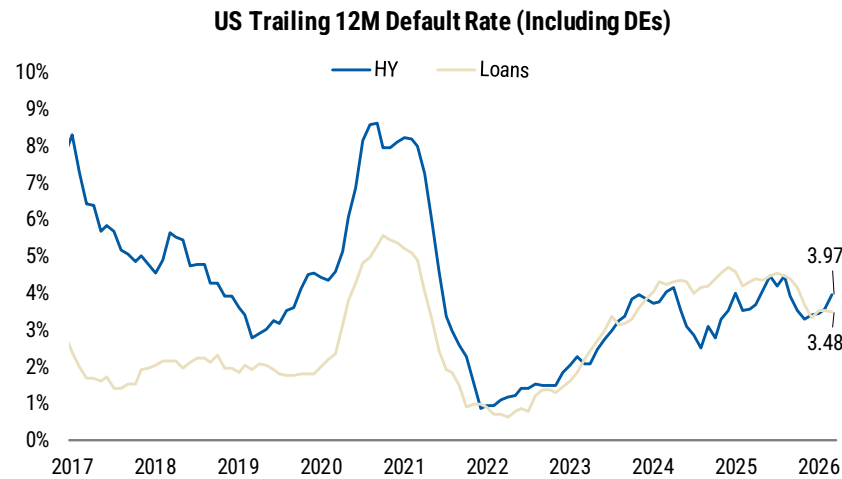
Source: Bloomberg, Morgan Stanley Research



Source: ICE, Bloomberg, PitchBook | LCD, Morgan Stanley Research

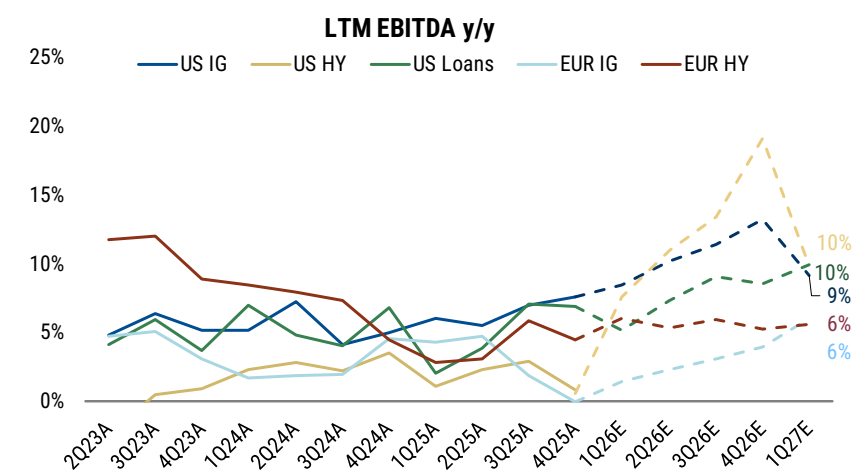
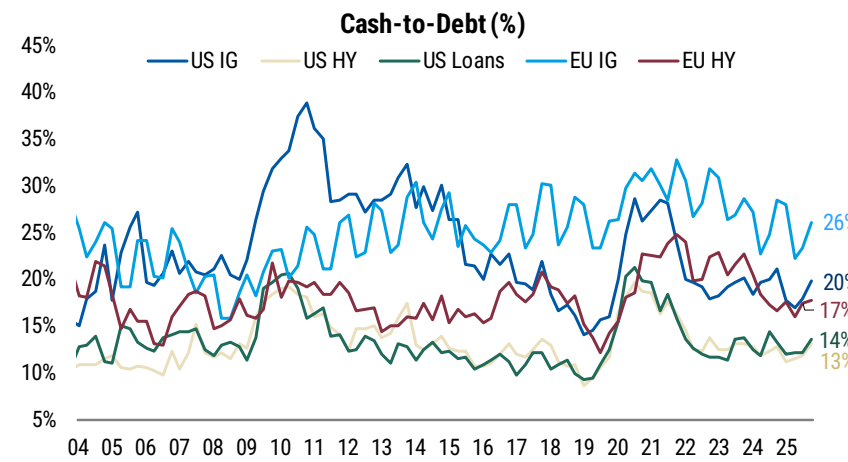
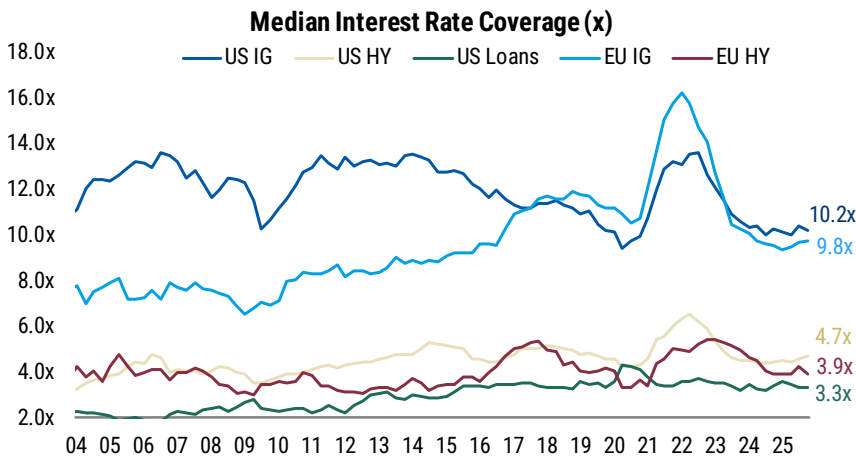
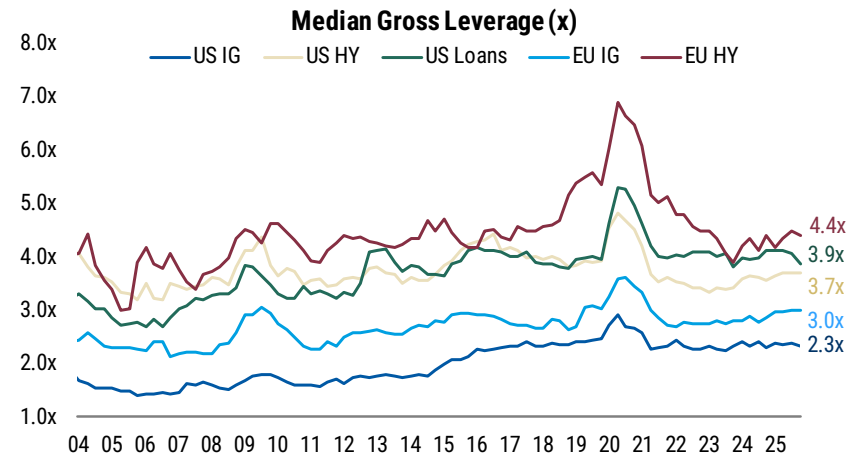
Source: ICE, Bloomberg, PitchBook | LCD, Morgan Stanley Research; Note: Loans Data as of June 2026.

Defaults and Rating Changes



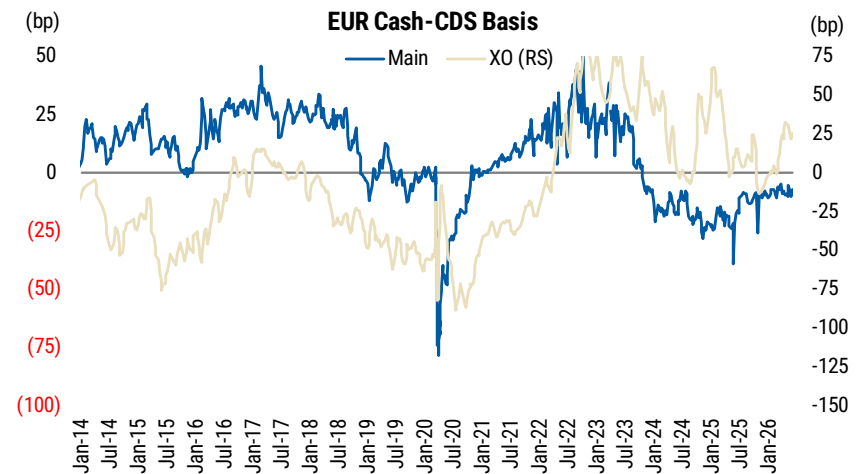
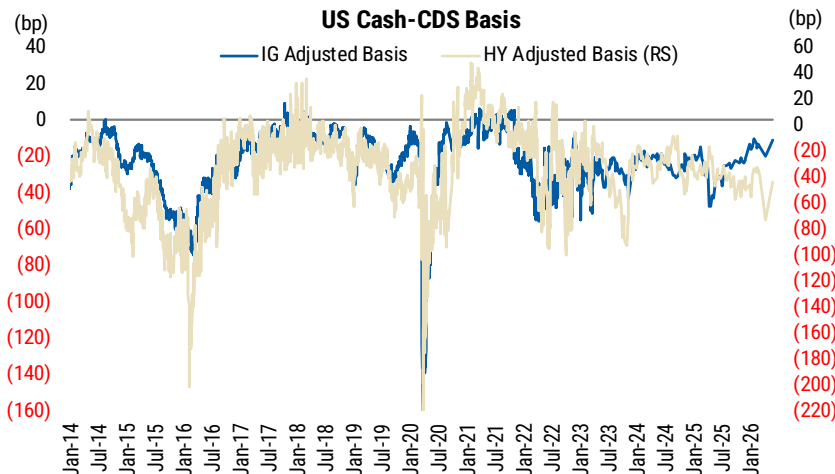
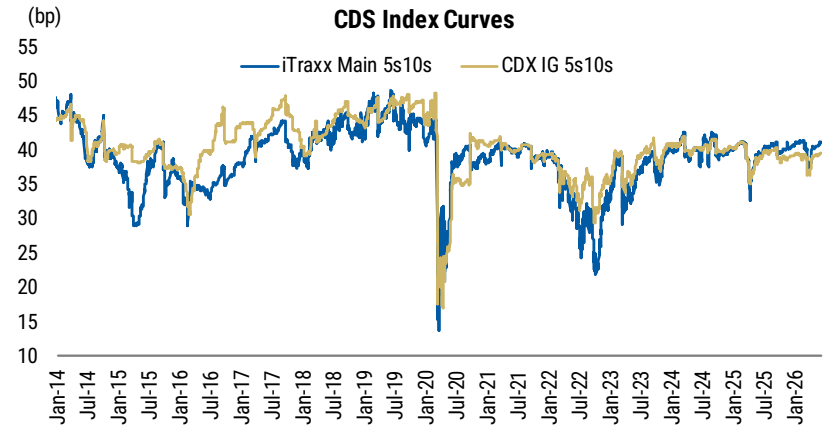
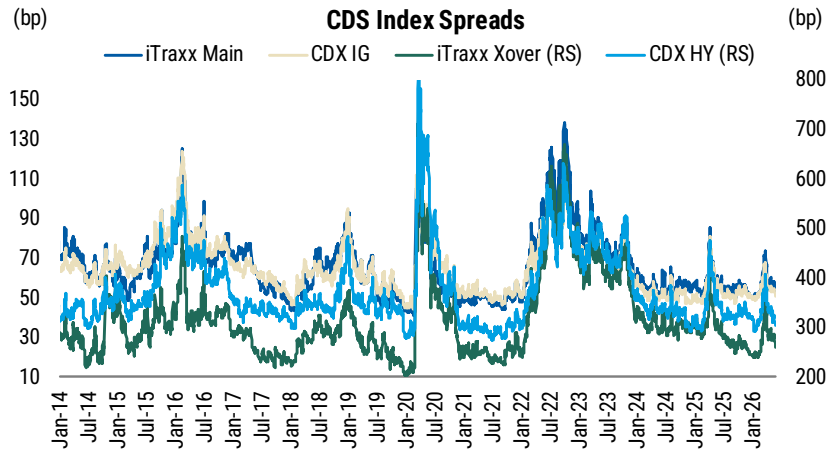
Source: Moody's, PitchBook | LCD, Morgan Stanley Research

Fundamentals



Source: FactSet, Bloomberg, S&P Capital IQ, company data, Morgan Stanley Research. Note: LTM EBITDA y/y figures show Bloomberg consensus from 1Q26.

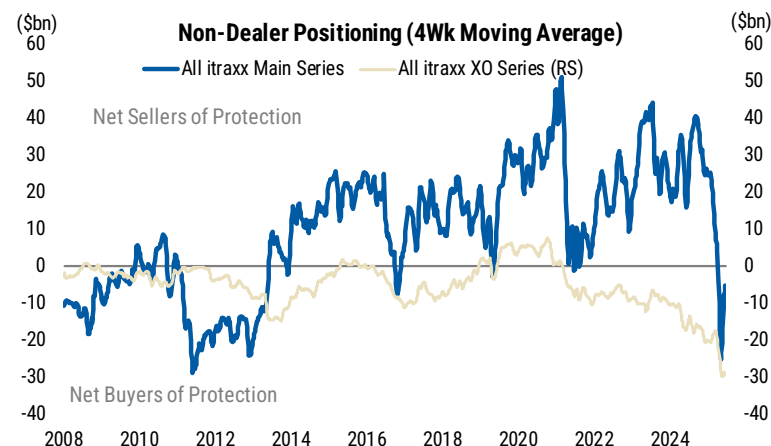
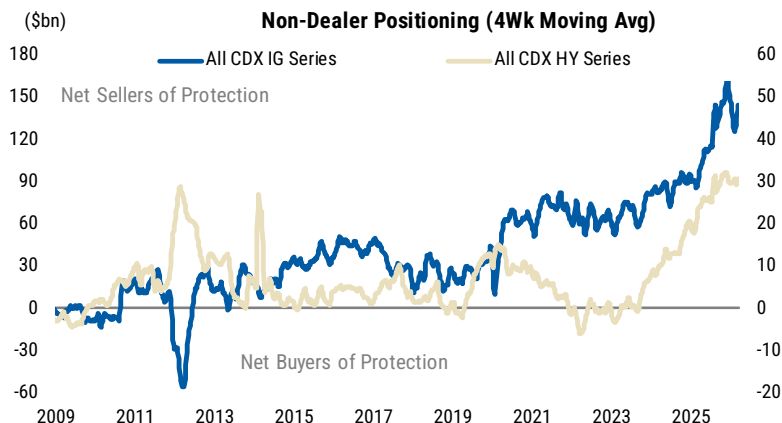
Credit Derivatives



Non-Dealer CDS Positioning

Net Positioning (\$bn)	Current		Change			6M	Percentile		
	Current	1W	2W	1M			1Y	2Y	5Y
IG41	1.1	-0.1	-0.1	-1.1					
IG42	1.2	0.0	0.0	0.2					
IG43	0.7	0.0	-0.2	0.2					
IG44	1.9	-0.5	-1.4	-0.2					
IG45	43.1	-7.4	-5.9	-6.5					
IG46	94.2	6.4	16.8	20.3					
All CDX IG	150.3	-1.5	9.9	14.3	69%	83%	91%	97%	
HY41	2.6	0.0	-0.1	-0.4					
HY42	2.3	0.0	0.0	0.2					
HY43	0.4	-0.1	-0.1	-0.1					
HY44	0.5	0.0	0.2	0.0					
HY45	9.1	-1.9	-1.8	-1.4					
HY46	14.1	0.7	0.9	4.4					
All CDX HY	30.8	-1.4	-0.7	3.0	62%	79%	89%	96%	

Net Positioning (\$bn)	Current		Change		6M	Percentile		
	Current	1-Wk	2-Wk	1/M		1Y	2Y	5Y
Main40	-1.2	-0.4	-1.0	-1.7				
Main41	1.7	0.4	0.3	0.8				
Main42	-1.7	0.1	0.1	-0.2				
Main43	2.4	-0.1	-0.2	0.1				
Main44	8.9	-1.3	1.6	0.8				
Main45	-4.3	-1.9	-6.2	7.2				
All Main Series	-8.2	-2.7	-5.4	7.2	23%	12%	6%	2%
XO40	-2.8	0.2	0.4	0.3				
XO41	-1.6	-0.2	-0.3	-0.3				
XO42	-3.3	-0.2	0.0	0.4				
XO43	0.9	0.1	0.0	0.0				
XO44	-18.0	0.3	-0.4	-1.1				
XO45	-3.1	-0.5	1.9	-0.5				
All XO Series	-30.3	-0.9	0.4	-2.4	12%	6%	3%	1%



Source: DTCC, Morgan Stanley Research; Note: Data as of May 15, 2026

US IG – Best + Worst Performing Single As

Best Performing 3-10y Single ABonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	UAL	3.500	01/03/30	Consumer, Cyclical	NR / Aa2 / A+	60	(16)	(40)
2	AAL	3.150	15/02/32	Consumer, Cyclical	AA- / A2 / NR	58	(12)	(26)
3	ADBE	4.950	17/01/30	Technology	A+ / A1 / NR	29	(8)	(6)
4	IBM	1.950	15/05/30	Technology	A- / A3 / A-	43	(8)	(9)
5	AAL	3.350	15/10/29	Consumer, Cyclical	NR / A1 / AA	75	(8)	(19)
6	ACGL	7.350	01/05/34	Financial	A / A3 / A-	84	(7)	(14)
7	UPMCHS	5.035	15/05/33	Consumer, Non-cyclical	A / A2 / A	56	(7)	(18)
8	UAL	4.150	25/08/31	Consumer, Cyclical	NR / Aa2 / A+	76	(7)	(15)
9	INTU	1.650	15/07/30	Technology	A / A3 / NR	47	(7)	5
10	IDA	5.200	15/08/34	Utilities	A- / A3 / NR	62	(7)	(10)

Best Performing 10Y+ Single ABonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	ACGL	5.144	01/11/43	Financial	A / A3 / A-	67	(12)	(22)
2	TOLHOS	5.750	15/11/38	Consumer, Non-cyclical	AA / A1 / NR	25	(10)	(21)
3	UAL	5.875	15/02/37	Consumer, Cyclical	A+ / A3 / NR	138	(9)	(7)
4	CATMED	4.350	01/11/42	Consumer, Non-cyclical	A- / A3 / A-	81	(7)	(18)
5	UPMCHS	5.377	15/05/43	Consumer, Non-cyclical	A / A2 / A	87	(6)	(4)
6	PREHCS	4.875	01/08/52	Consumer, Non-cyclical	A+ / A2 / AA-	78	(6)	(8)
7	SUTHEA	3.361	15/08/50	Consumer, Non-cyclical	A+ / A1 / AA-	59	(6)	(14)
8	GTOWNU	2.943	01/04/50	Consumer, Non-cyclical	A- / A3 / NR	61	(6)	(14)
9	NSHRLI	3.809	01/11/49	Consumer, Non-cyclical	A- / A3 / A-	86	(5)	(12)
10	MEDHEA	3.626	15/08/49	Consumer, Non-cyclical	A / A2 / NR	83	(5)	(6)

Worst Performing 3-10y Single ABonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	ADI	4.250	01/10/32	Technology	A / A2 / A	23	12	(6)
2	CAT	5.300	15/09/35	Industrial	A / A1 / A+	44	10	(10)
3	BABA	4.500	28/11/34	Communications	A+ / A1 / A	44	9	(15)
4	GP	7.750	15/11/29	Basic Materials	A+ / A3 / NR	42	9	(8)
5	INTU	5.200	15/09/33	Technology	A / A3 / NR	78	9	28
6	CG	5.050	19/09/35	Financial	A- / NR / A-	121	8	12
7	CL	4.200	01/05/30	Consumer, Non-cyclical	A+ / Aa3 / NR	12	8	(24)
8	SO	4.600	15/06/29	Utilities	A / A3 / A	37	7	n/a
9	CMCSA	5.300	15/05/35	Communications	A- / A3 / A-	72	7	(14)
10	FE	4.450	15/08/29	Utilities	A- / A3 / A+	46	7	n/a

Worst Performing 10Y+ Single ABonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	IBM	5.600	30/11/39	Technology	A- / A3 / A-	78	10	(3)
2	D	5.100	01/06/65	Utilities	A / A2 / A+	85	10	(12)
3	CMCSA	6.550	01/07/39	Communications	A- / A3 / A-	112	9	8
4	CMCSA	2.937	01/11/56	Communications	A- / A3 / A-	120	9	(2)
5	CMCSA	2.887	01/11/51	Communications	A- / A3 / A-	118	9	(2)
6	CMCSA	2.987	01/11/63	Communications	A- / A3 / A-	125	8	2
7	KMB	5.300	01/03/41	Consumer, Non-cyclical	A / A2 / NR	54	8	(14)
8	BABA	2.700	09/02/41	Communications	A+ / A1 / A	44	8	(23)
9	CMCSA	3.400	15/07/46	Communications	A- / A3 / A-	116	8	(1)
10	CMCSA	2.650	15/08/62	Communications	A- / A3 / A-	120	8	7

US IG – Best + Worst Performing BBBs

Best Performing 3-10y Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	CNXC	6.850	02/08/33	Technology	BBB- / Baa3 / BBB	342	(76)	89
2	CB	9.700	01/04/30	Financial	BBB+ / A3 / BBB+	62	(20)	(21)
3	FLO	2.400	15/03/31	Consumer, Non-cyclical	BBB- / Baa3 / BBB-	150	(19)	29
4	EMBRBZ	5.980	11/02/35	Industrial	BBB / NR / BBB-	88	(19)	(17)
5	SUZANO	5.000	15/01/30	Basic Materials	BBB- / NR / BBB-	113	(16)	(22)
6	KD	6.350	20/02/34	Technology	BBB- / Baa3 / BBB	260	(14)	121
7	TTWO	5.400	12/06/29	Technology	BBB / Baa2 / NR	43	(14)	(29)
8	ASB	6.455	29/08/30	Financial	BBB- / Baa3 / NR	134	(14)	(32)
9	VALEBZ	6.125	12/06/33	Basic Materials	BBB / Baa2 / BBB+	75	(14)	(27)
10	GGBRBZ	5.750	09/06/35	Basic Materials	BBB / Baa2 / BBB	89	(14)	(27)

Best Performing 10Y+ Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	FLO	6.200	15/03/55	Consumer, Non-cyclical	BBB- / Baa3 / BBB-	248	(41)	60
2	PRU	4.500	15/09/47	Financial	BBB+ / Baa1 / BBB	171	(28)	2
3	AEP	7.050	15/12/54	Utilities	BBB- / Baa3 / BB+	147	(21)	(59)
4	CMS	3.750	01/12/50	Utilities	BBB- / Baa3 / BB+	154	(19)	(34)
5	NRUC	7.125	15/09/53	Utilities	BBB / A3 / BBB+	99	(18)	(54)
6	PRU	5.700	15/09/48	Financial	BBB+ / Baa1 / BBB	148	(18)	(27)
7	PRU	3.700	01/10/50	Financial	BBB+ / Baa1 / BBB	154	(17)	(12)
8	MET	10.750	01/08/39	Financial	BBB / Baa2 / BBB	154	(16)	(13)
9	WEC	5.625	15/05/56	Utilities	BBB / Baa2 / BBB-	145	(15)	(23)
10	AEGON	5.500	11/04/48	Financial	BBB- / Baa2 / NR	124	(15)	(25)

Worst Performing 3-10y Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	PVH	5.500	13/06/30	Consumer, Cyclical	BBB / Baa3 / NR	121	21	(17)
2	F	3.250	12/02/32	Consumer, Cyclical	BBB- / Ba1 / BBB-	155	15	(17)
3	SUZANO	3.750	15/01/31	Basic Materials	BBB- / NR / BBB-	134	15	3
4	MARGRO	6.404	04/11/29	Financial	BBB- / NR / BBB-	141	13	(25)
5	F	3.625	17/06/31	Consumer, Cyclical	BBB- / Ba1 / BBB-	143	12	(19)
6	LUV	5.250	15/11/35	Consumer, Cyclical	BBB / Baa2 / BBB+	137	12	(1)
7	AES	5.800	15/03/32	Utilities	BBB- / Baa3 / BBB-	135	12	(9)
8	F	6.100	19/08/32	Consumer, Cyclical	BBB- / Ba1 / BBB-	145	12	(18)
9	NOV	3.600	01/12/29	Energy	BBB / Baa2 / NR	61	12	(5)
10	GPN	5.400	15/03/33	Consumer, Non-cyclical	BBB- / Baa3 / BBB	147	11	n/a

Worst Performing 10Y+ Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	NI	6.950	30/11/54	Utilities	BBB- / Baa3 / BB+	177	19	(26)
2	F	5.291	08/12/46	Consumer, Cyclical	BBB- / Ba1 / BBB-	200	17	(5)
3	EPD	5.250	16/08/77	Energy	BBB / Baa1 / BBB	167	17	(36)
4	F	7.400	01/11/46	Consumer, Cyclical	BBB- / Ba1 / BBB-	205	15	6
5	ORCL	3.850	01/04/60	Technology	BBB / Baa2 / BBB	204	13	10
6	ORCL	4.100	25/03/61	Technology	BBB / Baa2 / BBB	202	12	10
7	TSN	5.100	28/09/48	Consumer, Non-cyclical	BBB / Baa2 / BBB	85	11	(6)
8	F	4.750	15/01/43	Consumer, Cyclical	BBB- / Ba1 / BBB-	205	11	(13)
9	BHF	4.700	22/06/47	Financial	BBB / Baa3 / BBB-	244	10	8
10	INTC	2.800	12/08/41	Technology	BBB / Baa2 / BBB	101	10	(9)

US IG – Best + Worst Performing Bonds by Sector

Best Performing Bonds by Sector

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
Basic Materials								
1	FCX	4.375	01/08/28	Basic Materials	BBB- / Baa2 / BBB	16	(19)	(24)
2	SUZANO	5.000	15/01/30	Basic Materials	BBB- / NR / BBB-	113	(16)	(22)
3	VALEBZ	6.125	12/06/33	Basic Materials	BBB / Baa2 / BBB+	75	(14)	(27)
Communications								
1	VRSN	4.750	15/07/27	Communications	BBB / Baa3 / NR	41	(18)	(42)
2	BCECN	3.200	15/02/52	Communications	BBB / Baa2 / NR	76	(11)	(14)
3	CHTR	3.500	01/03/42	Communications	BBB- / Ba1 / BBB-	179	(11)	(17)
Consumer, Cyclical								
1	AAL	3.600	22/09/27	Consumer, Cyclical	A+ / A2 / NR	83	(34)	(26)
2	UAL	3.100	07/07/28	Consumer, Cyclical	NR / Aa3 / A	48	(21)	(39)
3	AAL	3.575	15/01/28	Consumer, Cyclical	AA- / A2 / NR	71	(19)	(19)
Consumer, Non-cyclical								
1	FLO	6.200	15/03/55	Consumer, Non-cyclical	BBB- / Baa3 / BBB-	248	(41)	60
2	CAENDW	2.498	01/04/51	Consumer, Non-cyclical	AAA / Aaa / NR	46	(20)	(16)
3	FLO	2.400	15/03/31	Consumer, Non-cyclical	BBB- / Baa3 / BBB-	150	(19)	29
Energy								
1	BWP	4.450	7/15/2027	Energy	BBB / Baa2 / BBB	45	(15)	(17)
2	CHCOCH	5.125	6/30/2027	Energy	BBB+ / Baa1 / BBB+	34	(13)	(19)
3	ENBCN	3.700	7/15/2027	Energy	BBB+ / Baa2 / BBB+	27	(13)	(26)
Financial								
1	GSCRED	5.875	06/05/28	Financial	NR / NR / BBB-	128	(50)	n/a
2	NMFC	6.200	15/10/27	Financial	NR / Baa3 / BBB-	147	(34)	(28)
3	PRU	4.500	15/09/47	Financial	BBB+ / Baa1 / BBB	171	(28)	2
Industrial								
1	EMBRBZ	5.980	11/02/35	Industrial	BBB / NR / BBB-	88	(19)	(17)
2	EMBRBZ	5.400	09/01/38	Industrial	BBB / NR / BBB-	121	(12)	(9)
3	MLM	3.450	01/06/27	Industrial	BBB+ / Baa2 / BBB	33	(12)	(6)
Technology								
1	CNXC	6.850	02/08/33	Technology	BBB- / Baa3 / BBB	342	(76)	89
2	CNXC	6.600	02/08/28	Technology	BBB- / Baa3 / BBB	251	(22)	84
3	CDW	4.250	01/04/28	Technology	BBB- / Baa3 / BBB-	71	(16)	20
Utilities								
1	AEP	7.050	15/12/54	Utilities	BBB- / Baa3 / BB+	147	(21)	(59)
2	CMS	3.750	01/12/50	Utilities	BBB- / Baa3 / BB+	154	(19)	(34)
3	NRUC	7.125	15/09/53	Utilities	BBB / A3 / BBB+	99	(18)	(54)

Worst Performing Bonds by Sector

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
Basic Materials								
1	SUZANO	3.750	15/01/31	Basic Materials	BBB- / NR / BBB-	134	15	3
2	SHW	3.450	01/06/27	Basic Materials	BBB / Baa2 / BBB+	43	13	(2)
3	GP	7.750	15/11/29	Basic Materials	A+ / A3 / NR	42	9	(8)
Communications								
1	BIDU	3.625	06/07/27	Communications	NR / A3 / A	53	11	6
2	BABA	4.500	28/11/34	Communications	A+ / A1 / A	44	9	(15)
3	CMCSA	6.550	01/07/39	Communications	A- / A3 / A-	112	9	8
Consumer, Cyclical								
1	PVH	5.500	13/06/30	Consumer, Cyclical	BBB / Baa3 / NR	121	21	(17)
2	F	5.291	08/12/46	Consumer, Cyclical	BBB- / Ba1 / BBB-	200	17	(5)
3	F	3.250	12/02/32	Consumer, Cyclical	BBB- / Ba1 / BBB-	155	15	(17)
Consumer, Non-cyclical								
1	STNFRD	1.289	01/06/27	Consumer, Non-cyclical	AAA / Aaa / AAA	31	19	12
2	VTRS	2.300	22/06/27	Consumer, Non-cyclical	BB+ / Baa3 / BBB	92	14	6
3	GNP	5.400	15/03/33	Consumer, Non-cyclical	BBB- / Baa3 / BBB	147	11	n/a
Energy								
1	EPD	5.250	8/16/2077	Energy	BBB / Baa1 / BBB	167	17	(36)
2	KMI	4.300	01/03/28	Energy	BBB+ / Baa1 / BBB+	38	13	(11)
3	NOV	3.600	01/12/29	Energy	BBB / Baa2 / NR	61	12	(5)
Financial								
1	MARGRO	6.404	04/11/29	Financial	BBB- / NR / BBB-	141	13	(25)
2	EPR	4.500	01/06/27	Financial	BBB- / Baa3 / BBB-	74	13	(6)
3	AJG	2.400	09/11/31	Financial	BBB+ / Baa2 / BBB+	74	11	8
Industrial								
1	CAT	5.300	15/09/35	Industrial	A / A1 / A+	44	10	(10)
2	OTIS	5.131	04/09/35	Industrial	BBB / Baa1 / NR	76	7	3
3	OTIS	4.488	07/05/29	Industrial	BBB / Baa1 / NR	46	7	n/a
Technology								
1	TEAM	5.250	15/05/29	Technology	BBB / Baa2 / NR	94	19	22
2	ORCL	3.850	01/04/60	Technology	BBB / Baa2 / BBB	204	13	10
3	ORCL	4.100	25/03/61	Technology	BBB / Baa2 / BBB	202	12	10
Utilities								
1	NI	6.950	30/11/54	Utilities	BBB- / Baa3 / BB+	177	19	(26)
2	AES	5.800	15/03/32	Utilities	BBB- / Baa3 / BBB-	135	12	(9)
3	D	5.100	01/06/65	Utilities	A / A2 / A+	85	10	(12)

EUR IG – Best + Worst Performing Single As

Best Performing 3-10y Single A Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	BX	3.500	01/06/34	Financial	A+ / NR / A+	98	(3)	(11)
2	DGFP	1.750	26/09/30	Industrial	A- / A3 / NR	58	(3)	(5)
3	OMVAV	1.000	03/07/34	Energy	NR / A3 / A-	73	(3)	(5)
4	CL	1.375	06/03/34	Consumer, Non-cyclical	A+ / Aa3 / NR	60	(3)	(4)
5	SAPGR	1.625	10/03/31	Technology	A+ / A1 / NR	50	(2)	(1)
6	LFBANK	3.375	06/05/31	Financial	A+ / A1 / NR	65	(2)	n/a
7	HON	0.750	10/03/32	Industrial	A / A2 / A	72	(2)	3
8	DGFP	1.375	22/01/30	Consumer, Non-cyclical	A- / A3 / NR	58	(2)	(8)
9	EJRAIL	0.773	15/09/34	Industrial	A+ / A1 / NR	76	(2)	(9)
10	SAMPFH	2.250	27/09/30	Financial	A / A2 / NR	33	(1)	(22)

Best Performing 10Y+ Single A Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	AXASA	3.250	28/05/49	Financial	A / A1 / NR	101	(2)	1
2	MOTOPG	4.125	04/02/38	Consumer, Non-cyclical	A- / A2 / NR	115	(2)	n/a
3	AXASA	4.375	29/05/56	Financial	A / A1 / NR	137	(1)	n/a
4	GIM	4.406	03/06/37	Financial	NR / A3 / A-	131	(1)	n/a
5	ALVGR	4.597	07/09/38	Financial	A+ / A1 / NR	92	(1)	(3)
6	CL	0.875	12/11/39	Consumer, Non-cyclical	A+ / Aa3 / NR	51	(1)	(1)
7	CBAAU	4.454	21/05/37	Financial	A- / A2 / A	123	(1)	n/a
8	ANZ	4.145	14/05/38	Financial	A- / A3 / A-	117	(1)	n/a
9	MRK	1.375	02/11/36	Consumer, Non-cyclical	A+ / Aa3 / NR	60	(1)	6
10	AIRFP	2.375	09/06/40	Industrial	A / A1 / NR	64	(0)	8

Worst Performing 3-10y Single A Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	INLIFP	1.125	02/07/29	Financial	A / A2 / NR	80	12	20
2	ISLBAN	3.875	20/09/30	Financial	NR / A3 / NR	91	10	19
3	PEOPW	3.500	23/09/32	Financial	A- / NR / NR	92	9	17
4	LSELN	1.750	19/09/29	Financial	A / A3 / NR	53	9	3
5	BPLN	1.637	26/06/29	Energy	A- / A1 / A+	45	8	(2)
6	MBGGR	1.500	03/07/29	Consumer, Cyclical	A / A2 / NR	40	8	1
7	IBM	3.750	06/02/35	Technology	A- / A3 / A-	83	8	(2)
8	ARION	3.625	27/05/30	Financial	NR / A3 / NR	95	8	18
9	MGCN	3.625	21/05/31	Consumer, Cyclical	A- / A3 / NR	77	8	13
10	GBLATL	3.750	20/06/32	Financial	A / A2 / A	140	8	(8)

Worst Performing 10Y+ Single A Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	HBANSW	3.375	29/09/47	Financial	A- / NR / NR	100	15	14
2	ALVGR	3.099	06/07/47	Financial	A+ / A1 / A	76	15	0
3	GIM	5.000	08/06/48	Financial	NR / A3 / A-	85	13	(7)
4	SAMPFH	3.375	23/05/49	Financial	NR / A3 / NR	115	13	(1)
5	AXASA	3.375	06/07/47	Financial	A / A1 / NR	71	12	16
6	ECLEAR	2.625	11/04/48	Financial	A / NR / A	81	11	20
7	DBOERS	1.250	16/06/47	Financial	A / NR / NR	64	9	31
8	TALANX	2.250	05/12/47	Financial	A / NR / NR	96	8	(5)
9	AGSBB	3.500	30/06/47	Financial	A- / NR / A-	82	8	5
10	GIM	4.250	14/12/47	Financial	NR / A3 / A-	103	7	(16)

EUR IG – Best + Worst Performing BBBs

Best Performing 3-10y Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	AKZANA	2.000	28/03/32	Basic Materials	BBB / Baa3 / NR	99	(19)	(7)
2	RCFFP	5.375	28/01/35	Technology	BBB / NR / NR	256	(7)	n/a
3	AKZANA	1.625	14/04/30	Basic Materials	BBB / Baa3 / NR	72	(5)	2
4	SVEFAS	4.375	20/01/31	Financial	NR / NR / BBB-	144	(5)	n/a
5	ORAFP	1.200	11/07/34	Communications	BBB+ / Baa1 / BBB+	83	(3)	(3)
6	BKIR	6.750	01/03/33	Financial	NR / Baa1 / BBB	85	(3)	14
7	PVH	4.125	16/07/29	Consumer, Cyclical	BBB / Baa3 / NR	96	(2)	(2)
8	AKZANA	4.625	25/03/36	Basic Materials	BBB / Baa3 / NR	145	(2)	n/a
9	RCFFP	4.750	28/03/32	Technology	BBB / NR / NR	191	(2)	n/a
10	URWFP	1.750	27/02/34	Financial	BBB+ / Baa2 / NR	113	(2)	6

Best Performing 10Y+ Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	MAPSM	4.125	07/09/48	Financial	NR / NR / BBB	89	(2)	1
2	SRENVX	2.714	04/06/52	Financial	BBB+ / A3 / NR	132	(1)	(6)
3	BNP	4.875	27/11/46	Financial	BBB / NR / NR	157	(1)	n/a
4	ENGIFP	5.950	16/03/11	Utilities	BBB+ / Baa1 / A-	133	(1)	(8)
5	EOANGR	3.500	26/10/37	Utilities	BBB+ / NR / A-	75	(1)	(9)
6	MANTAF	4.500	04/12/39	Financial	BBB+ / NR / NR	159	(1)	15
7	BFCM	1.850	21/04/42	Financial	NR / Baa1 / NR	116	(1)	17
8	ANNGR	1.500	14/06/41	Financial	BBB+ / Baa1 / BBB+	132	(1)	2
9	AVLN	4.750	28/11/57	Financial	NR / A3 / BBB+	147	(1)	n/a
10	ACAFP	4.125	17/12/36	Financial	BBB+ / NR / NR	122	(1)	n/a

Worst Performing 3-10y Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	MILPW	5.308	25/09/29	Financial	NR / Baa3 / BBB-	104	20	17
2	ETEGA	8.000	03/01/34	Financial	NR / Baa3 / NR	112	19	26
3	PKOBP	4.500	18/06/29	Financial	NR / Baa1 / NR	89	17	1
4	FLTR	4.000	04/06/31	Consumer, Cyclical	BBB- / Baa1 / BBB	156	17	(14)
5	SNFF	4.500	15/03/32	Basic Materials	BBB- / NR / NR	96	16	10
6	INTNED	0.875	09/06/32	Financial	BBB+ / Baa2 / A-	22	15	39
7	NEXIIM	3.875	21/05/31	Consumer, Non-cyclical	BBB- / NR / BBB-	108	15	20
8	JABHOL	1.000	14/07/31	Financial	BBB / Baa1 / NR	70	15	12
9	RBIIV	1.375	17/06/33	Financial	NR / Baa2 / NR	82	14	20
10	CITADE	3.875	23/12/29	Financial	NR / Baa2 / NR	137	14	19

Worst Performing 10Y+ Single BBB Bonds

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
1	JABHOL	2.250	19/12/39	Financial	BBB / Baa1 / NR	106	20	23
2	MRKGR	2.875	25/06/79	Consumer, Non-cyclical	BBB+ / Baa2 / NR	94	13	33
3	JAPTOB	2.875	07/10/83	Consumer, Non-cyclical	BBB+ / Baa1 / NR	85	11	18
4	TELIAS	2.750	30/06/83	Communications	BBB- / Baa3 / NR	87	11	(13)
5	SO	1.875	15/09/81	Utilities	BBB / Baa2 / BBB-	111	11	45
6	SCOR	3.625	27/05/48	Financial	A- / NR / BBB+	82	11	32
7	ACAFP	4.750	27/09/48	Financial	BBB+ / NR / NR	96	10	1
8	RWE	4.125	18/06/55	Utilities	NR / Baa3 / BBB-	141	10	9
9	RWE	4.625	18/06/55	Utilities	NR / Baa3 / BBB-	167	9	7
10	WUWGR	2.125	10/09/41	Financial	BBB- / NR / NR	162	9	13

EUR IG – Best + Worst Performing Bonds by Sector

Best Performing Bonds by Sector

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
Basic Materials								
1	AKZANA	1.625	14/04/30	Basic Materials	BBB / Baa3 / NR	72	(5)	2
2	AKZANA	4.625	25/03/36	Basic Materials	BBB / Baa3 / NR	145	(2)	n/a
3	BHP	1.500	29/04/30	Basic Materials	NR / A1 / A	65	(1)	4
Communications								
1	ORAFP	1.200	11/07/34	Communications	BBB+ / Baa1 / BBB+	83	(3)	(3)
2	DT	4.500	28/10/30	Communications	A- / A3 / BBB+	32	(1)	(17)
3	VZ	1.300	18/05/33	Communications	BBB+ / Baa1 / A-	90	(0)	(1)
Consumer, Cyclical								
1	WMT	4.875	21/09/29	Consumer, Cyclical	AA / Aa2 / AA	28	(2)	(1)
2	VW	4.375	26/11/33	Consumer, Cyclical	BBB / Baa1 / BBB+	131	(1)	n/a
3	BMW	0.875	14/01/32	Consumer, Cyclical	A / A2 / NR	55	(1)	(9)
Consumer, Non-cyclical								
1	UNANA	1.625	12/02/33	Consumer, Non-cyclical	A+ / A1 / NR	66	(3)	(14)
2	CL	1.375	06/03/34	Consumer, Non-cyclical	A+ / Aa3 / NR	60	(3)	(4)
3	MOTOPG	4.000	22/01/37	Consumer, Non-cyclical	A- / A2 / NR	112	(2)	(2)
Energy								
1	OMVAV	1.000	03/07/34	Energy	NR / A3 / A-	73	(3)	(5)
2	REPSM	0.875	06/07/33	Energy	BBB+ / Baa1 / BBB+	78	(1)	14
3	VWSDC	3.750	15/06/33	Energy	NR / Baa2 / NR	96	(1)	n/a
Financial								
1	MARGRO	8.375	02/02/28	Financial	BBB- / NR / BBB-	97	(5)	79
2	SVEFAS	4.375	20/01/31	Financial	NR / NR / BBB-	144	(5)	n/a
3	BX	3.500	01/06/34	Financial	A+ / NR / A+	98	(3)	(11)
Industrial								
1	WIEAV	4.875	04/10/28	Industrial	NR / Baa3 / NR	66	(6)	(17)
2	DGFP	1.750	26/09/30	Industrial	A- / A3 / NR	58	(3)	(5)
3	SGOFP	1.875	21/09/28	Industrial	BBB+ / Baa1 / NR	41	(2)	(3)
Technology								
1	SAPGR	1.625	10/03/31	Technology	A+ / A1 / NR	50	(2)	(1)
2	RCFFP	4.750	28/03/32	Technology	BBB / NR / NR	191	(2)	n/a
3	SGELN	3.820	15/02/28	Technology	BBB+ / NR / NR	69	(1)	1
Utilities								
1	ENGIFP	5.950	16/03/11	Utilities	BBB+ / Baa1 / A-	133	(1)	(8)
2	EOANGR	3.500	26/10/37	Utilities	BBB+ / NR / A-	75	(1)	(9)
3	EOANGR	3.500	16/04/33	Utilities	BBB+ / Baa2 / A-	72	(1)	5

Worst Performing Bonds by Sector

Rank	Ticker	Coupon	Maturity	Sector	Rating (S&P/Moody's/Fitch)	Current Spread (bp)	MTD Spread Change (bp)	YTD Spread Change (bp)
Basic Materials								
1	SNFF	4.500	15/03/32	Basic Materials	BBB- / NR / NR	96	16	10
2	SNFF	2.625	01/02/29	Basic Materials	BBB- / NR / NR	89	15	32
3	EVKGR	2.250	25/09/27	Basic Materials	BBB+ / Baa2 / NR	41	10	10
Communications								
1	PRXNA	1.539	03/08/28	Communications	BBB / Baa2 / NR	82	14	8
2	TELEFO	2.318	17/10/28	Communications	BBB- / Baa3 / BBB	33	13	14
3	TELIA	2.750	30/06/83	Communications	BBB- / Baa3 / NR	87	11	(13)
Consumer, Cyclical								
1	APTV	1.600	15/09/28	Consumer, Cyclical	BBB / Baa2 / BBB	40	24	0
2	FLTR	4.000	04/06/31	Consumer, Cyclical	BBB- / Baa1 / BBB	156	17	(14)
3	WMG	2.750	15/07/28	Consumer, Cyclical	BBB- / Baa1 / BBB	76	17	(8)
Consumer, Non-cyclical								
1	TMO	1.375	12/09/28	Consumer, Non-cyclical	A- / A2 / A-	11	19	19
2	BNFP	1.208	03/11/28	Consumer, Non-cyclical	BBB+ / Baa1 / NR	17	16	15
3	NEXIIM	3.875	21/05/31	Consumer, Non-cyclical	BBB- / NR / BBB-	108	15	20
Energy								
1	BPLN	3.625	00/01/1900	Energy	BBB / A3 / A-	112	15	17
2	TTEFP	1.625	00/01/00	Energy	A- / A2 / NR	77	14	31
3	TTEFP	4.120	00/01/00	Energy	A- / A2 / NR	105	14	15
Financial								
1	MILPW	5.308	25/09/29	Financial	NR / Baa3 / BBB-	104	20	17
2	JABHOL	2.250	19/12/39	Financial	BBB / Baa1 / NR	106	20	23
3	ETEGA	8.000	03/01/34	Financial	NR / Baa3 / NR	112	19	26
Industrial								
1	HERAEU	2.625	09/06/27	Industrial	BBB+ / Baa1 / NR	91	23	(9)
2	ALOFF	0.125	27/07/27	Industrial	NR / Baa3 / NR	49	13	1
3	MHK	1.750	12/06/27	Industrial	BBB+ / Baa1 / BBB+	41	12	4
Technology								
1	DXC	4.250	09/12/30	Technology	BBB- / Baa3 / BBB-	185	12	(8)
2	IBM	1.500	23/05/29	Technology	A- / A3 / A-	50	12	(6)
3	DXC	0.950	15/09/31	Technology	BBB- / Baa3 / BBB-	191	10	(34)
Utilities								
1	TRNIM	1.000	11/10/28	Utilities	A- / Baa1 / NR	32	19	9
2	VIEFP	0.927	04/01/29	Utilities	BBB / Baa1 / NR	41	17	10
3	ENGIFP	1.500	00/01/00	Utilities	BBB- / Baa3 / BBB	72	17	(2)

US IG – Single A & BBB 5-10Y Carry and Roll-Down Screen

Name	Bond	Rating	Price	Spreads (bp)	Duration	1yr Roll (bp)	Carry + Roll (bp)
A							
EVERGY MISSOURI WEST INC	EVRG 3 3/4 03/15/32	A3	90	145	5.0	26	171
SOUTHERN CAL EDISON	EIX 5 3/4 04/01/35	A3	100	126	6.8	23	149
SKY GROUP FINANCE PLC	CMCSA 6 1/2 10/15/35	A3	106	115	7.0	30	145
SALESFORCE INC	CRM 5.55 03/15/36	A2	100	105	7.4	28	133
DAIMLER TRUCK FINAN NA	DTRGR 5 3/8 01/18/34	A3	100	102	6.1	24	126
ENI SPA	ENIIM 5 1/4 05/18/36	A3	98	95	7.6	23	118
SERVICENOW INC	NOW 5.4 05/15/36	A2	100	88	7.6	28	116
MERCEDES-BENZ FIN NA	MBGGR 5 1/8 08/01/34	A2	98	92	6.5	21	113
CONNECTICUT LIGHT & PWR	ES 6.35 06/01/36	A2	107	94	7.5	15	109
HONDA MOTOR CO LTD	HNDA 5.337 07/08/35	A3	100	90	7.0	18	108
BBB							
STELLANTIS FIN US INC	STLA 6.45 03/18/35	BBB3	99	210	6.5	53	263
COX COMMUNICATIONS INC	COXENT 4.8 02/01/35	BBB2	90	190	6.7	44	234
COMISION FEDERAL DE ELEC	CFELEC 6.45 01/24/35	BBB3	100	201	6.4	32	233
TIME WARNER CABLE ENTRMN	CHTR 8 3/8 07/15/33	BBB3	112	190	5.3	39	229
FORD MOTOR CREDIT CO LLC	F 6.467 05/22/36	BBB3	101	178	7.3	33	211
ORACLE CORP	ORCL 3.9 05/15/35	BBB2	85	158	7.3	44	202
OFFICE CHERIFIEN DES PHO	OCPMR 6.7 03/01/36	BBB3	103	170	7.0	26	196
CAMPBELLS COMPANY/THE	CPB 5.4 03/21/34	BBB3	97	152	6.2	24	176
AES ANDES SA	AES 6 1/4 03/14/32	BBB3	103	137	4.7	32	169
HORSESHOE FUND TRST I	HUM 6.062 02/15/36	BBB2	101	141	7.2	27	168

EUR IG – Single A & BBB 5-10Y Carry and Roll-Down Screen

Name	Bond	Rating	Price	Spreads (bp)	Duration	1yr Roll (bp)	Carry + Roll (bp)
A							
CEZ AS	CEZCP 4 3/8 05/27/34	A	101	129	6.7	55	184
VOLKSWAGEN BANK GMBH	VW 3 3/4 12/10/32	A	99	115	5.8	38	153
EDENRED SE	EDENFP 3 3/4 01/15/33	A	99	104	5.9	42	146
BOOKING HOLDINGS INC	BKNG 3 3/4 03/01/36	A	97	107	8.2	37	144
AMERICAN HONDA FINANCE	HNDA 3.95 03/19/32	A	101	101	5.2	37	138
ROBERT BOSCH GMBH	RBOSGR 4 05/21/36	A	100	101	8.4	29	130
ENI SPA	ENIIM 4 05/26/35	A	100	97	7.7	30	126
LA POSTE SA	FRPTT 1 09/17/34	A	80	88	7.9	38	126
BMW FINANCE NV	BMW 4 05/19/36	A	100	100	8.4	24	125
EAST JAPAN RAILWAY CO	EJRAIL 0.773 09/15/34	A	79	83	8.0	42	124
BBB							
STELLANTIS NV	STLA 3 3/4 03/19/36	BBB	92	178	8.2	65	243
TDC NET AS	TDCDC 4 5/8 10/22/33	BBB	100	168	6.2	63	230
FORD MOTOR CREDIT CO LLC	F 4.087 02/17/33	BBB	98	155	5.9	49	204
AKZO NOBEL NV	AKZANA 4 5/8 03/25/36	BBB	101	151	8.0	34	186
RCI BANQUE SA	RENAUL 4 1/4 05/23/34	BBB	99	144	6.9	38	182
JDE PEET'S NV	JDEPNA 4 1/2 01/23/34	BBB	101	142	6.4	35	177
PROSUS NV	PRXNA 4.343 07/15/35	BBB	99	144	7.4	31	175
CAPGEMINI SE	CAPFP 3 1/2 09/25/34	BBB	96	119	7.2	49	168
TELEFONICA EMISIONES SAU	TELEFO 4.3525 11/27/34	BBB	101	124	7.1	42	165
VOLKSWAGEN BANK GMBH	VW 4 3/8 11/26/33	BBB	101	133	6.5	31	163

US Capital Structure

			OAS (bp)					Excess Return (bp)				
			Current	12m Range	1 Week Δ	1 Month Δ	3 Month Δ	YTD Δ	1 Week	1 Month	3 Month	YTD
US IG			74		+1	-4	-10	-5	-5	+38	+95	+77
Rating	AA	48		+3	-2	-4	+0	-6	+34	+69	+45	
	A	63		+2	-3	-7	-2	-7	+28	+81	+60	
	BBB+	75		+1	-4	-9	-6	-5	+40	+101	+92	
	BBB	89		+1	-7	-13	-7	-8	+52	+121	+109	
	BBB-	120		+1	-6	-19	-9	+4	+49	+119	+96	
Curve	1-3 Yr	50		+1	-5	-5	-4	-1	+13	+22	+35	
	3-5 Yr	64		-1	-5	-10	-8	+3	+24	+50	+67	
	5-7 Yr	75		+0	-4	-10	-6	+1	+34	+76	+83	
	7-10 Yr	90		+1	-3	-9	-2	-3	+36	+93	+75	
	10-25 Yr	87		+2	-3	-13	-6	-15	+54	+160	+97	
	25+ Yr	98		+3	-5	-16	-5	-17	+90	+238	+140	
Cap Structure	Banks Snr Pref	60		+1	-4	-6	-2	-1	+21	+43	+46	
	Banks Snr Non-Pref	67		+1	-3	-5	-0	-4	+23	+52	+37	
	Banks Tier 2	102		+1	-4	-10	-3	-3	+38	+94	+68	
	Insurance Snr	80		+0	-6	-14	-3	-2	+45	+126	+63	
	Insurance Sub	123		-4	-9	-14	-5	+16	+65	+156	+108	
	Non-Fin Snr	72		+1	-4	-10	-6	-6	+41	+103	+89	
	Non-Fin Subs	143		-5	-11	-20	-25	+31	+85	+176	+233	
US HY			276		+2	+1	-37	-4	-2	+31	+147	+159
Senior	BB+	145		-0	-7	-13	+5	+12	+52	+124	+142	
	BB	149		+1	-6	-30	+1	+2	+34	+123	+143	
	BB-	185		+6	+3	-27	-6	-5	+26	+86	+119	
	B+	232		-5	-3	-58	-20	-5	+23	+190	+216	
	B	296		+6	+3	-52	+13	-13	+31	+165	+125	
	B-	407		+9	+2	-20	+43	-7	+54	+206	+229	
	CCC	952		-2	+44	-13	+81	-7	-31	+231	+205	
BB	Senr Sec	179		+4	-6	-30	-9	+5	+45	+129	+192	
	Senr Unsec	157		+3	-1	-25	+0	-1	+30	+99	+111	
	Sub	189		-2	-9	-37	-19	+27	+96	+216	+185	
B	Senr Sec	347		+6	+11	-39	+36	-14	+23	+168	+140	
	Senr Unsec	255		-0	-10	-49	-19	-2	+49	+207	+252	
	Sub	163		-6	-8	-20	-18	+21	+57	+140	+141	
CCC	Senr Sec	992		+21	+43	-176	-64	-20	+21	+526	+463	
	Senr Unsec	927		-16	+44	+77	+166	+1	-63	+62	+52	
	Sub	-		-	-	-	-	-	-	-	-	

EUR Capital Structure

			OAS (bp)					Excess Return (bp)				
			Current	12m Range	1 Week Δ	1 Month Δ	3 Month Δ	YTD Δ	1 Week	1 Month	3 Month	YTD
EUR IG			74	●	-2	-5	-8	-3	+17	+32	+59	+74
Rating	AA	49	●	-1	-2	-7	-1	+16	+27	+63	+59	
	A	65	●	-2	-4	-8	-4	+15	+28	+58	+72	
	BBB+	73	●	-2	-4	-6	-3	+16	+31	+55	+70	
	BBB	83	●	-2	-5	-5	-3	+18	+34	+57	+76	
	BBB-	95	●	-4	-8	-8	-2	+18	+43	+60	+83	
Curve	1-3 Yr	47	●	-4	-7	-6	-6	+11	+19	+31	+44	
	3-5 Yr	69	●	-3	-4	-8	-3	+15	+27	+51	+67	
	5-7 Yr	83	●	-2	-4	-7	-2	+17	+31	+66	+80	
	7-10 Yr	88	●	-2	-3	-8	-4	+20	+42	+86	+99	
	10+ Yr	89	●	-2	-4	-8	-4	+30	+61	+107	+117	
Cap Structure	Banks Snr Pref	63	●	-2	-4	-6	-6	+13	+22	+42	+67	
	Banks Snr Non-Pref	73	●	-2	-5	-10	-3	+16	+30	+61	+81	
	Banks Tier 2	103	●	-3	-5	-12	-4	+12	+27	+71	+84	
	Insurance Snr	64	●	-2	-1	-11	-2	+13	+14	+64	+49	
	Insurance Sub	111	●	-4	-3	-6	-1	+17	+20	+55	+70	
	Non-Fin Snr	70	●	-2	-5	-7	-3	+17	+33	+59	+70	
	Non-Fin Subs	126	●	-6	-14	-9	-12	+35	+81	+81	+108	
	EUR HY			259	●	-11	-16	-25	-10	+39	+75	+128
Senior	BB+	135	●	-18	-26	-6	-9	+48	+85	+60	+102	
	BB	170	●	-8	-11	-12	+5	+43	+62	+71	+130	
	BB-	196	●	-15	-18	-52	-16	+45	+67	+162	+186	
	B+	302	●●	-2	-5	-13	-27	+46	+64	+119	+170	
	B	318	●●	-0	-7	-42	+3	+51	+79	+184	+162	
	B-	536	●	-16	-6	-116	+18	+9	-16	+81	-7	
	CCC	1,332	●●	-19	-38	+7	-7	-27	+199	+519	+505	
BB	Senr Sec	176	●	-17	-21	-54	-24	+37	+51	+134	+159	
	Senr Unsec	157	●	-14	-19	-10	-3	+50	+82	+77	+124	
	Sub	163	●●	-7	-15	+6	+4	+29	+73	+106	+153	
B	Senr Sec	361	●●	-3	+2	-43	+3	+45	+56	+142	+125	
	Senr Unsec	337	●	-21	-47	-76	-32	+27	+48	+128	+155	
	Sub	423	●●	-11	-32	+25	+35	+76	+271	+383	+402	
CCC	Senr Sec	1,443	●●	-26	-21	-115	-64	-22	+111	+503	+507	
	Senr Unsec	994	●	-5	-86	+113	-27	-40	+457	+615	+565	
	Sub	-		-	-	-	-	-	-	-	-	

US Sector Performance

			OAS (bp)					Excess Return (bp)			
			Current	12M Range	1 Week Δ	1 Month Δ	3 Month Δ	YTD Δ	1 Week	1 Month	3 Month
US IG Senior											
Cyclical	Automotive	78	●	+2	-7	-8	-6	-8	+35	+55	+69
	Banking	65	●	+1	-3	-5	-0	-4	+22	+47	+42
	Basic Industry	83	●	-1	-4	-12	-9	+7	+43	+119	+117
	Capital Goods	57	●	+1	-3	-6	-6	-3	+35	+82	+88
	Consumer Goods	64	●	+2	-2	-6	-3	-10	+22	+72	+64
	Energy	75	●	+1	-4	-12	-15	-3	+46	+135	+138
	Financial Services	81	●	+2	-4	-12	+1	-4	+28	+83	+41
	Insurance	80	●	+0	-6	-14	-3	-2	+45	+126	+63
	Leisure	79	●	-0	-8	-12	-9	+2	+40	+74	+73
	Real Estate	74	●	+0	-6	-10	-5	+2	+38	+84	+81
	Services	63	●	-0	-4	-7	-3	+4	+35	+69	+65
Transportation	71	●	+0	-5	-11	-6	-3	+46	+128	+109	
Non-Cyclical	Healthcare	63	●	+1	-4	-12	-7	-1	+45	+110	+88
	Media	90	●	+0	-5	-14	-12	-9	+41	+66	+25
	Retail	55	●	+1	-3	-7	-3	-11	+34	+82	+57
	Technology & Electronics	78	●●	+2	-6	-13	-1	-14	+59	+137	+96
	Telecommunications	82	●	+3	-4	-5	-4	-19	+51	+92	+96
	Utility	78	●	+2	-3	-9	-4	-12	+33	+108	+82
US HY Senior											
Cyclical	Automotive	262	●	-6	-7	-26	+14	-6	+35	+99	+117
	Banking	111	●	-3	-43	-65	+8	+2	+78	+131	+31
	Basic Industry	270	●	-2	-7	-34	-1	+11	+65	+153	+168
	Capital Goods	246	●	+3	-6	-6	+61	-5	+44	+68	+108
	Consumer Goods	255	●	-10	+8	+7	+21	-24	-56	-11	+32
	Energy	161	●	-4	-6	-76	-129	+13	+37	+186	+431
	Financial Services	266	●	+2	-12	-49	+37	-11	+46	+163	+36
	Insurance	281	●	+2	+25	-29	+106	-2	-17	+120	-17
	Leisure	249	●	+0	-10	-33	+3	+3	+51	+121	+144
	Real Estate	193	●	+5	-2	-46	-32	-6	+33	+148	+203
	Services	291	●	+7	+6	-43	+33	-6	+9	+157	+52
Transportation	362	●	-2	+18	-16	+41	-33	-48	-80	-62	
Non-Cyclical	Healthcare	258	●	+8	+4	-53	-4	-11	+18	+187	+180
	Media	475	●	+15	+40	-9	-24	-14	-39	+83	+99
	Retail	221	●	-5	+1	-59	-55	+9	+41	+172	+192
	Technology & Electronics	391	●	+7	-19	-70	+36	+21	+154	+299	+77
	Telecommunications	362	●	+5	+2	-68	-11	-19	+5	+211	+279
	Utility	158	●	+12	+7	-12	+22	-1	+23	+103	+149

EU Sector Performance

		OAS (bp)						Excess Return (bp)			
		Current	12M Range	1 Week Δ	1 Month Δ	3 Month Δ	YTD Δ	1 Week	1 Month	3 Month	YTD
EUR IG Senior											
Cyclical	Automotive	74	●	-2	-8	-8	-5	+16	+42	+61	+70
	Banking	69	●	-2	-5	-8	-5	+15	+27	+52	+75
	Basic Industry	67	●	-2	-5	-8	-5	+12	+28	+63	+72
	Capital Goods	60	●	-3	-6	-8	-4	+15	+31	+56	+63
	Consumer Goods	62	●	-2	-5	-7	-3	+16	+36	+66	+70
	Energy	65	●	-2	-4	-9	-7	+16	+26	+69	+98
	Financial Services	76	●	-3	-6	-11	-4	+18	+29	+67	+80
	Insurance	64	●	-2	-1	-11	-2	+13	+14	+64	+49
	Leisure	91	● ●	-1	-3	-2	+6	+22	+42	+53	+47
	Real Estate	97	●	-3	-4	-0	+0	+19	+33	+40	+75
	Services	70	●	-2	-4	-4	+0	+13	+26	+49	+58
	Transportation	69	●	-2	-3	-4	-2	+11	+24	+38	+60
Non-Cyclical	Healthcare	61	●	-2	-4	-9	-4	+16	+31	+73	+68
	Media	73	●	-2	-6	-8	-2	+34	+59	+80	+69
	Retail	63	●	-2	-6	-7	-2	+15	+39	+64	+61
	Technology & Electronics	73	● ●	-1	-5	-9	+5	+20	+42	+68	+49
	Telecommunications	71	●	-3	-5	-9	-5	+19	+34	+67	+74
	Utility	72	●	-3	-4	-5	-3	+17	+28	+54	+75
EUR HY Senior											
Cyclical	Automotive	183	●	-19	-17	-22	-4	+60	+64	+57	+119
	Banking	176	● ●	-27	-27	-5	-27	+35	+45	+26	+126
	Basic Industry	398	●	-31	-24	-103	-81	+28	+82	+380	+408
	Capital Goods	270	●	-16	-39	-14	+28	+61	+128	+128	+158
	Consumer Goods	268	●	-13	-2	-32	+11	+40	+24	+106	+101
	Energy	192	●	-15	-23	-45	-98	+39	+75	+199	+440
	Financial Services	380	●	-20	-55	-126	-127	+24	+185	+319	+248
	Insurance	381	● ●	-19	+3	-36	+34	+64	+34	+154	+54
	Leisure	220	●	-26	-18	-50	-43	+66	+105	+187	+255
	Real Estate	372	● ●	-15	-2	+26	+37	+22	+36	+31	+98
	Services	232	●	-24	-22	-114	-59	+46	+63	+108	+59
	Transportation	230	●	-25	-38	+31	+31	+63	+134	-61	+8
Non-Cyclical	Healthcare	280	● ●	+18	+8	+14	+27	+25	+46	+68	+143
	Media	493	●	-20	-12	-118	-129	+52	+38	+27	-15
	Retail	213	●	-19	-39	-46	-16	+47	+85	+131	+161
	Technology & Electronics	335	●	-1	-56	-67	-35	+66	+132	+206	-29
	Telecommunications	301	●	-7	+1	-3	+16	+18	+11	+81	+112
	Utility	204	●	-16	-19	-7	-15	+52	+79	+71	+115

US – Credit/Equity Screen

Names with richest CDS relative to equities

Ticker	Name	Sector	Rtg	5Y CDS spread (bp)			Stock Price		
				Current	YTD Δ	1Y %tile	Current	YTD Δ	1Y %tile
LOW	Lowe's Cos Inc	Retail	BBB1	31	-1	11%	211	-13%	2%
HD	Home Depot Inc/The	Retail	A2	26	-2	9%	311	-10%	4%
DHR	Danaher Corp	Healthcare	A3	22	-2	1%	184	-19%	13%
MCD	McDonald's Corp	Retail	BBB1	23	+0	13%	280	-8%	5%
SVC	Service Properties Trust	Real Estate	CCC2	358	-241	8%	2	-15%	11%
NOC	Northrop Grumman Corp	Capital Goods	BBB1	20	-3	5%	544	-5%	14%
AZO	AutoZone Inc	Retail	BBB2	30	-1	22%	3,116	-8%	3%
KR	Kroger Co/The	Retail	BBB2	32	-4	15%	64	+2%	18%
PG	Procter & Gamble Co/The	Consumer Goods	AA3	20	-2	10%	147	+2%	33%
DRI	Darden Restaurants Inc	Retail	BBB2	39	-3	1%	198	+8%	44%
T	AT&T Inc	Telecommunication	BBB2	60	-1	47%	23	-8%	0%
NFLX	Netflix Inc	Media	A3	31	-18	44%	82	-12%	6%
TMUS	T-Mobile USA Inc	Telecommunication	BBB1	47	+2	49%	178	-12%	0%
CYH	Community Health Systems Inc	Healthcare	B3	790	-38	41%	3	-12%	9%
DIS	Walt Disney Co/The	Media	A2	34	-0	43%	100	-12%	8%
HOV	K Hovnanian Enterprises Inc	Basic Industry	B2	318	-4	25%	109	+12%	30%
COF	Capital One Financial Corp	Financial Services	BBB1	75	+8	56%	181	-25%	3%
DHI	DR Horton Inc	Basic Industry	A3	47	-4	22%	146	+1%	37%
GNW	Genworth Holdings Inc	Financial	BB3	84	-30	0%	9	-4%	59%
TSN	Tyson Foods Inc	Consumer Goods	BBB2	37	-3	0%	59	+0%	60%
FE	FirstEnergy Corp	Utilities	A2	38	-5	1%	46	+4%	61%
BA	Boeing Co/The	Capital Goods	BBB3	63	-2	27%	215	-1%	34%
NEM	Newmont Corp	Basic Industry	A3	31	-3	5%	100	-0%	56%
EMN	Eastman Chemical Co	Basic Industry	BBB2	67	-21	3%	72	+13%	59%
ABXCN	Barrick Mining Corp	Basic Industry	BBB1	30	-5	1%	40	+16%	62%
PHM	PulteGroup Inc	Basic Industry	BBB1	68	+1	31%	118	+1%	33%
RTX	RTX Corp	Capital Goods	BBB1	31	-3	2%	181	-1%	66%
EXC	Exelon Corp	Utilities	A2	31	-0	5%	46	+5%	63%

US – Credit/Equity Screen

Names with cheapest CDS relative to equities

Ticker	Name	Sector	Rtg	5Y CDS spread (bp)			Stock Price		
				Current	YTD Δ	1Y %tile	Current	YTD Δ	1Y %tile
MGM	MGM Resorts International	Leisure	BB3	232	+57	99%	48	+30%	98%
BYD	Boyd Gaming Corp	Leisure	BB3	132	+15	89%	88	+3%	96%
ALL	Allstate Corp/The	Insurance	BBB1	33	+8	79%	221	+6%	99%
MET	MetLife Inc	Insurance	AA3	70	+11	76%	84	+7%	100%
AMKR	Amkor Technology Inc	Technology	BB2	109	+8	87%	65	+65%	87%
AMZN	Amazon.com Inc	Retail	AA3	52	+17	90%	246	+7%	82%
UNH	UnitedHealth Group Inc	Healthcare	A2	51	+8	66%	399	+21%	100%
DAL	Delta Air Lines Inc	Transportation	BBB3	116	+18	67%	79	+14%	98%
PNC	The PNC Financial Services Group, Inc.	Banking	A3	53	+7	66%	228	+9%	95%
IRM	Iron Mountain Inc	Real Estate	BB3	142	+9	70%	125	+50%	91%
PKG	Packaging Corp of America	Capital Goods	BBB2	34	+3	69%	223	+8%	88%
AEP	American Electric Power Co Inc	Utilities	A3	36	+2	79%	129	+12%	77%
AMD	Advanced Micro Devices Inc	Technology	A2	40	-3	59%	466	+118%	96%
DISH	DISH DBS Corp	Media	CCC3	1,125	+562	77%	116	+7%	74%
EXPE	Expedia Group Inc	Leisure	BBB2	87	+31	80%	229	-19%	59%
ALLY	Ally Financial Inc	Financial Services	BBB3	143	+12	61%	43	-6%	78%
CAR	Avis Budget Group Inc	Services	B2	352	+16	54%	177	+38%	83%
WMB	Williams Cos Inc/The	Energy	BBB2	51	+1	59%	72	+20%	75%
PRU	Prudential Financial Inc	Insurance	BBB1	82	+24	77%	105	-7%	57%
CSCO	Cisco Systems Inc/California	Technology	A1	29	-2	34%	122	+58%	99%
HST	Host Hotels & Resorts LP	Real Estate	BBB2	76	+3	33%	25	+39%	100%
IBM	International Business Machines Corp	Technology	A3	47	+9	73%	285	-4%	59%
HPQ	HP Inc	Technology	BBB2	76	+3	61%	26	+15%	69%
ORCL	Oracle Corp	Technology	BBB2	157	+13	73%	214	+10%	56%
LUV	Southwest Airlines Co	Transportation	BBB2	104	+7	51%	42	+1%	77%
INTC	Intel Corp	Technology	BBB2	63	-8	37%	99	+169%	91%
TCKBCN	Teck Resources Ltd	Basic Materials	BBB3	48	+5	33%	62	+29%	93%
SPG	Simon Property Group LP	Real Estate	A3	48	+0	23%	210	+14%	100%
BAX	Baxter International Inc	Healthcare	BBB3	106	+25	79%	19	+1%	43%

EU – Credit/Equity Screen

Names with richest CDS relative to equities

Ticker	Name	Sector	Rtg	5Y CDS spread (bp)			Stock Price		
				Current	YTD Δ	1Y %tile	Current	YTD Δ	1Y %tile
ADENVX	Adecco Group AG	Services	BBB2	86	-12	11%	17	-28%	5%
GRFSM	Grifols SA	Healthcare	B2	256	-20	7%	9	-15%	10%
VW	Volkswagen AG	Automotive	BBB3	86	-4	9%	89	-15%	10%
MBGGR	Mercedes-Benz Group AG	Automotive	A2	46	+1	18%	48	-20%	0%
BMW	Bayerische Motoren Werke AG	Automotive	A2	48	+2	22%	70	-25%	0%
RENAUL	Renault SA	Automotive	BBB2	118	+4	23%	27	-24%	0%
PHIANA	Koninklijke Philips NV	Healthcare	BBB1	34	-4	0%	23	-2%	23%
EOFP	Forvia SE	Automotive	BB3	227	-16	2%	11	-22%	39%
STLA	Stellantis NV	Automotive	BBB3	159	+19	37%	6	-34%	10%
TELEFO	Telefonica SA	Telecommunications	BBB3	60	-11	0%	4	+11%	51%
ACAFP	Credit Agricole SA	Banking	A1	55	-7	8%	17	-6%	47%
HEIGR	Heidelberg Materials AG	Basic Industry	BBB2	68	+5	47%	178	-20%	10%
CONGR	Continental AG	Automotive	BBB2	64	-6	2%	68	+0%	56%
SGOFP	Cie de Saint-Gobain SA	Basic Industry	BBB1	44	+3	40%	77	-11%	18%
ALOFP	Alstom SA	Capital Goods	BBB3	84	+14	54%	17	-32%	9%
DB	Deutsche Bank AG	Banking	BBB3	75	+3	33%	27	-17%	30%
MCFP	LVMH Moet Hennessy Louis	Retail	AA3	28	+2	31%	479	-26%	34%
METSA	Metsa Board Oyj	Capital Goods	BBB3	142	-12	46%	3	-8%	22%
SOLBBB	Solvay SA	Basic Industry	BBB3	84	+2	53%	26	-3%	14%
ELTLX	Electrolux AB	Consumer Goods	BBB3	124	-10	24%	33	-6%	44%
SANFP	Sanofi SA	Healthcare	AA3	30	+3	53%	78	-6%	16%
ADNA	Koninklijke Ahold Delhaize NV	Retail	BBB1	26	-0	13%	36	+3%	57%
HPLGR	Hapag-Lloyd AG	Transportation	BB1	195	-2	52%	115	-2%	19%
AVLN	Aviva PLC	Insurance	A2	59	+5	70%	603	-12%	2%
BBVASM	BBVA	Banking	A3	57	-3	1%	19	-3%	73%
MUNRE	Munich Re	Insurance	A2	38	+7	74%	451	-20%	2%
KERFP	Kering SA	Retail	BBB1	64	+6	33%	249	-17%	43%
HANRUE	Hannover Rueck SE	Insurance	A1	40	+8	75%	227	-15%	1%
CECGR	CECONOMY AG	Retail	BB3	144	+33	69%	4	-16%	8%

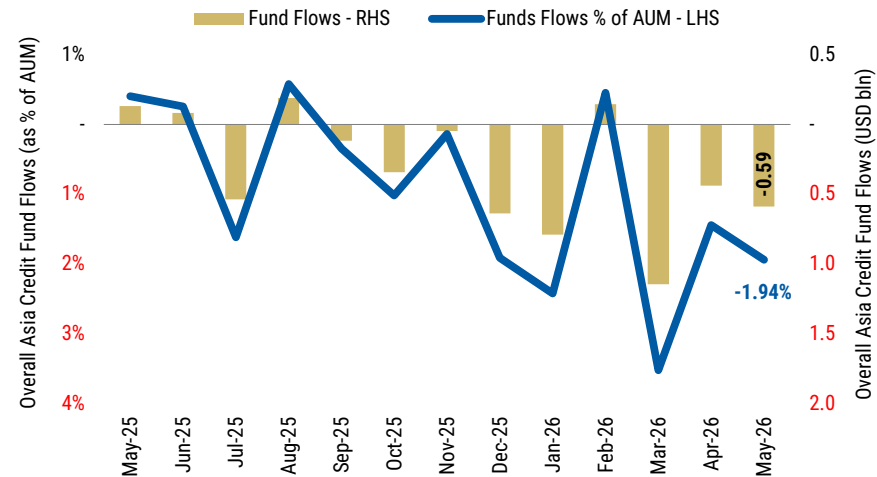
EU – Credit/Equity Screen

Names with cheapest CDS relative to equities

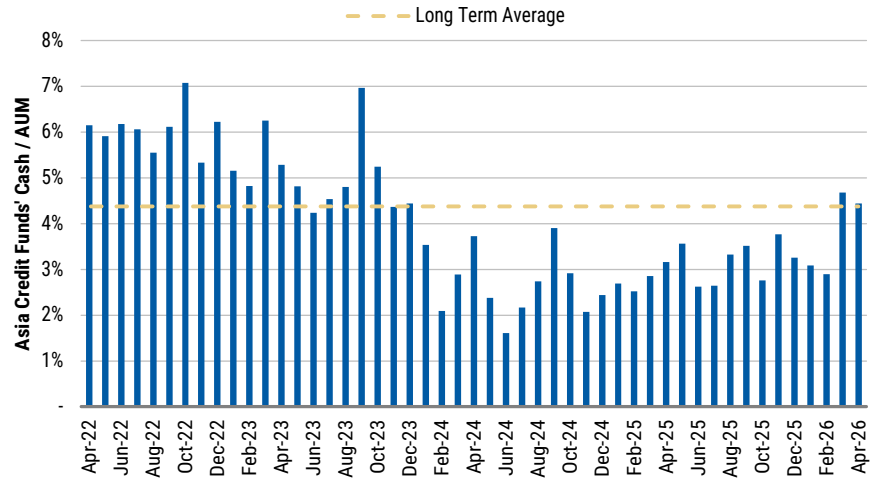
Ticker	Name	Sector	Rtg	5Y CDS spread (bp)			Stock Price		
				Current	YTD Δ	1Y %tile	Current	YTD Δ	1Y %tile
AIFP	Air Liquide SA	Basic Industry	A2	26	+4	81%	167	+14%	92%
TELIAS	Telia Co AB	Telecommunications	BBB1	26	+7	83%	48	+23%	90%
NTGYSM	Naturgy Energy Group SA	Utilities	BBB2	47	+5	74%	29	+12%	98%
TKAAV	Telekom Austria AG	Telecommunications	A3	27	+7	82%	10	+9%	89%
PSON	Pearson PLC	Media	BBB2	52	+7	67%	1,160	+10%	100%
EQNR	Equinor ASA	Energy	AA3	31	+2	79%	354	+49%	85%
TTEFP	TotalEnergies SE	Energy	A1	31	+1	73%	77	+39%	87%
FUMVFH	Fortum Oyj	Utilities	BBB1	41	+6	73%	21	+16%	87%
AZN	AstraZeneca PLC	Healthcare	A1	32	+5	90%	13,858	+0%	69%
BATSLN	British American Tobacco PLC	Consumer Goods	BBB1	56	+11	75%	4,404	+5%	82%
INTNED	ING Groep NV	Banking	A3	52	+4	61%	26	+8%	95%
IBESM	Iberdrola SA	Utilities	BBB1	39	+6	70%	20	+8%	87%
SIEGR	Siemens AG	Capital Goods	AA3	28	+4	60%	266	+11%	94%
SZUGR	Suedzucker AG	Consumer Goods	BBB3	160	-3	75%	11	+22%	78%
EDPPL	EDP SA	Utilities	BBB2	53	+8	68%	4	+13%	85%
SHELLN	Shell PLC	Energy	AA3	31	+1	70%	3,228	+18%	83%
ASSGEN	Generali	Insurance	BBB1	51	+5	56%	39	+9%	96%
SSELN	SSE PLC	Utilities	BBB1	34	+5	81%	2,400	+10%	68%
ENELIM	Enel SpA	Utilities	BBB1	53	+6	67%	10	+9%	82%
CNALN	Centrica PLC	Utilities	BBB2	50	+11	79%	189	+12%	67%
LHAGR	Deutsche Lufthansa AG	Transportation	BBB3	114	+10	68%	8	-0%	78%
TSCOLN	Tesco PLC	Retail	BBB2	51	+5	80%	454	+3%	66%
RXLFP	Rexel SA	Services	BB1	119	+10	58%	37	+9%	86%
UBS	UBS Group AG	Financial Services	A2	50	-10	44%	38	+2%	96%
ALVGR	Allianz SE	Insurance	A1	40	+8	74%	373	-5%	65%
BALN	BAE Systems PLC	Capital Goods	A3	30	+2	79%	1,931	+13%	55%
NGGLN	National Grid PLC	Utilities	BBB1	46	+7	67%	1,218	+7%	67%
BACRED	Mediobanca Banca di Credito	Financial Services	BBB3	70	+6	36%	22	+22%	98%
VIEFP	Veolia Environnement SA	Utilities	BBB1	35	+4	43%	35	+17%	89%

Asia Credit

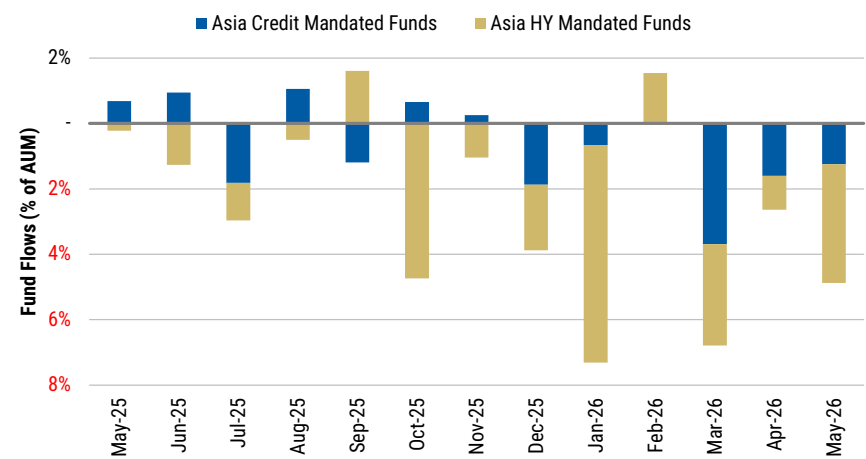
Asia Credit Demand



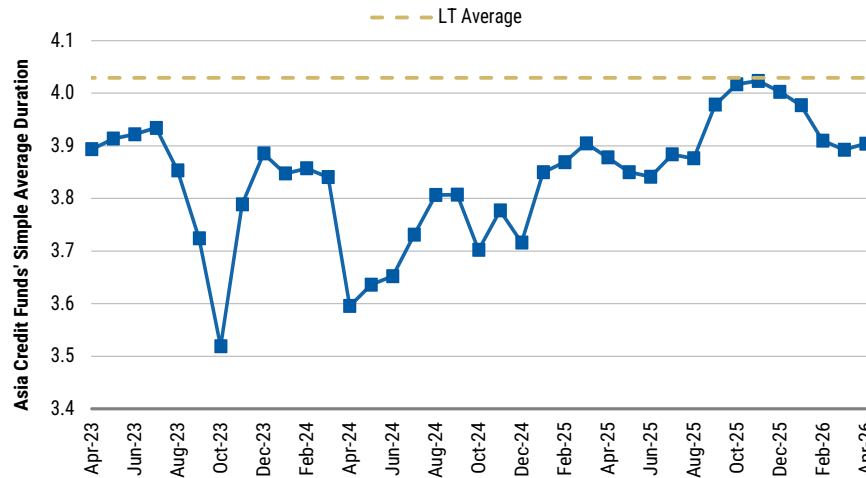
Source: Bloomberg, Morgan Stanley Research



Source: Bloomberg, Morgan Stanley Research

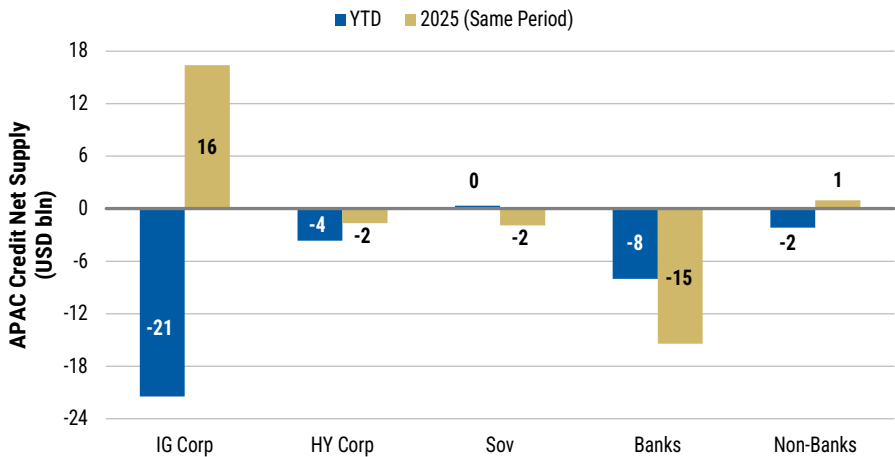


Source: Bloomberg, Morgan Stanley Research

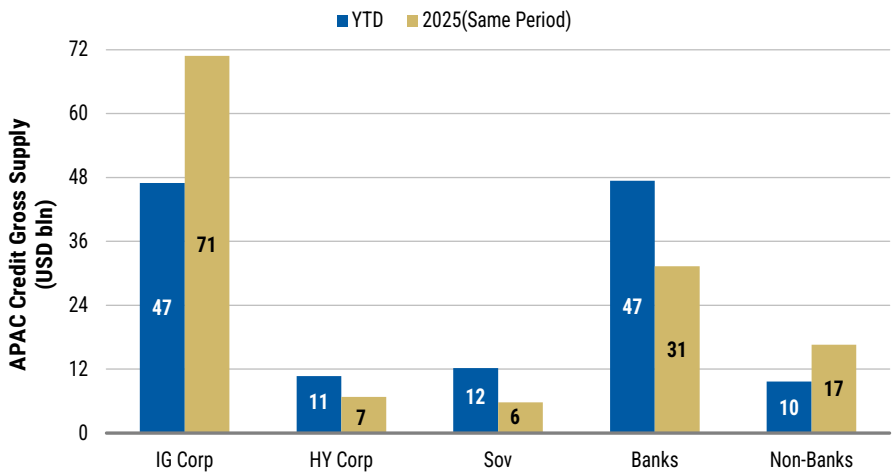


Source: Bloomberg, Morgan Stanley Research

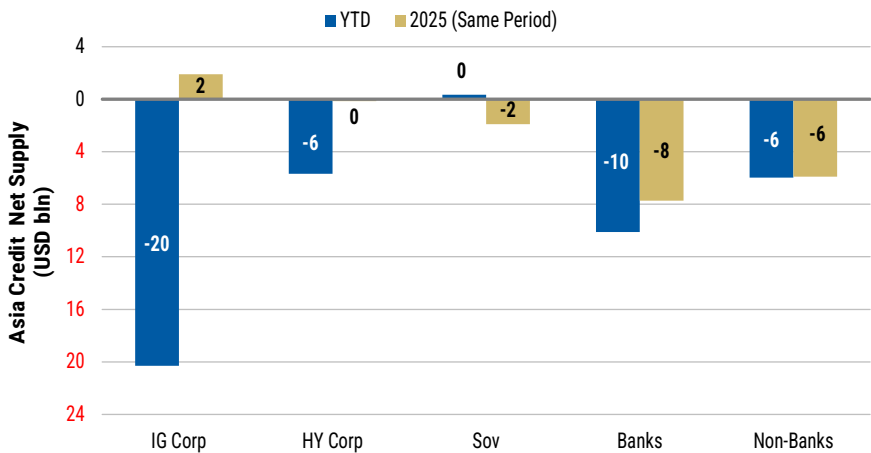
Asia Credit Supply



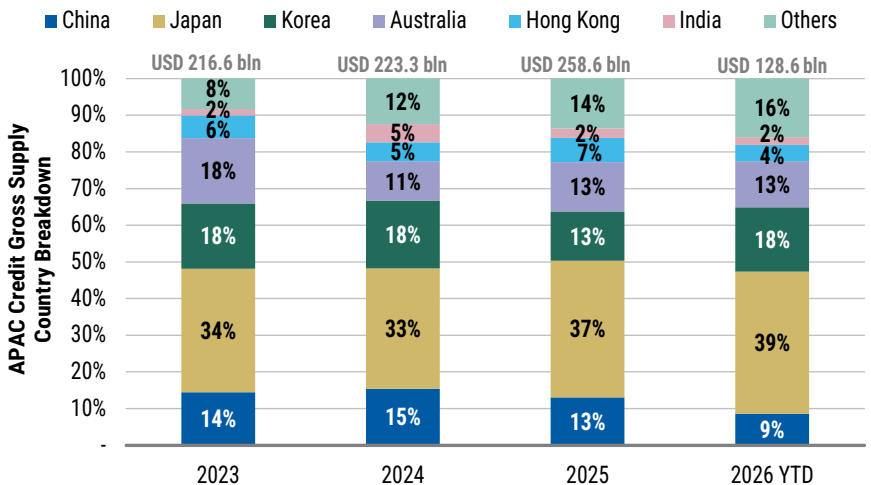
Source: EMDB, Bloomberg, Morgan Stanley Research



Source: EMDB, Bloomberg, Morgan Stanley Research

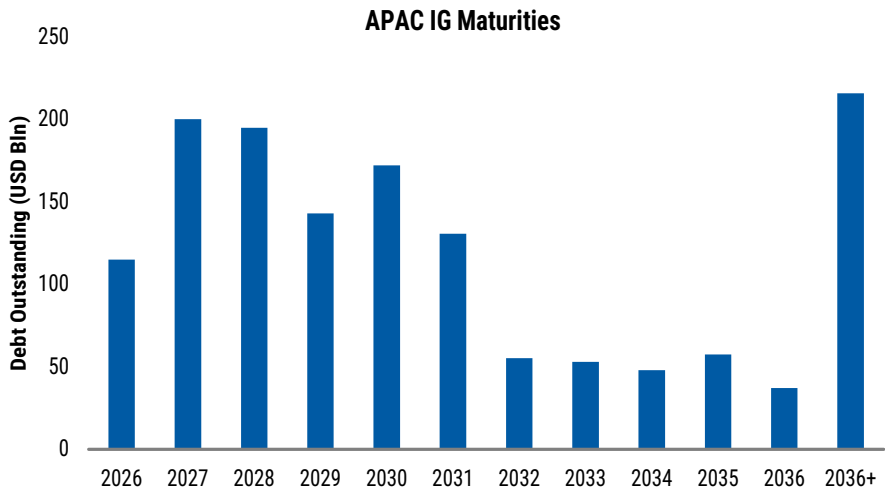


Source: EMDB, Bloomberg, Morgan Stanley Research

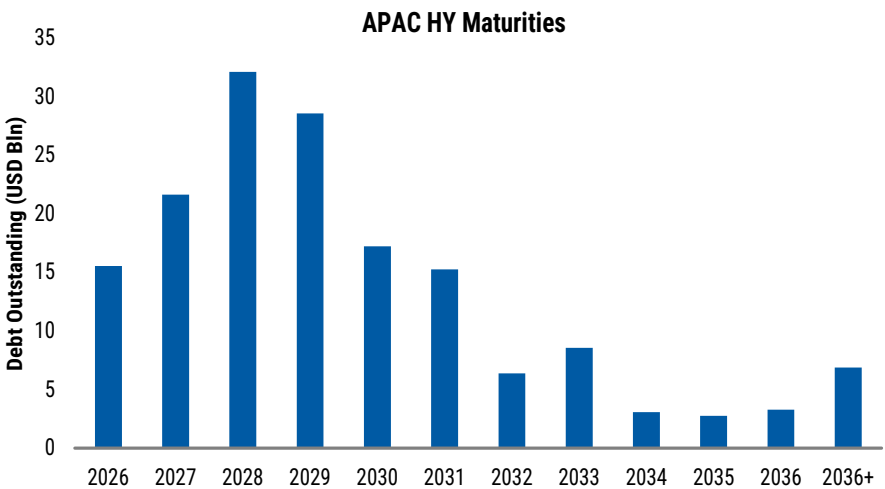


Source: EMDB, Bloomberg, Morgan Stanley Research

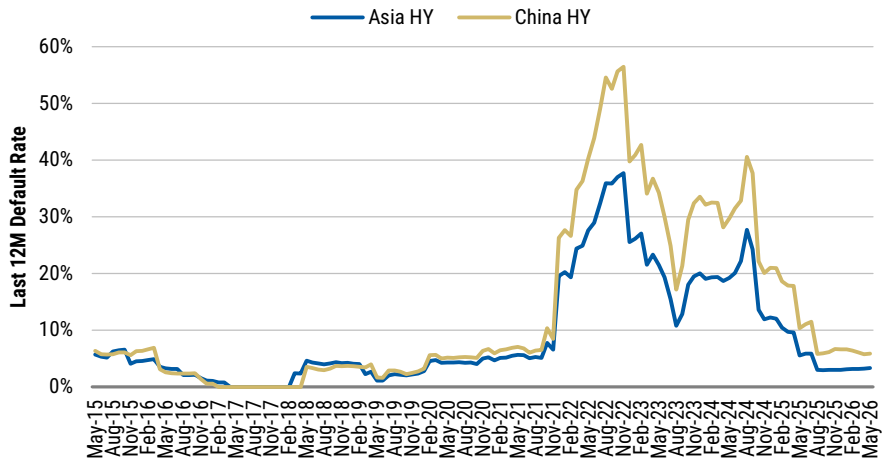
Asia Maturity Wall and Default Rate



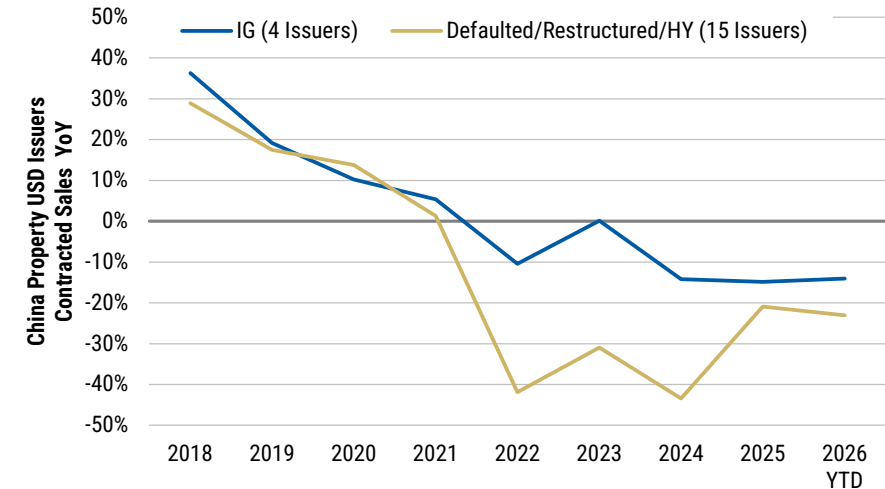
Source: EMDB, Bloomberg, Morgan Stanley Research



Source: EMDB, Bloomberg, Morgan Stanley Research

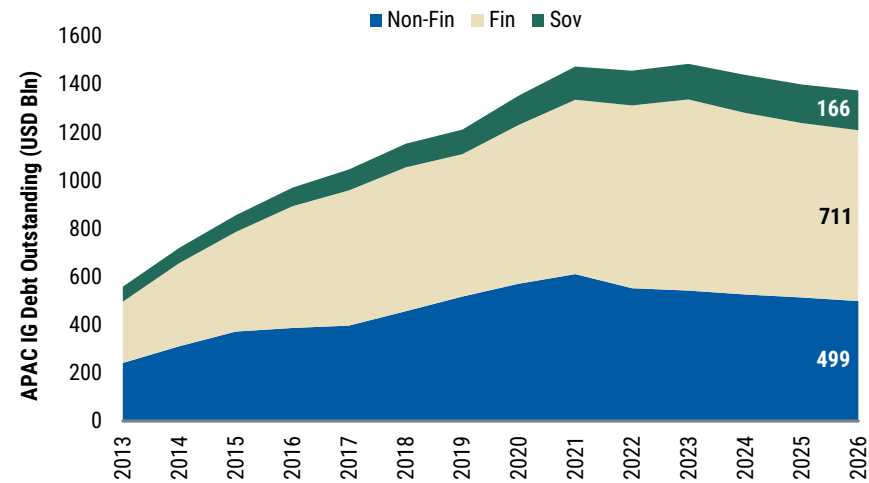


Source: Bloomberg, Morgan Stanley Research

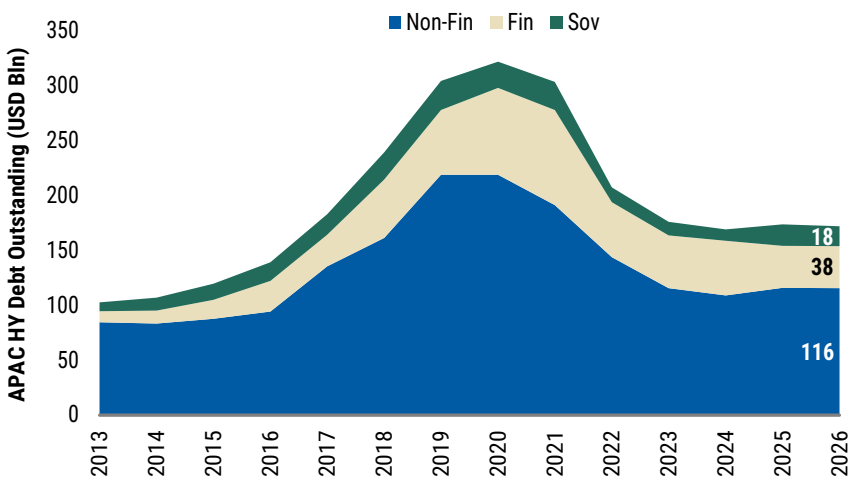


Source: Bloomberg, Morgan Stanley Research

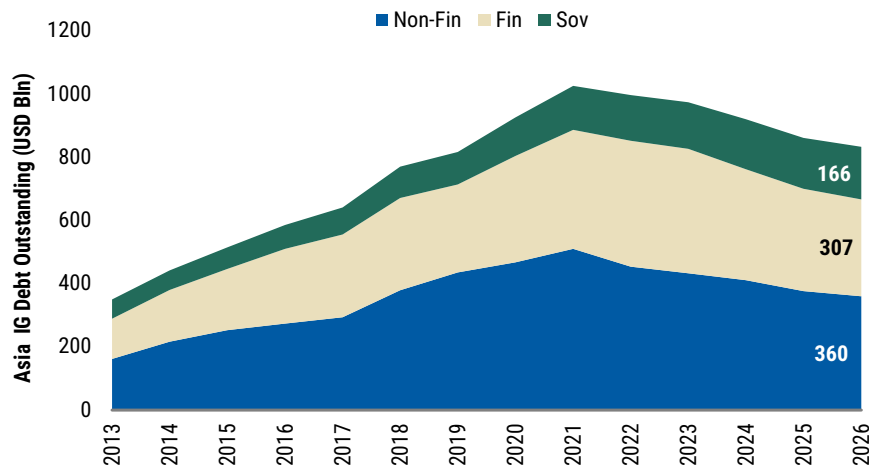
Asia Debt Outstanding



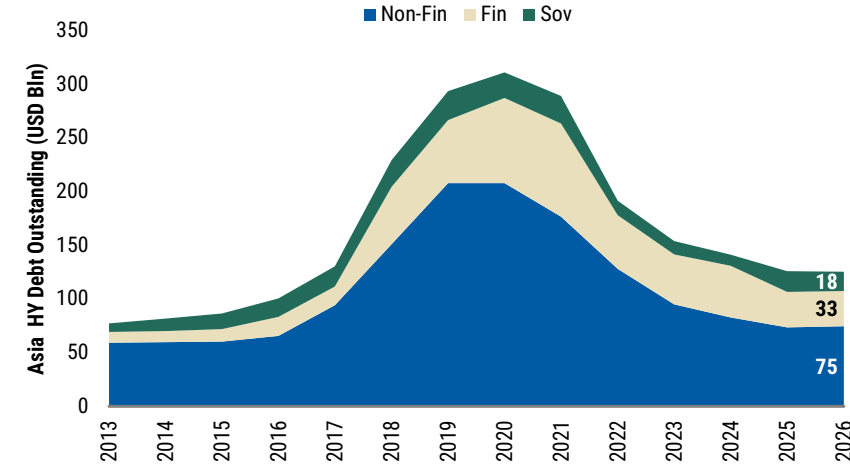
Source: EMDB, Bloomberg, Morgan Stanley Research



Source: EMDB, Bloomberg, Morgan Stanley Research



Source: Bloomberg, Morgan Stanley Research



Source: Bloomberg, Morgan Stanley Research

Valuation Methodology and Risks – US

Idea	Rationale	Risk
UW Tech/Hyperscalers	We expect a significant uptick in supply around AI with above average concessions.	Supply underwhelms either because of equity market pushback or stronger than expected cash generation reducing financing needs
OW Banks, esp Regionals	We see a good backdrop for banks, with improving loan growth, deregulatory tailwinds, and excess capital buffers. Recent outperformance in the face of high issuance is a good sign.	Elevated fundings costs if inflation causes the Fed to reconsider its rate path, more onerous Basel III endgame requirements, failure to meet earnings expectations, or if extreme animal spirits prompts an abundance of net issuance causing decompression in spreads.
OW Utilities, esp Hybrids	We think Utilities can outperform, as demand for power will continue to be elevated during the AI buildout. Issuance should be elevated, but is reflected in the price in our view	The sector tends to have high levels of issuance due to capex. If IG technicals are mixed, high supply can lead to underperformance.

Valuation Methodology and Risks – EU

Idea	Rationale	Risk
Overweight energy, defensives, underweight cyclicals	Oil prices tend to lead energy sector outperformance and we see further upside to the sector's performance here. Meanwhile cyclical sectors screen poorly on our multi-factor framework and are more likely to underperform in a higher inflation/weaker growth environment.	A sharp reversal in oil prices or demand outlook could undermine the energy overweight. A stronger-than-expected growth rebound could drive cyclicals to outperform defensives.
UW Autos	European autos face multiple structural headwinds; competition from China, margin dilutive EV mix, inflation-induced affordability concerns and tariffs. The sector is skewed to more negative ratings outlook/watches and credit markets have priced out much of the downside.	In the scenario of a quick de-escalation in the Middle East, autos would likely outperform.
Financials over corporates	Despite recent outperformance, we think banks continue to benefit from strong fundamentals, steepening curves, less supply pressures, and risk-adjusted pickup in spreads. Our equity analysts are also positive on the sector.	A weaker growth environment and deterioration in asset quality could cause banks to underperform corporates.

Valuation Methodology and Risks – Asia

Idea	Rationale	Risk
Long Japan Banks TLAC Senior Debt	Japan bank TLAC senior spreads look attractive, at close to double Asia IG spreads, which should help compensate investors for supply-risk concerns.	Japan banks TLAC senior bond net supply ends up stronger than expected, pushing spreads wider.
Long Unhedged AUD Corp Bonds	Our G10 FX strategist is bullish on AUD, reflecting expectations of medium-term USD weakness. AUD corp bonds also offer much higher carry than Asia/APAC IG.	Concerns about weaker global growth and reduced risk appetite could lead to USD strength and a weaker AUD. In addition, aggressive RBA rate hikes could put pressure on AUD corporate bond spreads.

Disclosure Section

The information and opinions in Morgan Stanley Research were prepared or are disseminated by Morgan Stanley & Co. LLC and/or Morgan Stanley C.T.V.M. S.A. and/or Morgan Stanley México, Casa de Bolsa, S.A. de C.V. and/or Morgan Stanley Canada Limited and/or Morgan Stanley & Co. International plc and/or Morgan Stanley Europe S.E. and/or RMB Morgan Stanley Proprietary Limited and/or Morgan Stanley MUFG Securities Co., Ltd. and/or Morgan Stanley Capital Group Japan Co., Ltd. and/or Morgan Stanley Asia Limited and/or Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and/or Morgan Stanley Taiwan Limited and/or Morgan Stanley & Co International plc, Seoul Branch, and/or Morgan Stanley Australia Limited (A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents), and/or Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents), and/or Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105), Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com which accepts the responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research, and their affiliates (collectively, "Morgan Stanley"). Morgan Stanley India Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts.

For important disclosures, stock price charts and equity rating histories regarding companies that are the subject of this report, please see the Morgan Stanley Research Disclosure Website at www.morganstanley.com/eqr/disclosures/webapp/generalresearch, or contact your investment representative or Morgan Stanley Research at 1585 Broadway, (Attention: Research Management), New York, NY, 10036 USA.

For valuation methodology and risks associated with any recommendation, rating or price target referenced in this research report, please contact the Client Support Team as follows: US/Canada +1 800 303-2495; Hong Kong +852 2848-5999; Latin America +1 718 754-5444 (U.S.); London +44 (0)20-7425-8169; Singapore +65 6834-6860; Sydney +61 (0)2-9770-1505; Tokyo +81 (0)3-6836-9000. Alternatively you may contact your investment representative or Morgan Stanley Research at 1585 Broadway (Attention: Research Management), New York, NY 10036 USA.

Analyst Certification

The following analysts hereby certify that their views about the companies and their securities discussed in this report are accurately expressed and that they have not received and will not receive direct or indirect compensation in exchange for expressing specific recommendations or views in this report: Vishwas Patkar, Aron Becker, Christina Sigler, Kelvin Pang

Global Research Conflict Management Policy

Morgan Stanley Research has been published in accordance with our conflict management policy, which is available at www.morganstanley.com/institutional/research/conflictolicies. A Portuguese version of the policy can be found at www.morganstanley.com.br

Important Regulatory Disclosures on Subject Companies

The equity research analysts or strategists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality of research, investor client feedback, stock picking, competitive factors, firm revenues and overall investment banking revenues. Equity Research analysts' or strategists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

Morgan Stanley and its affiliates do business that relates to companies/instruments covered in Morgan Stanley Research, including market making, providing liquidity, fund management, commercial banking, extension of credit, investment services and investment banking. Morgan Stanley sells to and buys from customers the securities/instruments of companies covered in Morgan Stanley Research on a principal basis. Morgan Stanley may have a position in the debt of the Company or instruments discussed in this report. Morgan Stanley trades or may trade as principal in the debt securities (or in related derivatives) that are the subject of the debt research report.

Certain disclosures listed above are also for compliance with applicable regulations in non-US jurisdictions.

STOCK RATINGS

Morgan Stanley uses a relative rating system using terms such as Overweight, Equal-weight, Not-Rated or Underweight (see definitions below). Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold and sell. Investors should carefully read the definitions of all ratings used in Morgan Stanley Research. In addition, since Morgan Stanley Research contains more complete information concerning the analyst's views, investors should carefully read Morgan Stanley Research, in its entirety, and not infer the contents from the rating alone. In any case, ratings (or research) should not be used or relied upon as investment advice. An investor's decision to buy or sell a stock should depend on individual circumstances (such as the investor's existing holdings) and other considerations.

Disclosure Section (Cont.)

Global Stock Ratings Distribution

(as of May 31, 2026)

The Stock Ratings described below apply to Morgan Stanley's Fundamental Equity Research and do not apply to Debt Research produced by the Firm.

For disclosure purposes only (in accordance with FINRA requirements), we include the category headings of Buy, Hold, and Sell alongside our ratings of Overweight, Equal-weight, Not-Rated and Underweight. Morgan Stanley does not assign ratings of Buy, Hold or Sell to the stocks we cover. Overweight, Equal-weight, Not-Rated and Underweight are not the equivalent of buy, hold, and sell but represent recommended relative weightings (see definitions below). To satisfy regulatory requirements, we correspond Overweight, our most positive stock rating, with a buy recommendation; we correspond Equal-weight and Not-Rated to hold and Underweight to sell recommendations, respectively.

Stock Rating Category	Coverage Universe		Investment Banking Clients (IBC)			Other Material Investment Services Clients (MISC)	
	Count	% of Total	Count	% of Total IBC	% of Rating Category	Count	% of Total Other MISC
Overweight/Buy	1542	42%	465	51%	30%	707	43%
Equal-weight/Hold	1571	43%	369	40%	23%	723	44%
Not-Rated/Hold	3	0%	0	0%	0%	1	0%
Underweight/Sell	551	15%	86	9%	16%	201	12%
Total	3,667		920			1632	

Data include common stock and ADRs currently assigned ratings. Investment Banking Clients are companies from whom Morgan Stanley received investment banking compensation in the last 12 months. Due to rounding off of decimals, the percentages provided in the "% of total" column may not add up to exactly 100 percent.

Analyst Stock Ratings

Overweight (O or Over) - The stock's total return is expected to exceed the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis over the next 12-18 months.

Equal-weight (E or Equal) - The stock's total return is expected to be in line with the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis over the next 12-18 months.

Not-Rated (NR) - Currently the analyst does not have adequate conviction about the stock's total return relative to the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Underweight (U or Under) - The stock's total return is expected to be below the total return of the relevant country MSCI Index or the average total return of the analyst's industry (or industry team's) coverage universe, on a risk-adjusted basis, over the next 12-18 months.

Unless otherwise specified, the time frame for price targets included in Morgan Stanley Research is 12 to 18 months.

Analyst Industry Views

Attractive (A): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be attractive vs. the relevant broad market benchmark, as indicated below.

In-Line (I): The analyst expects the performance of his or her industry coverage universe over the next 12-18 months to be in line with the relevant broad market benchmark, as indicated below.

Cautious (C): The analyst views the performance of his or her industry coverage universe over the next 12-18 months with caution vs. the relevant broad market benchmark, as indicated below.

Benchmarks for each region are as follows: North America - S&P 500; Latin America - relevant MSCI country index or MSCI Latin America Index; Europe - MSCI Europe; Japan - TOPIX; Asia - relevant MSCI country index or MSCI sub-regional index or MSCI AC Asia Pacific ex Japan Index.

Disclosure Section (Cont.)

Important Disclosures for Morgan Stanley Smith Barney LLC Customers

Important disclosures regarding any material conflict of interest that can reasonably be expected to have influenced Morgan Stanley Smith Barney LLC's choice of a third-party research provider or the subject company of a third-party research report, are available on the Morgan Stanley Wealth Management disclosure website at www.morganstanley.com/online/researchdisclosures. For Morgan Stanley specific disclosures, you may refer to <https://www.morganstanley.com/eqr/disclosures/webapp/generalresearch>.

Each Morgan Stanley research report is reviewed and approved on behalf of Morgan Stanley Smith Barney LLC. This review and approval is conducted by the same person who reviews the research report on behalf of Morgan Stanley. This could create a conflict of interest.

Other Important Disclosures

Morgan Stanley Research policy is to update research reports as and when the Research Analyst and Research Management deem appropriate, based on developments with the issuer, the sector, or the market that may have a material impact on the research views or opinions stated therein. In addition, certain Research publications are intended to be updated on a regular periodic basis (weekly/monthly/quarterly/annual) and will ordinarily be updated with that frequency, unless the Research Analyst and Research Management determine that a different publication schedule is appropriate based on current conditions.

Morgan Stanley is not acting as a municipal advisor and the opinions or views contained herein are not intended to be, and do not constitute, advice within the meaning of Section 975 of the Dodd-Frank Wall Street Reform and Consumer Protection Act.

Morgan Stanley produces an equity research product called a "Tactical Idea." Views contained in a "Tactical Idea" on a particular stock may be contrary to the recommendations or views expressed in research on the same stock. This may be the result of differing time horizons, methodologies, market events, or other factors. For all research available on a particular stock, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Morgan Stanley Research is provided to our clients through our proprietary research portal on Matrix and also distributed electronically by Morgan Stanley to clients. Certain, but not all, Morgan Stanley Research products are also made available to clients through third-party vendors or redistributed to clients through alternate electronic means as a convenience. For access to all available Morgan Stanley Research, please contact your sales representative or go to Matrix at <http://www.morganstanley.com/matrix>.

Any access and/or use of Morgan Stanley Research is subject to Morgan Stanley's Terms of Use (<http://www.morganstanley.com/terms.html>). By accessing and/or using Morgan Stanley Research, you are indicating that you have read and agree to be bound by our Terms of Use (<http://www.morganstanley.com/terms.html>). In addition you consent to Morgan Stanley processing your personal data and using cookies in accordance with our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html), including for the purposes of setting your preferences and to collect readership data so that we can deliver better and more personalized service and products to you. To find out more information about how Morgan Stanley processes personal data, how we use cookies and how to reject cookies see our Privacy Policy and our Global Cookies Policy (http://www.morganstanley.com/privacy_pledge.html). Please use the provided link to review the Terms and Conditions and Most Important Terms and Conditions for Morgan Stanley India Company Private Limited (https://www.morganstanley.com/assets/pdfs/about-us-global-offices/india/Terms_and_conditions.pdf) and the following link to review the audit report (https://ny.matrix.ms.com/eqr/research/webapp/researchdocs/MSICPL_Morgan_Stanley_Research_Audit_Report.pdf).

If you do not agree to our Terms of Use and/or if you do not wish to provide your consent to Morgan Stanley processing your personal data or using cookies please do not access our research.

Morgan Stanley Research does not provide individually tailored investment advice. Morgan Stanley Research has been prepared without regard to the circumstances and objectives of those who receive it. Morgan Stanley recommends that investors independently evaluate particular investments and strategies, and encourages investors to seek the advice of a financial adviser. The appropriateness of an investment or strategy will depend on an investor's circumstances and objectives. The securities, instruments, or strategies discussed in Morgan Stanley Research may not be suitable for all investors, and certain investors may not be eligible to purchase or participate in some or all of them. Morgan Stanley Research is not an offer to buy or sell or the solicitation of an offer to buy or sell any security/instrument or to participate in any particular trading strategy. The value of and income from your investments may vary because of changes in interest rates, foreign exchange rates, default rates, prepayment rates, securities/instruments prices, market indexes, operational or financial conditions of companies or other factors. There may be time limitations on the exercise of options or other rights in securities/instruments transactions. Past performance is not necessarily a guide to future performance. Estimates of future performance are based on assumptions that may not be realized. If provided, and unless otherwise stated, the closing price on the cover page is that of the primary exchange for the subject company's securities/instruments.

The fixed income research analysts, strategists or economists principally responsible for the preparation of Morgan Stanley Research have received compensation based upon various factors, including quality, accuracy and value of research, firm profitability or revenues (which include fixed income trading and capital markets profitability or revenues), client feedback and

Disclosure Section (Cont.)

competitive factors. Fixed Income Research analysts', strategists' or economists' compensation is not linked to investment banking or capital markets transactions performed by Morgan Stanley or the profitability or revenues of particular trading desks.

The "Important Regulatory Disclosures on Subject Companies" section in Morgan Stanley Research lists all companies mentioned where Morgan Stanley owns 1% or more of a class of common equity securities of the companies. For all other companies mentioned in Morgan Stanley Research, Morgan Stanley may have an investment of less than 1% in securities/instruments or derivatives of securities/instruments of companies and may trade them in ways different from those discussed in Morgan Stanley Research. Employees of Morgan Stanley not involved in the preparation of Morgan Stanley Research may have investments in securities/instruments or derivatives of securities/instruments of companies mentioned and may trade them in ways different from those discussed in Morgan Stanley Research. Derivatives may be issued by Morgan Stanley or associated persons.

With the exception of information regarding Morgan Stanley, Morgan Stanley Research is based on public information. Morgan Stanley makes every effort to use reliable, comprehensive information, but we make no representation that it is accurate or complete. We have no obligation to tell you when opinions or information in Morgan Stanley Research change apart from when we intend to discontinue equity research coverage of a subject company. Facts and views presented in Morgan Stanley Research have not been reviewed by, and may not reflect information known to, professionals in other Morgan Stanley business areas, including investment banking personnel.

Morgan Stanley Research personnel may participate in company events such as site visits and are generally prohibited from accepting payment by the company of associated expenses unless pre-approved by authorized members of Research management.

Morgan Stanley may make investment decisions that are inconsistent with the recommendations or views in this report.

To our readers based in Taiwan or trading in Taiwan securities/instruments: Information on securities/instruments that trade in Taiwan is distributed by Morgan Stanley Taiwan Limited ("MSTL"). Such information is for your reference only. The reader should independently evaluate the investment risks and is solely responsible for their investment decisions. Morgan Stanley Research may not be distributed to the public media or quoted or used by the public media without the express written consent of Morgan Stanley. Any non-customer reader within the scope of Article 7-1 of the Taiwan Stock Exchange Recommendation Regulations accessing and/or receiving Morgan Stanley Research is not permitted to provide Morgan Stanley Research to any third party (including but not limited to related parties, affiliated companies and any other third parties) or engage in any activities regarding Morgan Stanley Research which may create or give the appearance of creating a conflict of interest. Information on securities/instruments that do not trade in Taiwan is for informational purposes only and is not to be construed as a recommendation or a solicitation to trade in such securities/instruments. MSTL may not execute transactions for clients in these securities/instruments.

Certain information in Morgan Stanley Research was sourced by employees of the Shanghai Representative Office of Morgan Stanley Asia Limited for the use of Morgan Stanley Asia Limited.

Morgan Stanley is not incorporated under PRC law and the research in relation to this report is conducted outside the PRC. Morgan Stanley Research does not constitute an offer to sell or the solicitation of an offer to buy any securities in the PRC. PRC investors shall have the relevant qualifications to invest in such securities and shall be responsible for obtaining all relevant approvals, licenses, verifications and/or registrations from the relevant governmental authorities themselves. Neither this report nor any part of it is intended as, or shall constitute, provision of any consultancy or advisory service of securities investment as defined under PRC law. Such information is provided for your reference only.

Morgan Stanley Research is disseminated in Brazil by Morgan Stanley C.T.V.M. S.A. located at Av. Brigadeiro Faria Lima, 3600, 6th floor, São Paulo - SP, Brazil; and is regulated by the Comissão de Valores Mobiliários; in Mexico by Morgan Stanley México, Casa de Bolsa, S.A. de C.V. which is regulated by Comisión Nacional Bancaria y de Valores. Paseo de los Tamarindos 90, Torre 1, Col. Bosques de las Lomas Floor 29, 05120 Mexico City; in Japan by Morgan Stanley MUFG Securities Co., Ltd. and, for Commodities related research reports only, Morgan Stanley Capital Group Japan Co., Ltd; in Hong Kong by Morgan Stanley Asia Limited (which accepts responsibility for its contents) and by Morgan Stanley Bank Asia Limited; in Singapore by Morgan Stanley Asia (Singapore) Pte. (Registration number 199206298Z) and/or Morgan Stanley Asia (Singapore) Securities Pte Ltd (Registration number 200008434H), regulated by the Monetary Authority of Singapore (which accepts legal responsibility for its contents and should be contacted with respect to any matters arising from, or in connection with, Morgan Stanley Research) and by Morgan Stanley Bank Asia Limited, Singapore Branch (Registration number T14FC0118J); in Australia to "wholesale clients" within the meaning of the Australian Corporations Act by Morgan Stanley Australia Limited A.B.N. 67 003 734 576, holder of Australian financial services license No. 233742, which accepts responsibility for its contents; in Australia to "wholesale clients" and "retail clients" within the meaning of the Australian Corporations Act by Morgan Stanley Wealth Management Australia Pty Ltd (A.B.N. 19 009 145 555, holder of Australian financial services license No. 240813, which accepts responsibility for its contents; in Korea by Morgan Stanley & Co International plc, Seoul Branch; in India by Morgan Stanley India Company Private Limited having Corporate Identification No (CIN) U22990MH1998PTC115305, regulated by the Securities and Exchange Board of India ("SEBI") and holder of licenses as a Research Analyst (SEBI Registration No. INH000001105); Stock Broker (SEBI Stock Broker Registration No. INZ000244438), Merchant Banker (SEBI Registration No. INM000011203), and depository participant with National Securities Depository Limited (SEBI Registration No. IN-DP-NSDL-567-2021) having registered office at Altimus, Level 39 & 40, Pandurang Budhkar Marg, Worli, Mumbai 400018, India; Telephone no. +91-22-61181000; Compliance Officer Details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: tejarshi.hardas@morganstanley.com; Grievance officer details: Mr. Tejarshi Hardas, Tel. No.: +91-22-61181000 or Email: msic-compliance@morganstanley.com. Morgan Stanley India

Disclosure Section (Cont.)

Company Private Limited (MSICPL) may use AI tools in providing research services. All recommendations contained herein are made by the duly qualified research analysts; in Canada by Morgan Stanley Canada Limited; in Germany and the European Economic Area where required by Morgan Stanley Europe S.E., authorised and regulated by Bundesanstalt fuer Finanzdienstleistungsaufsicht (BaFin) under the reference number 149169; in the US by Morgan Stanley & Co. LLC, which accepts responsibility for its contents. Morgan Stanley & Co. International plc, authorized by the Prudential Regulation Authority and regulated by the Financial Conduct Authority and the Prudential Regulation Authority, disseminates in the UK research that it has prepared, and research which has been prepared by any of its affiliates, only to persons who (i) are investment professionals falling within Article 19(5) of the Financial Services and Markets Act 2000 (Financial Promotion) Order 2005 (as amended, the "Order"); (ii) are persons who are high net worth entities falling within Article 49(2)(a) to (d) of the Order; or (iii) are persons to whom an invitation or inducement to engage in investment activity (within the meaning of section 21 of the Financial Services and Markets Act 2000, as amended) may otherwise lawfully be communicated or caused to be communicated. RMB Morgan Stanley Proprietary Limited is a member of the JSE Limited and A2X (Pty) Ltd. RMB Morgan Stanley Proprietary Limited is a joint venture owned equally by Morgan Stanley International Holdings Inc. and RMB Investment Advisory (Proprietary) Limited, which is wholly owned by FirstRand Limited. The information in Morgan Stanley Research is being disseminated by Morgan Stanley Saudi Arabia, regulated by the Capital Market Authority in the Kingdom of Saudi Arabia, and is directed at Sophisticated investors only.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (DIFC Branch), regulated by the Dubai Financial Services Authority (the DFSA) or by Morgan Stanley & Co. International plc (ADGM Branch), regulated by the Financial Services Regulatory Authority Abu Dhabi (the FSRA), and is directed at Professional Clients only, as defined by the DFSA or the FSRA, respectively. The financial products or financial services to which this research relates will only be made available to a customer who we are satisfied meets the regulatory criteria of a Professional Client. A distribution of the different MS Research ratings or recommendations, in percentage terms for Investments in each sector covered, is available upon request from your sales representative.

The information in Morgan Stanley Research is being communicated by Morgan Stanley & Co. International plc (QFC Branch), regulated by the Qatar Financial Centre Regulatory Authority (the QFCRA), and is directed at business customers and market counterparties only and is not intended for Retail Customers as defined by the QFCRA.

As required by the Capital Markets Board of Turkey, investment information, comments and recommendations stated here, are not within the scope of investment advisory activity. Investment advisory service is provided exclusively to persons based on their risk and income preferences by the authorized firms. Comments and recommendations stated here are general in nature. These opinions may not fit to your financial status, risk and return preferences. For this reason, to make an investment decision by relying solely to this information stated here may not bring about outcomes that fit your expectations.

The trademarks and service marks contained in Morgan Stanley Research are the property of their respective owners. Third-party data providers make no warranties or representations relating to the accuracy, completeness, or timeliness of the data they provide and shall not have liability for any damages relating to such data. The Global Industry Classification Standard (GICS) was developed by and is the exclusive property of MSCI and S&P.

Morgan Stanley Research, or any portion thereof may not be reprinted, sold or redistributed without the written consent of Morgan Stanley.

Indicators and trackers referenced in Morgan Stanley Research may not be used as, or treated as, a benchmark under Regulation EU 2016/1011, or any other similar framework.

The issuers and/or fixed income products recommended or discussed in certain fixed income research reports may not be continuously followed. Accordingly, investors should regard those fixed income research reports as providing stand-alone analysis and should not expect continuing analysis or additional reports relating to such issuers and/or individual fixed income products.

Morgan Stanley may hold, from time to time, material financial and commercial interests regarding the company subject to the Research report.

Registration granted by SEBI and certification from the National Institute of Securities Markets (NISM) in no way guarantee performance of the intermediary or provide any assurance of returns to investors. Investment in securities market are subject to market risks. Read all the related documents carefully before investing. dr0806

The Americas

1585 Broadway
New York, NY 10036-8293
United States
+1 212 761 4000

Europe

20 Bank Street, Canary Wharf
London E14 4AD
United Kingdom
+44 (0)20 7425 8000

Japan

1-9-7 Otemachi, Chiyoda-ku
Tokyo 100-8104
Japan
+81 (0) 3 6836 5000

Asia/Pacific

1 Austin Road West
Kowloon
Hong Kong
+852 2848 5200